

OAKTREE CAPITAL MANAGEMENT

Howard Marks: The Complete Memos

*An Investor's Education in Markets, Credit &
Cycles*

Period Covered: October 1990 – April 2026

Total Memos: 123 memos across 5 eras

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Glossary of Key Financial Terms

Credit Spread

The extra yield (interest) an investor demands above a "risk-free" rate (like US Treasuries) to compensate for the risk of default. When spreads are wide, the market is fearful; when tight, it is complacent.

High Yield Bond (Junk Bond)

A bond rated below investment grade (BB+ or lower) by agencies like S&P or Moody's. It pays higher interest to compensate for higher default risk. Howard Marks built Oaktree on expertise in this market.

Distressed Debt

Bonds or loans of companies in financial trouble, trading at deep discounts. Oaktree specialises in buying these cheaply and recovering value through restructuring.

Private Credit / Direct Lending

Loans made directly by non-bank investors (funds, insurers) to companies, bypassing public bond markets. Grew massively post-GFC as banks pulled back. Higher yield, lower liquidity than public bonds.

NAV Financing

A loan to a private equity or credit fund using the fund's Net Asset Value (portfolio value) as collateral. Allows GPs to provide liquidity to LPs without selling assets.

RCF (Revolving Credit Facility)

A flexible loan facility a borrower can draw on, repay, and redraw — like a corporate credit card. Common in leveraged buyouts and fund finance.

Leverage

Using borrowed money to amplify returns — and losses. A company or fund is "leveraged" when it has more debt than equity. High leverage magnifies both gains and downside risk.

CLO (Collateralised Loan Obligation)

A structured vehicle that buys leveraged loans and issues tranching debt and equity to investors. Tranches have different risk/return profiles. Major part of the leveraged loan market.

CDO (Collateralised Debt Obligation)

Similar to a CLO but backed by a wider range of debt (mortgages, bonds, other CDOs). CDOs of subprime mortgages were at the centre of the 2008 crisis.

Covenant

Restrictions in a loan agreement protecting lenders — e.g., the borrower must maintain certain financial ratios. "Covenant-lite" loans have fewer protections; became common in the 2010s bull market.

Alpha

Returns above what a benchmark index earns — the "value added" by active management. A manager with positive alpha beats the market on a risk-adjusted basis.

Beta

Sensitivity of a portfolio to market movements. A beta of 1.0 means the portfolio moves in line with the market. Lower beta = less volatility.

IRR (Internal Rate of Return)

The annualised return on an investment accounting for timing of cash flows. Common in private equity/credit — but Marks warns in "You Can't Eat IRR" that it can be gamed by early capital deployment.

Risk-Adjusted Return

Return measured relative to the risk taken to achieve it. A 15% return with extreme volatility may be less attractive than a 12% return with low volatility.

Market Cycle

The recurring pattern of expansion and contraction in markets driven by psychology, credit availability, and fundamentals. Marks believes understanding cycles is the most important edge in investing.

The Pendulum

Marks' metaphor for market psychology swinging between greed and fear, optimism and pessimism — always overshooting fair value in both directions.

Margin of Safety

Buying an asset at enough of a discount to its intrinsic value that even if you're wrong about valuation, you don't lose money. From Benjamin Graham.

Second-Level Thinking

Marks' concept: thinking beyond the consensus ("this company is great") to ask "yes, but is the price already reflecting that?" Markets are efficient at incorporating widely-known information.

Liquidity

How quickly and easily an asset can be sold without moving its price. Public bonds are more liquid than private loans. In a crisis, liquidity vanishes — buyers disappear.

Drawdown

The peak-to-trough decline of a portfolio. A fund that falls 50% needs a 100% gain to recover. Managing drawdowns is central to long-term compounding.

Fed Funds Rate

The overnight interest rate set by the US Federal Reserve. When the Fed raises rates, borrowing costs rise across all markets; credit spreads and asset prices are heavily influenced by this rate.

QE (Quantitative Easing)

The Fed buying bonds with newly created money to push down interest rates and stimulate the economy. Used heavily after the GFC (2009–2014) and COVID (2020–2021). Inflated asset prices significantly.

Venture Debt

Loans to venture-backed startups, typically with warrants. Higher risk than traditional corporate lending; used to extend runway between equity rounds. Oaktree's Specialty Lending covers this.

Sea Change

Marks' term (from his 2022 memo) for a fundamental shift in the investing environment — specifically the end of 40 years of falling interest rates. Credit investing moved from a return-of-capital game to a genuine return-on-capital opportunity.



Foundations & The Dotcom Bubble

1990 – 2003



Howard Marks begins writing to Oaktree clients during the savings & loan crisis. Over 13 years he develops the foundational frameworks — risk, cycles, market efficiency, the value of predictions — that underpin everything he writes later. The period ends with the dotcom collapse, which validated his scepticism of speculative excess.



OCTOBER 12, 1990

The Route to Performance

MARKET CONTEXT

October 1990 marked the nadir of a brutal period for credit markets. Drexel Burnham Lambert — the investment bank that had invented and dominated the junk bond market — had filed for bankruptcy in February 1990, shattering confidence in high-yield debt. The Savings & Loan (S&L) crisis was destroying hundreds of thrift institutions that had loaded up on junk bonds, and the US economy had just entered recession. Howard Marks had recently left TCW to co-found Oaktree Capital Management, and this memo — the very first he ever wrote — laid out his investment philosophy from day one.

KEY THESIS

Marks argued that the route to superior long-term investment performance is not through shooting for spectacular one-year results, but through achieving consistently above-average returns with an absence of disasters. His central insight: if you can avoid the losers, the winners will take care of themselves. Seeking to never be in the bottom 5% of performers in any year is more valuable than occasionally landing in the top 5%.

KEY CONCEPTS EXPLAINED

- **High-Yield (Junk) Bonds:** Bonds issued by companies with lower credit ratings — meaning higher risk of default. Because investors demand extra compensation for that risk, these bonds pay higher interest rates ("yields") than government or investment-grade corporate bonds. Marks built his career in this market, believing skilled analysis could find mispriced opportunities.
- **Asymmetry of Outcomes:** In investing, a single catastrophic year can wipe out many years of good returns. Marks observed that a 50% loss requires a 100% gain just to break even. This mathematical reality means avoiding large losses is more powerful than chasing large gains.
- **Consistency vs. Brilliance:** Marks distinguished two approaches — the "brilliant but erratic" manager who occasionally tops the charts but also crashes, and the "consistently good" manager who never wins a single year outright but compounds steadily. Over a full cycle, consistency wins.
- **Risk-Adjusted Returns:** The idea that returns must be evaluated relative to the risk taken to achieve them. A 15% return earned with minimal chance of loss is far more valuable than a 20% return that required enormous risk. Marks would develop this concept deeply over subsequent memos.

- **Defensive Investing:** A philosophy of prioritising the avoidance of losses over the pursuit of gains. In credit markets specifically, this means rigorous credit analysis to screen out bonds likely to default, rather than buying the highest-yielding (riskiest) bonds to maximise income.

MEMORABLE QUOTES

"If we avoid the losers, the winners will take care of themselves."

"My clients don't care whether I'm in the top 5 percent in any single year, and they, and I, have absolutely no interest in me ever being in the bottom 5%."

WHY IT MATTERS

This foundational memo established the philosophy that would guide Oaktree for decades: superior long-term performance comes from controlling downside risk, not maximising upside. For anyone working in private credit — where a single large default can devastate a portfolio — this principle of "first, do not lose money" is the bedrock of sound credit investing.

APRIL 11, 1991

First Quarter Performance

MARKET CONTEXT

Early 1991 saw a dramatic swing in credit markets. Coming off the depths of the 1990 junk bond collapse and recession, high-yield bonds had become so universally feared that their prices had been driven to extreme lows. The Gulf War ended in February 1991 with a swift Coalition victory, lifting sentiment, and the Federal Reserve had been cutting interest rates aggressively. In Q1 1991, high-yield bonds produced extraordinary returns as the pendulum of fear began swinging back toward optimism — exactly the environment Marks had positioned for.

KEY THESIS

Marks introduced his famous "pendulum" metaphor: investor psychology swings between extreme fear and extreme greed, and the pendulum spends very little time at the rational midpoint. The Q1 1991 performance of high-yield bonds illustrated this perfectly — those who had bought when everyone was terrified reaped enormous rewards as fear receded. Marks argued that understanding and exploiting these psychological extremes, rather than trying to predict macroeconomics, is the real edge in investing.

KEY CONCEPTS EXPLAINED

- **The Pendulum of Investor Psychology:** Markets oscillate between excessive optimism (where investors ignore risk and overpay for assets) and excessive pessimism (where they demand such high returns that even solid investments become cheap). Marks argued these swings are driven by emotion, not fundamentals, and create the best buying opportunities at the fearful extreme.
- **High-Yield Bond Spreads:** A "spread" is the extra interest rate a risky bond pays above a safe government bond of the same maturity. When fear is high, spreads widen (risky bonds get very cheap). When optimism returns, spreads narrow (prices rise). In Q1 1991, spreads collapsed as fear receded — producing large capital gains for holders of junk bonds.
- **Contrarian Investing:** Buying assets when they are most feared and selling when they are most loved. This requires the psychological fortitude to act against the prevailing mood. Marks showed that Q1 1991 rewarded those who had been contrarian — buying junk bonds when "everyone" feared them.
- **Credit Market Cycle:** Like the broader economy, credit markets move in cycles of expansion (easy credit, low spreads, high leverage) and contraction (tight credit, wide spreads, defaults).

Recognising where you are in this cycle is central to Oaktree's approach.

- **Risk Aversion:** The degree to which investors demand compensation (higher yields) for taking risk. In 1990-91, risk aversion was extreme — investors demanded very high yields on junk bonds, which meant bond prices were very low. When risk aversion normalised, prices recovered sharply.

MEMORABLE QUOTES

"The mood swings of the securities markets resemble the movement of a pendulum. Although the midpoint of its arc best describes the location of the pendulum 'on average,' it actually spends very little of its time there."

"Only the very best bonds could be issued, and thus buyers at that time didn't have to do any credit analysis — the market did it for them. Its collective fear caused high standards to be imposed."

WHY IT MATTERS

The pendulum metaphor is one of Marks' most enduring contributions to investment thinking. Understanding that credit markets oscillate between extremes — and that the best opportunities arise at those extremes — is essential for anyone investing in high-yield bonds, private credit, or distressed debt, where the cycle of fear and greed is especially pronounced.

OCTOBER 8, 1992

Microeconomics 101: Supply, Demand and Convertibles

MARKET CONTEXT

By late 1992, the US economy was recovering from the 1990-91 recession. Interest rates had fallen sharply — the Fed funds rate dropped from 8% in 1990 to around 3% by 1992 — causing investors to hunt for higher yields. Equity markets were recovering, making convertible bonds (which convert into stock) newly attractive. However, Marks observed that heavy issuance of new convertibles was flooding the market, pressuring prices through simple supply and demand mechanics.

KEY THESIS

Marks used the convertible bond market as a teaching example of basic supply-and-demand economics in action: when demand for an asset class rises, companies rush to issue more of it (supply increases), ultimately driving prices down and returns lower. He argued that investors must track not just the quality of assets but the supply dynamics in any market — heavy new issuance is a warning sign that returns will compress.

KEY CONCEPTS EXPLAINED

- **Convertible Bonds:** A hybrid security — part bond, part stock option. Issued by companies, convertibles pay a fixed interest rate like a regular bond, but the holder has the right to convert the bond into the company's shares at a preset price. This gives upside if the stock rises, while the bond floor limits downside. In 1992, falling rates and rising stocks made them popular.
- **Supply and Demand in Credit Markets:** Just as with any product, the price of bonds is driven by supply (how many are being issued) and demand (how many investors want to buy them). When companies flood the market with new issuance, buyers have more choice and can demand higher yields — meaning bond prices fall. This is a key dynamic in both high-yield and private credit markets.
- **New Issuance / Primary Market:** The "primary market" is where bonds are first sold (issued) by companies. The "secondary market" is where existing bonds are traded between investors. Heavy primary market supply directly affects secondary market pricing — a concept critical for any private credit investor assessing entry points.
- **Yield Compression:** When too many investors chase a popular asset class (like convertibles in 1992), competition drives up prices and pushes yields lower. Yield compression erodes the

return advantage that originally made the asset class attractive. Recognising this cycle helps investors exit before returns deteriorate.

- **Sector Rotation:** As one asset class becomes crowded and expensive, sophisticated investors move capital to cheaper alternatives. Marks' analysis of convertibles illustrated how monitoring supply dynamics helps identify when a sector has become overcrowded.

MEMORABLE QUOTES

"Strong demand had supported stock prices, with important components including heavy flows into mutual funds, though flows into convertible funds had been low — and yet heavy new issuance was putting pressure on prices."

WHY IT MATTERS

The principle that supply matters as much as demand applies directly to private credit today: when too much capital chases private loans, spreads compress and covenants weaken, degrading the risk-return trade-off. Marks taught investors to track the supply side — not just asset quality — when assessing any credit opportunity.

FEBRUARY 15, 1993

The Value of Predictions, or Where'd All This Rain Come From?

MARKET CONTEXT

The early 1990s were dominated by macro forecasting — economists, strategists, and Wall Street pundits competed to predict GDP growth, interest rates, and market direction. In 1993, the US economy was in early recovery, bond markets were rallying (yields falling), and investors were hungry for guidance on where markets were headed. The financial media was packed with confident predictions, creating what Marks saw as a dangerous over-reliance on forecasting.

KEY THESIS

Marks systematically dismantled the case for macro forecasting, arguing that (1) most predictions are no better than random chance, (2) what moves markets is not events themselves but surprises relative to expectations, and (3) if a valuable forecast were widely shared, markets would immediately price it in, eliminating any advantage. The real insight: investment success requires not better predictions, but better responses to uncertainty.

KEY CONCEPTS EXPLAINED

- **Efficient Market Hypothesis (EMH) and Consensus:** The EMH holds that all publicly available information is already priced into securities. This means if every analyst expects earnings to grow 10%, a 10% result moves the stock price by zero — it was already expected. Only surprises (outcomes different from consensus) move prices. This is why being right about something everyone already expects earns you nothing.
- **The Earnings Surprise Concept:** Stock and bond prices respond not to actual results but to results relative to expectations. A company can report record profits and see its stock fall if the profits were below what analysts predicted. Marks identified this as a fatal flaw in most investment forecasting — you need to predict what the market doesn't already know.
- **Forecasting Difficulty:** Macro variables (GDP, interest rates, currency) are notoriously hard to predict because they involve millions of interacting decisions by households, companies, and governments. Academic research consistently shows that professional economists' forecasts barely outperform naive models like "next year will be the same as this year."
- **The Paradox of Widely-Shared Forecasts:** If a forecaster genuinely knew the future, they would trade on it themselves rather than share it. A forecast shared with many investors gets immediately arbitrated away — the mere act of sharing destroys the informational advantage. Marks' wry observation: "Why is this valuable forecast being shared with you?"

- **Extreme Predictions vs. Consensus:** Marks noted that accurate extreme predictions (e.g., "the market will crash 50%") can generate huge profits — but they are very rarely correct. Consensus predictions (e.g., "moderate growth ahead") are often approximately right but generate no excess return because they're already priced in.

MEMORABLE QUOTES

"Extreme predictions are rarely right, but they're the ones that make you big money."

"If someone has made a potentially valuable forecast with a high probability of being right, why is it being shared with you? They are more likely to be sunning themselves in Saint Tropez than going around entreating people to borrow their forecasts."

WHY IT MATTERS

This memo is foundational for credit investors because it redirects attention from unanswerable macro questions ("where are rates going?") to answerable micro questions ("is this specific borrower likely to repay?"). Private credit success comes from bottom-up credit analysis, not top-down macro predictions — exactly Marks' point.

JANUARY 24, 1994

Random Thoughts on the Identification of Investment Opportunities

MARKET CONTEXT

By early 1994, two years of falling interest rates had driven investors into riskier assets, and many asset classes had become expensive. The Federal Reserve was about to begin raising interest rates (it would hike seven times in 1994), which would prove devastating for bond portfolios that had reached for yield. Marks used this moment of apparent opportunity to examine what genuine investment opportunities look like — and how to avoid mistaking expensive assets for bargains.

KEY THESIS

Marks articulated seven principles for identifying real investment opportunities. The core argument: no asset class is inherently a good investment — what matters is the price you pay relative to intrinsic value. Psychology is the most important discipline in investing, not economics or accounting. And the best opportunities arise in unloved, overlooked places where others fear to tread, not in popular asset classes everyone is chasing.

KEY CONCEPTS EXPLAINED

- **Intrinsic Value:** The "true" or "fundamental" value of an asset based on its cash flows, assets, and earnings power — independent of what the market currently prices it at. Marks argued that buying below intrinsic value (a "margin of safety") is the only reliable source of investment returns. If you pay above intrinsic value, even a good asset becomes a bad investment.
- **Price vs. Quality:** A common mistake is equating "good asset" with "good investment." A wonderful company or loan can be a terrible investment if you pay too much for it. Conversely, a mediocre asset can be an excellent investment if priced cheaply enough. Marks drilled this distinction: quality and price are separate questions.
- **The Role of Psychology:** Marks identified investor psychology — fear, greed, overconfidence, herd behaviour — as the primary driver of mispricings. Understanding why people behave irrationally, and having the discipline to act differently, is more valuable than any financial model. This was his foundational insight about markets as human systems.
- **Contrarian Opportunity:** Marks argued that genuine bargains only exist in despised, overlooked, or misunderstood corners of the market. If an investment is widely recognised as undervalued, others have already bought it and prices have risen. Real opportunities require

going where others won't or can't — including junk bonds, distressed debt, and other stigmatised sectors.

- **The Oxymoron of Obvious Opportunity:** Marks stated bluntly: "An investment that 'everyone' knows to be undervalued is an oxymoron." If everyone knows it's cheap, they've already bought it and it's no longer cheap. This explains why value investors must cultivate independent thinking rather than following consensus views.

MEMORABLE QUOTES

"The discipline which is most important in investing is not accounting or economics, but psychology."

"There is no asset class that will do well simply because of what it is. What matters most is not what you invest in, but when and at what price."

WHY IT MATTERS

For private credit practitioners, this memo is a reminder that simply deploying capital into "private credit" is not automatically attractive — the terms, price (spread), and protections (covenants) relative to the borrower's fundamental credit quality are what determine whether you're making a good investment or just taking underpaid risk.

FEBRUARY 17, 1994

Risk in Today's Markets

MARKET CONTEXT

In early 1994, the Federal Reserve shocked markets by raising interest rates for the first time since 1989. Bond markets had been in a multi-year bull market as rates fell, and investors had crowded into bonds and other interest-rate-sensitive assets assuming the benign environment would continue. Marks saw excessive complacency and inadequate risk awareness across markets, prompting him to write this warning about hidden risks building in portfolios — particularly the risk from duration (interest rate sensitivity) in a rising-rate environment.

KEY THESIS

Marks argued that risk is most dangerous precisely when investors stop worrying about it. After years of falling rates and rising bond prices, investors had reached for yield by taking on more interest rate risk and credit risk without understanding the exposures they were accumulating. His central insight: risk is not a constant property of an asset but varies with price and the market environment. When assets are expensive and complacency is high, risk is highest — even if it doesn't feel that way.

KEY CONCEPTS EXPLAINED

- **Interest Rate Risk (Duration):** When interest rates rise, bond prices fall — and vice versa. "Duration" measures how sensitive a bond's price is to rate changes: a bond with 10-year duration falls roughly 10% for every 1% rise in interest rates. In 1994, investors holding long-duration bonds got badly hurt as rates jumped. This is a risk distinct from credit risk (default risk).
- **Reaching for Yield:** When safe investments (like government bonds) pay very little, investors are tempted to buy riskier investments to earn higher income. This is called "reaching for yield." The danger: by accepting extra risk for only a little extra income, investors accumulate risks they may not fully understand until markets turn.
- **Discounted Present Value:** All investing involves putting money out today to get more back in the future. The "present value" of those future cash flows is calculated by discounting them at an interest rate. When rates rise, the discount rate rises — meaning future cash flows are worth less today. This is why rising rates hurt all asset prices, not just bonds.
- **Risk Is Highest When It Feels Lowest:** Marks made the counterintuitive point that periods of apparent calm (low volatility, rising prices) are often when risk is most elevated, because high prices embed high expectations and leave no margin for error. The 1994 rate shock caught investors off guard precisely because 1993 had felt so safe.

- **Investment Strategy as a Two-Edged Sword:** Marks observed that aggressive strategies that work brilliantly in benign environments tend to produce catastrophic losses when conditions reverse. The same leverage that amplifies gains amplifies losses. This is why Oaktree deliberately avoided aggressive strategies that required everything to go right.

MEMORABLE QUOTES

"Investment strategy really is a two-edged sword, and he who lives by an aggressive strategy usually can die by it."

"The level of risk borne by investors is being systematically raised, often unknowingly, at a time when many valuations are quite high."

WHY IT MATTERS

The 1994 bond market crash — triggered by unexpected rate hikes — was a formative lesson for credit markets that Marks correctly anticipated. For private credit investors today, the same dynamics apply: in periods of tight spreads and easy conditions, risks accumulate invisibly until a shock reveals them. Understanding this countercyclical nature of risk is essential.

APRIL 11, 1994

"Risk in Today's Markets" Revisited

MARKET CONTEXT

Just seven weeks after his February 1994 risk warning, the Fed had already hiked rates once and bond markets had sold off sharply. The Orange County municipal fund was heading toward its infamous bankruptcy (it would blow up in December 1994) from leveraged bets on interest rate derivatives. Marks returned to the risk theme with additional evidence that his warnings were playing out, and to add nuance to his framework for thinking about different types of investment risk.

KEY THESIS

Marks expanded his risk framework, arguing that investors focus too narrowly on volatility (short-term price swings) as their measure of risk, while the true risk — permanent loss of capital — is different and far more important. He also introduced the insight that risk must always be assessed relative to price: an asset can become riskier as its price rises (even if it looks safer), because there is less margin for error if things go wrong.

KEY CONCEPTS EXPLAINED

- **Volatility vs. Permanent Loss of Capital:** Academic finance defines risk as price volatility (how much an asset's price bounces around). Marks rejected this as the primary risk measure for credit investors. What matters is not temporary price swings but whether you permanently lose your principal. A bond that temporarily falls 20% but matures at par is not "risky" in the way that a defaulted bond is. This distinction shapes Oaktree's entire approach.
- **Price as a Risk Determinant:** Marks introduced the concept that an asset's riskiness is not fixed — it varies inversely with its price. A bond bought at 50 cents on the dollar has enormous cushion against bad outcomes; the same bond at 95 cents has little cushion. As prices rise (and yields compress), risk goes up even if the underlying asset quality is unchanged.
- **Margin of Safety:** Borrowed from Benjamin Graham, this concept means buying assets at prices significantly below their intrinsic value — creating a buffer against errors in analysis or adverse events. In credit, a margin of safety might mean buying at wide spreads, requiring strong covenants, or lending only up to 50% of collateral value. The margin protects you when things go wrong.
- **Self-Evaluation of Risk:** Marks argued that investors must conduct honest self-assessments of the risks they are bearing — not just the risks they perceive. Many investors in 1994 thought

they owned "safe" bonds but actually held substantial interest rate risk they hadn't consciously chosen to accept.

- **Efficient vs. Inefficient Markets:** Marks reiterated that Oaktree deliberately chose to operate in inefficient credit markets — where specialised knowledge and hard work could uncover mispricings — rather than competing in efficient equity markets where skilled information advantages erode quickly.

MEMORABLE QUOTES

"Successful investing has at least as much to do with what you pay for an asset as it does with what the asset's fundamentals are."

"Our approach emphasises the low-risk exploitation of inefficient markets, as opposed to aggressive investment in efficient ones."

WHY IT MATTERS

Marks' reframing of risk — from volatility to permanent loss of capital — is the intellectual foundation of all credit investing. In private credit, loans are typically held to maturity (not marked-to-market daily), so the only risk that truly matters is whether the borrower repays. This memo explains why credit analysis (can they repay?) matters more than market analysis (what will the price do?).

JULY 15, 1994

How Does an Inefficient Market Get That Way?

MARKET CONTEXT

By mid-1994, the bond market was in turmoil — the Fed had raised rates four times in six months, and investors who had loaded up on leveraged bond positions (including Orange County) were nursing severe losses. The pain was causing many investors to abandon credit markets entirely, reinforcing what Marks had long argued: credit markets are structurally inefficient because they are cyclically abandoned by fair-weather participants. This memo explained why those inefficiencies persist and how Oaktree exploits them.

KEY THESIS

Marks argued that market inefficiency — the existence of mispricings that skilled investors can exploit — is not random. It exists in specific markets for specific reasons: complexity, stigma, neglect, or fear. Oaktree deliberately chose markets where inefficiency was structural (high-yield bonds, distressed debt, bankruptcies), where being willing to work harder and think more clearly than competitors created a persistent, repeatable edge.

KEY CONCEPTS EXPLAINED

- **Market Efficiency:** The Efficient Market Hypothesis (EMH) holds that all public information is instantly reflected in prices, so no investor can consistently outperform. Marks challenged this for certain credit sub-markets, arguing that stigma, complexity, and investor abandonment create persistent mispricings that hard work can find.
- **Structural Inefficiency:** Unlike temporary inefficiencies that get arbitrated away quickly, structural inefficiencies persist because there are barriers to exploitation: regulatory restrictions (many institutions cannot own below-investment-grade debt), reputational risk ("you bought junk?"), or complexity requiring specialist expertise. These barriers keep competition low in Oaktree's chosen markets.
- **Distressed Debt:** Bonds or loans of companies in financial difficulty — trading at large discounts (e.g., 30-50 cents on the dollar) because of default risk. Most investors cannot or will not analyse companies in bankruptcy or near-default. Oaktree's specialty was doing exactly this analysis to find situations where the market's fear was overdone.
- **Non-Performing Mortgages and Busted Convertibles:** Marks listed examples of inefficient niches where Oaktree operated — mortgages where borrowers had stopped paying (requiring complex workout skills) and convertible bonds that had "broken" (the stock had fallen so far

that the conversion option was worthless). These situations required specialised analysis most investors lacked.

- **Why Inefficiency Needs a Reason:** Marks offered a key test: before claiming a market is inefficient, you must be able to explain why. If you can't articulate why others are mispricing assets, you may be the one who is wrong. The reason high-yield bonds are mispriced is because many institutions cannot own them by mandate — not because the whole market is irrational.

MEMORABLE QUOTES

"Oaktree invests in things others find frightening — like junk bonds, bankruptcies, and non-performing mortgages — and spends time in market niches others ignore."

"It's important to understand why the inefficiency exists; if it's hard to come up with a reason, you might be wrong about the opportunity."

WHY IT MATTERS

This memo articulates exactly why private credit exists as an asset class — it exploits the structural inefficiency created by banks' reduced appetite for complex lending, regulatory constraints, and lack of specialist competition. The same logic that Marks applied to junk bonds in 1994 explains why private credit offers excess returns today: most institutions can't or won't do the hard work of direct lending.

MAY 26, 1995

How the Game Should Be Played

MARKET CONTEXT

By mid-1995, credit markets had recovered from the 1994 rate shock, and the US economy was growing strongly. The Fed had begun cutting rates and a multi-year equity bull market was underway. Many investment managers were taking increasingly aggressive positions — swinging for the fences with concentrated bets and leverage to compete for assets in a bull market environment. Marks used this moment to articulate why Oaktree's disciplined, defensive philosophy was a superior long-term game plan even when aggression appeared to be winning.

KEY THESIS

Using extended sports metaphors, Marks argued that the right investment "game plan" is to achieve a consistently high batting average rather than swinging for home runs. The goal is never to be the top performer in any given year, but to avoid being at the bottom — producing returns that are "just a little above average" consistently, which compounds into substantial outperformance over time. Volatility of outcomes, not just average returns, is what ultimately determines long-term wealth creation.

KEY CONCEPTS EXPLAINED

- **Compounding and Path Dependency:** A string of returns of +10%, +10%, +10% (average 10%) is worth far more over time than returns of +30%, +30%, -10% (also averaging 10%), because negative years destroy the base on which future gains compound. Marks' discipline of avoiding large losses is mathematically superior to high-variance strategies, even with the same average return.
- **Batting Average vs. Home Run Rate:** In baseball, a high batting average (hitting consistently) wins more games than a low-average slugger who occasionally hits home runs but strikes out most of the time. Marks applied this to investing: consistent above-average years compound into excellent long-run results, while home-run hunting produces spectacular peaks and devastating valleys.
- **Risk-Adjusted Performance:** Marks formalised the idea that investment performance should be judged not by raw returns but by returns relative to the risk taken. A manager who earns 15% by taking enormous risks is not better than one who earns 12% with minimal risk — particularly if the risky manager occasionally loses 30%.
- **Oaktree's Investment Philosophy Codified:** This memo represents the clearest early articulation of Oaktree's philosophy: (1) avoid the losers, (2) never be at the bottom of the performance rankings, (3) accept slightly below-average returns in bull markets in exchange for

much better-than-average protection in bear markets. The result: superior long-run compounding.

- **Defensive Investing in a Bull Market:** Marks acknowledged that defensive strategies appear suboptimal when markets are rising — aggressive managers outperform in strong years. The test of a philosophy comes in down markets, where defensive portfolios preserve capital that can then be compounded going forward.

MEMORABLE QUOTES

"Our game plan is directed at avoiding strikeouts and achieving a high batting average over time — not at swinging for the fences on every trip to the plate."

"In the long run, I feel strongly that seeking relative performance which is just a little bit above average on a consistent basis leads to excellent absolute performance."

WHY IT MATTERS

This memo explains the philosophy behind how top-tier private credit funds construct portfolios: diversification, careful covenant negotiation, conservative leverage, and conservative underwriting — not to maximise any one loan's return but to ensure the portfolio never suffers a catastrophic year that destroys the compounding track record.

JULY 22, 1996

The Value of Predictions II (or "Give That Man a Cigar")

MARKET CONTEXT

Three years after his original predictions memo, Marks returned to the subject with a study of Wall Street Journal semi-annual economic surveys conducted by professional economists. By 1996, the economy was in the middle of a long expansion, inflation remained subdued, and many pundits were confidently predicting everything from the Fed's next move to corporate earnings. Marks assembled systematic evidence to evaluate whether professional forecasters actually added value — and the results were damning.

KEY THESIS

Using hard data from the Wall Street Journal's surveys of economic forecasters, Marks demonstrated that expert consensus predictions had added minimal value — the average professional forecast was barely better than simply predicting that tomorrow would look like today. He argued that the investment community's obsession with macro forecasts was a distraction from the real work of identifying mispriced securities, and that strategy should be built around navigating uncertainty rather than predicting the future.

KEY CONCEPTS EXPLAINED

- **Consensus Forecasts and Their Limitations:** When many forecasters converge on similar predictions, those views get embedded in market prices. Even if the consensus forecast is correct, no money is made — it was already priced in. Only unexpected outcomes generate trading profits, and those, by definition, are not what the consensus predicted.
- **Forecaster Track Records:** Marks showed that even top-ranked economists had poor predictive accuracy on key variables (GDP, interest rates, exchange rates) over horizons longer than a few months. The complexity of macroeconomic systems makes accurate long-range forecasting essentially impossible — yet investors continued paying for this service.
- **The Danger of Acting on Forecasts:** Even if a macro forecast is correct, translating it into investment decisions introduces additional layers of error: How will markets react? When exactly? What will other investors do? Each step introduces new uncertainty. Marks argued the chain of inference from macro forecast to specific trade is so long and fragile as to be nearly worthless.

- **Humility and Agnosticism:** Marks developed his philosophy that investors should be broadly "agnostic" about macro outcomes — neither predicting boom nor bust — and instead position portfolios to survive a range of scenarios. In credit, this means ensuring borrowers can service debt even in moderately adverse conditions, not just in the base case.
- **Focus on What You Can Know:** The alternative to fruitless macro forecasting is intensive bottom-up analysis: understanding a specific borrower's cash flows, collateral, management quality, and covenant package. These things are knowable; GDP next year is not. This is why Marks consistently steered toward credit analysis rather than macro bets.

MEMORABLE QUOTES

"The record shows the predictions of the Journal's average 'expert' to have added little value in terms of predicting the future."

"It's easy to make guesses about the future but hard to be consistently more right in those guesses than your fellow investor — and thus hard to consistently outperform."

WHY IT MATTERS

This empirically grounded memo validated Oaktree's decision to build investment strategy around security selection and risk control rather than macro prediction — a philosophy directly applicable to private credit, where the correct question is "will this borrower repay?" not "what will interest rates do?"

NOVEMBER 25, 1996

Will It Be Different This Time?

MARKET CONTEXT

By late 1996, US equity markets had been rising for five years, valuations were stretched by historical standards, and optimists were constructing elaborate arguments for why the old rules no longer applied. Fed Chairman Alan Greenspan had just given his famous "irrational exuberance" speech in December 1996, questioning whether stock market valuations were excessive. Marks observed a growing chorus of voices arguing that the traditional relationship between valuations and future returns had been permanently altered by technology, globalisation, and productivity gains.

KEY THESIS

Marks argued that the phrase "it's different this time" — the four most dangerous words in investing — is almost always wrong. Economic and market cycles, driven by human psychology and the credit cycle, are not abolished by new technologies or structural changes; they are merely deferred. Bull markets plant the seeds of their own destruction by encouraging excessive risk-taking and leverage, which eventually unwind painfully. The 1996 optimism, Marks warned, was sowing the seeds of a future correction.

KEY CONCEPTS EXPLAINED

- **"It's Different This Time" — The Most Dangerous Phrase:** Every bubble in history has been accompanied by arguments that traditional valuation metrics no longer apply. In 1929, it was the "new era" of industry. In 1996-2000, it was the Internet. In 2006, it was "house prices never fall nationwide." Marks documented how these arguments are always superficially compelling but ultimately wrong — cycles reassert themselves.
- **The Credit Cycle:** The credit cycle describes the alternating periods of easy credit (lenders are willing, standards are low, leverage is high) and tight credit (lenders are fearful, standards are high, leverage is unavailable). Easy credit fuels asset price increases, which fuel more credit, until a shock causes the cycle to reverse. Understanding this cycle is central to credit investing.
- **Valuation Mean Reversion:** Over long periods, asset valuations (price-to-earnings ratios for stocks, credit spreads for bonds) tend to revert to historical averages. Extended periods above or below average are eventually corrected. In 1996, Marks saw valuations well above historical norms and expected eventual reversion — which came, eventually, with the 2000-2002 crash.

- **Human Nature as the Constant:** Marks argued that while technology and economies change, human psychology — greed, fear, overconfidence, herd behaviour — remains constant. Because cycles are fundamentally driven by psychology, they will always recur regardless of how different the macroeconomic environment appears.
- **History as a Guide:** Marks consistently appealed to historical precedent — past bubbles, past cycles, past corrections — as the most reliable guide to future behavior. Not because history repeats precisely, but because the underlying human dynamics are unchanging. This respect for history is what made Marks suspicious of "new era" arguments.

MEMORABLE QUOTES

"Every few years, the world finds a new narrative and declares that this time it's different. And every few years, the cycle reasserts itself."

"Cycles are the result of human behaviour, herd instinct, and the tendency to psychological excesses — and these things are unlikely to evaporate."

WHY IT MATTERS

The "it's different this time" warning is perhaps Marks' most culturally resonant contribution. For private credit practitioners, this means being deeply sceptical when market participants argue that today's tight spreads, weak covenants, or high leverage are justified by new structural factors — the underlying dynamics of credit cycles have not changed, only the narrative packaging around them.

SEPTEMBER 3, 1997

Are You an Investor or a Speculator?

MARKET CONTEXT

By September 1997, US markets were deep into a bull run and the Asian Financial Crisis was beginning to unfold — Thailand had devalued its currency in July 1997, triggering contagion across Southeast Asia and creating stress in global credit markets. The contrast was stark: domestic US investors were ebullient while global credit conditions were deteriorating. Marks used this environment to draw a sharp distinction between genuine investing (buying based on fundamental value) and speculation (buying based on the expectation that someone else will pay more).

KEY THESIS

Marks distinguished between investors — who buy based on fundamental analysis of intrinsic value, expecting returns to come from cash flows and business performance — and speculators — who buy because they believe prices will rise, expecting returns to come from selling to a greater fool at a higher price. Most market participants who believed themselves to be investors in 1997 were actually speculators, Marks argued, because their returns depended on continued price appreciation, not on underlying economics.

KEY CONCEPTS EXPLAINED

- **Investment vs. Speculation:** A genuine investment derives its return from the underlying asset's economic productivity — a bond's interest payments, a business's profits. A speculation derives its return from price appreciation driven by others' willingness to pay more. This distinction matters because investment returns are anchored to something real, while speculative returns depend entirely on sentiment continuing to improve.
- **The Greater Fool Theory:** A speculative dynamic in which it doesn't matter if you overpay for an asset, as long as you can find a greater fool who will pay even more. This can work for extended periods (as in late-1990s tech stocks) but ultimately fails when no greater fool appears. The last buyer holds worthless or overpriced assets.
- **Fundamental Analysis in Credit:** For bond and loan investors, fundamental analysis means assessing a borrower's cash flows, debt capacity, collateral value, management quality, and industry dynamics to determine whether the promised interest and principal can actually be repaid. This is genuine credit investing — the return comes from the borrower paying, not from someone else buying your position at a higher price.

- **Asian Financial Crisis Context:** The 1997 Asian crisis illustrated speculation at scale — capital had flowed into Asian economies based on growth narratives, not fundamental valuations, with large amounts of dollar-denominated debt funding local-currency assets. When currencies collapsed, the speculative structure unwound catastrophically. This was a preview of the broader global credit dynamics Marks would analyse further.
- **Calibrating Return Expectations:** Marks argued that investors must explicitly think about where their expected returns come from. If the answer is "I expect the price to be higher," that's speculation. If the answer is "I expect these cash flows to be paid," that's investment. The distinction shapes every decision in credit portfolio construction.

MEMORABLE QUOTES

"An investment that generates its return primarily from future price appreciation is really a speculation — regardless of how respectable the asset appears to be."

"The investor must think about where the return comes from. If it comes from cash flows and value creation, that is investing. If it comes from someone else paying more, that is speculating."

WHY IT MATTERS

This distinction is critically important in private credit, where the entire rationale for lending is that borrowers will repay from their operating cash flows. The moment a lender starts accepting deals premised on asset appreciation (e.g., "the real estate will be worth more") rather than cash flow coverage, they have crossed from credit investing into speculation — with all the associated tail risk.

JANUARY 8, 1998

Who Knew?

MARKET CONTEXT

Early 1998 arrived after a turbulent 1997: the Asian Financial Crisis had spread from Thailand through Indonesia, Malaysia, and South Korea, causing currency collapses, banking crises, and sovereign defaults. Russia was under severe pressure and would default in August 1998. US credit markets were still buoyant — the domestic economy remained strong — but warning signs were accumulating in global credit. Marks used this moment to reflect on who had foreseen the Asian crisis and what that tells us about the limits of knowledge and the danger of false confidence.

KEY THESIS

Marks argued that virtually nobody had predicted the Asian crisis with sufficient conviction to act on it — and that this near-universal failure of foresight is the normal condition, not an exception. The lesson is not to try harder to predict crises, but to build portfolios that are robust to unpredictable shocks. Accepting the limits of knowledge — and building in appropriate margins of safety — is more valuable than any forecasting framework.

KEY CONCEPTS EXPLAINED

- **Sovereign and Currency Risk:** When a country's government cannot service its debt, or when its currency collapses relative to other currencies, investors who lent in that currency or to that government can suffer severe losses. The Asian crisis showed that seemingly stable economies could experience sudden currency devaluations of 30-80%, instantly destroying the economics of debt deals structured in local currencies.
- **Contagion:** In financial markets, distress in one market or country can rapidly spread to others through several channels: investor panic and forced selling, bank counterparty exposures, trade linkages, and loss of confidence. The 1997 Asian crisis showed how problems in Thailand quickly infected South Korea, Indonesia, and threatened to spread globally.
- **Dollar-Denominated Debt Trap:** Many Asian companies and governments borrowed in US dollars (which offered lower interest rates than local currencies), while their revenues were in local currencies. When those currencies collapsed, the dollar value of their debt skyrocketed relative to their income — triggering defaults. This currency mismatch is a classic credit risk that private lenders must assess.
- **Epistemic Humility:** Marks argued for intellectual humility about what we can know. Even the most sophisticated global macro investors failed to predict the Asian crisis's timing and

severity. Rather than pretending to greater forecasting ability, investors should structure portfolios to survive outcomes they cannot predict.

- **Tail Risk and Black Swans:** Rare but severe outcomes (tail risks) are systematically underestimated by financial models built on historical data, because by definition they have happened rarely. The Asian crisis was a reminder that "unprecedented" events happen more often than models suggest, and portfolios must be stress-tested against scenarios that have never occurred before.

MEMORABLE QUOTES

"Eighteen months before the crisis hit, the risks were there to be seen — but almost nobody acted on them, because conviction about timing requires a certainty that honest investors should not claim to have."

"The correct response to uncertainty is not better prediction but better preparation — portfolios that can survive what we cannot foresee."

WHY IT MATTERS

For private credit practitioners, the Asian crisis is a masterclass in credit risk in cross-border lending: currency risk, sovereign risk, and contagion risk can interact to produce losses far exceeding any model's predictions. This memo established Marks' enduring theme of building for resilience rather than optimising for predicted scenarios.

OCTOBER 9, 1998

Genius Isn't Enough (and Other Lessons from Long-Term Capital Management)

MARKET CONTEXT

Long-Term Capital Management (LTCM), a hedge fund founded in 1993 by former Salomon Brothers traders and featuring two Nobel Prize-winning economists, collapsed spectacularly in August-September 1998. LTCM had built positions 30 times larger than its capital using borrowed money (leverage), betting on convergence of bond spreads using sophisticated mathematical models. When Russia defaulted in August 1998 and markets seized up, LTCM lost \$4.6 billion in weeks and required a Federal Reserve-orchestrated \$3.6 billion bailout to prevent systemic collapse. Marks saw this as the ultimate case study in the limits of intelligence and the dangers of leverage.

KEY THESIS

Intelligence, academic credentials, and sophisticated models are not sufficient — and may actually be dangerous — in investing, because they breed false confidence in one's ability to predict and control outcomes. LTCM's failure demonstrated that leverage transforms ordinary setbacks into existential crises, that models built on historical data cannot capture tail events, and that liquidity can evaporate precisely when you most need it. As Marks put it: "Leverage + Volatility = Dynamite."

KEY CONCEPTS EXPLAINED

- **Leverage:** Borrowing money to make larger investments than your own capital allows. If you invest \$1 of your own money and borrow \$29 more to invest \$30 total, you are 30x leveraged. A 3% gain on the \$30 investment becomes a 90% gain on your \$1 of equity — but a 3% loss wipes out your entire equity. LTCM's 30x leverage was so extreme that small adverse moves in bond markets destroyed the entire fund.
- **Convergence Trades and Spread Arbitrage:** LTCM's core strategy was betting that price gaps (spreads) between similar securities would narrow over time. For example, buying Italian government bonds and shorting German government bonds, betting the spread between them would shrink as European monetary union approached. These bets were individually small but multiplied to enormous size through leverage.
- **Liquidity Risk:** The risk that you cannot sell an asset when you need to, or can only sell it at a ruinous discount. LTCM's positions were so large that trying to sell them drove prices against itself — there were no buyers for what it needed to offload. In a crisis, liquidity disappears precisely when you need it most, a phenomenon Marks described as "look around the next

time there's a crisis; you'll probably find a lender" — because forced selling begets more forced selling.

- **Model Risk:** LTCM's models were calibrated on historical data that had never included events like a Russian default combined with a global flight-to-quality. When reality moved outside the historical range, the models were useless. Marks argued that all quantitative models embed this risk: they are based on the past and will fail in novel situations.
- **Systemic Risk:** LTCM's failure threatened not just itself but the entire global financial system, because its positions were so large and so interconnected with major banks. The Fed had to orchestrate a bailout not to save LTCM but to prevent its disorderly collapse from triggering a cascade of bank failures. This interconnectedness — where one failure threatens the whole system — is the definition of systemic risk.

MEMORABLE QUOTES

"Leverage plus volatility equals dynamite. Bond investing is a game of inches, but Long-Term was able to earn returns of 40 percent or more through leverage — until it wasn't."

"Look around the next time there's a crisis — you'll probably find a lender. And you'll find that lenders are always happy to lend when you don't need the money, and never there when you do."

WHY IT MATTERS

LTCM is the definitive case study in leverage risk and model risk — concepts central to every credit investment. For private credit, the lesson is that sophisticated analysis of an individual loan is not enough: you must also consider what happens to your portfolio when correlations spike (all your credits deteriorate simultaneously), liquidity dries up, and your leverage providers demand repayment. The structure of the portfolio matters as much as the quality of individual investments.

APRIL 15, 1999

How's the Market?

MARKET CONTEXT

By spring 1999, US markets had recovered from the LTCM crisis with remarkable speed — the Fed had cut rates three times, and technology stocks were roaring ahead. The Nasdaq had returned 40% in 1998 and was accelerating further. A new breed of investor was emerging: day traders, internet fund managers, and retail investors who had never experienced a bear market. Credit spreads in investment-grade markets had normalised, but the equity market was exhibiting classic bubble characteristics. Marks took the market's temperature and found it dangerously elevated.

KEY THESIS

Marks developed his concept of "taking the market's temperature" — assessing whether the overall market environment is characterised by excessive optimism (danger) or excessive pessimism (opportunity). In April 1999, the temperature was running hot: valuations were high, risk appetite was extreme, and investors were discounting the possibility of bad outcomes. Rather than predicting when the market would correct, Marks argued for adjusting portfolio positioning toward defensiveness when the temperature is high — not because you know a crash is coming, but because the asymmetry of risk versus reward has deteriorated.

KEY CONCEPTS EXPLAINED

- **Taking the Market's Temperature:** Marks' framework for gauging the overall risk environment. He assessed multiple indicators: valuation multiples vs. historical averages, credit spread levels, IPO volume and quality, investor sentiment surveys, and the degree to which "novel" justifications for high prices were being offered. A high "temperature" means excessive optimism; a low temperature means excessive pessimism and opportunity.
- **Risk Appetite and Risk Premium:** The "risk premium" is the extra return investors demand for taking risk (e.g., holding a junk bond instead of a government bond). When risk appetite is high (everyone is optimistic), risk premiums compress — investors accept very little extra return for substantial risk. This is when risk is being poorly priced and when future returns will be lower. In 1999, risk appetite was extreme.
- **Valuation Multiples:** In equity markets, prices are often expressed as a multiple of earnings (P/E ratio). Historically, the US market P/E averaged around 15x; by 1999 it was above 30x for the broad market and far higher for technology stocks. High multiples embed high

expectations — any disappointment in growth produces large price declines, while the upside from additional optimism is limited.

- **Positioning for the Cycle:** Rather than market-timing (trying to predict exactly when a correction will come), Marks advocated adjusting portfolio positioning based on market temperature. When conditions are hot, reduce risk (hold more cash, shorten credit duration, avoid the most leveraged companies). When conditions are cold, increase risk. This is a probabilistic risk management framework, not a prediction.
- **Internet Economy Speculation:** The 1999 memo coincided with the peak of what Marks would later call the era of "willingness to extrapolate." Technology and internet companies with no earnings were trading at astronomical valuations based on projections of future revenues that had never been demonstrated. Marks was deeply sceptical of these valuations.

MEMORABLE QUOTES

"When everyone believes something is risky, their unwillingness to buy usually reduces its price to the point where it's not risky at all. And when everyone believes something is safe, their eagerness to buy typically inflates its price to the point where it's extremely dangerous."

"The market's temperature in 1999 was running very hot. You don't need to know exactly when things will change to know that the risk-reward balance has become unfavourable."

WHY IT MATTERS

The "market temperature" framework is directly applicable to private credit: when deal volumes are high, spreads are tight, covenants are thin, and leverage multiples are elevated, the temperature is hot and caution is warranted — regardless of whether you can predict when the cycle will turn. Knowing when conditions are generous versus harsh is the starting point for disciplined credit deployment.

JANUARY 2, 2000

bubble.com

MARKET CONTEXT

On the first trading day of 2000, Howard Marks published what would become his most famous memo of this era. The Nasdaq had returned 86% in 1999 alone. Companies with ".com" in their names were valued in the billions despite having no revenues. Amazon traded at over 30x sales. Pets.com, founded in 1998, had gone public and was worth \$300 million despite burning cash at an extraordinary rate. A generation of investors had come to believe that internet technology had permanently suspended the laws of finance. Marks saw a textbook speculative mania in progress and said so plainly.

KEY THESIS

Marks argued that the technology and internet stock market of 2000 was a classic speculative bubble — irrational in its pricing, driven by fear of missing out rather than fundamental analysis, and destined to end badly. His core argument: no asset, regardless of its growth prospects, justifies any price — there is always a price too high. The belief that internet stocks were impervious to valuation represented a suspension of the basic principle that what you pay determines your return.

KEY CONCEPTS EXPLAINED

- **Speculative Bubble:** A market condition in which asset prices rise far above their fundamental values, sustained by investors' expectation that prices will continue to rise rather than by the underlying cash flows or earnings the assets generate. Marks described bubbles as "more a state of mind than a quantitative calculation" — they are driven by psychology (FOMO, greed, disregard for risk) rather than economics.
- **Price-to-Sales and Price-to-Eyeballs:** Traditional valuation relies on earnings (P/E ratio) or book value. When companies have no earnings, investors in 1999-2000 invented new metrics: price-to-sales (how much you pay per dollar of revenue) or even "price per unique web visitor." Marks recognised these as post-hoc rationalisations for prices that could not be justified by any cash-flow-based analysis.
- **The "No Price Too High" Fallacy:** Bubble thinking convinces participants that the growth potential of an asset is so great that valuation doesn't matter. Marks argued this is always wrong: even the best business in the world can be a terrible investment if the price paid assumes perfection in execution over many decades. A company that ultimately earns \$1 billion per year is worth \$15-20 billion — not \$500 billion.

- **Fear of Missing Out (FOMO):** In a bull market, investors become more afraid of not participating than of losing money. This switches their mental framework from "what could go wrong?" to "I can't afford not to be in this." Marks identified FOMO as a primary driver of bubble conditions — it causes rational people to make irrational decisions.
- **New Era Fallacies:** Every bubble is accompanied by arguments that traditional valuation rules don't apply because "this time is different." In 2000, the argument was that the internet would create unlimited wealth, making current valuations rational in the context of the long-term future. Marks argued these arguments, while containing kernels of truth about technology's impact, were used to justify prices that required years of perfect execution to justify.

MEMORABLE QUOTES

"A bubble or crash is more a state of mind than a quantitative calculation. The conviction that stocks are impervious to overvaluation leads to the belief that there's no price too high."

"Market bubbles aren't caused directly by technological or financial developments but rather result from the application of excessive optimism to those developments."

WHY IT MATTERS

This memo made Marks famous — published on the day the Nasdaq peaked, it correctly identified the bubble and its mechanism. The core lesson for credit: when borrowers, equity sponsors, or real estate developers argue that traditional metrics don't apply because of unique growth potential, the credit investor must demand the same rigorous cash-flow-based underwriting regardless. New paradigms do not change the fundamental nature of debt repayment.

MAY 1, 2000

Irrational Exuberance

MARKET CONTEXT

By May 2000, the Nasdaq had already fallen 35% from its March peak — the bubble.com memo had aged extremely well in just four months. The collapse of high-profile dotcom companies was accelerating (Boo.com, Pseudo.com, and scores of others folded in 2000), and institutional investors who had embraced technology were nursing large losses. Marks borrowed the title from Alan Greenspan's famous 1996 phrase to examine the mechanics of how the bubble had formed and what the aftermath might look like.

KEY THESIS

In this postmortem memo, Marks examined the psychological and structural mechanisms that had produced the bubble: extrapolation of short-term trends, disregard for fundamental valuation, competitive pressure on institutional managers to participate regardless of valuation, and the self-reinforcing nature of price increases. The correction was not yet over, Marks warned — bubbles built on psychology tend to overshoot on the downside just as they had overshoot on the upside.

KEY CONCEPTS EXPLAINED

- **Institutional Imperative and Relative Performance:** Fund managers are evaluated against benchmarks (like the S&P 500 or Nasdaq). If a manager avoids overvalued tech stocks while the index rises 86% (as in 1999), they dramatically underperform and face client redemptions — even if their caution was correct. This "institutional imperative" forces many rational managers to participate in bubbles they know are irrational, because not participating is career-ending.
- **Momentum Investing:** A strategy that buys assets because their prices have been rising, expecting the trend to continue. Momentum investors don't ask "is this cheap?" but "is this going up?" During bubbles, momentum investing delivers spectacular short-term returns and attracts enormous capital — until the trend reverses, at which point momentum investors all try to exit simultaneously.
- **Mean Reversion:** The tendency of prices, returns, and valuations to revert toward their long-term historical averages after extreme moves in either direction. After the extreme overvaluation of 1999-2000, mean reversion implied not just a return to fair value but a likely overshoot into undervaluation — which is exactly what occurred with the Nasdaq falling 78% from peak to trough by 2002.

- **Extrapolation Bias:** The human tendency to assume that recent trends will continue indefinitely. Investors in 2000 extrapolated several years of technology outperformance into a permanent "new paradigm." Marks argued that extrapolation is almost always wrong at extremes — the faster a trend has run, the more likely it is to reverse.
- **Credit Impact of Equity Bubbles:** The dotcom bubble primarily affected equity markets, but it had secondary effects on credit: venture-funded companies raised debt; telecom companies (WorldCom, Global Crossing) borrowed billions to build fibre networks; banks and bond markets funded these ventures. When the bubble burst, these debts became worthless — demonstrating how equity excess becomes credit excess and then credit crisis.

MEMORABLE QUOTES

"Bubbles don't correct to fair value — they tend to overshoot on the downside just as they overshoot on the upside. Pessimism becomes as extreme as optimism was."

"The institutional manager who stayed out of tech in 1999 faced client pressure, career risk, and redemptions — proof that irrational exuberance is not just individual but systemic."

WHY IT MATTERS

Understanding how equity bubbles transmit into credit crises is essential for private credit risk management. The 2000-2002 correction showed that even "safe" senior debt of bubble-era companies could default when the equity rationale evaporated. This is why credit underwriting must stress-test borrowers against scenarios where their equity value collapses, not just the base case.

NOVEMBER 16, 2000

Investment Miscellany

MARKET CONTEXT

By November 2000, the US presidential election was mired in the Florida recount controversy, the Nasdaq had fallen over 50% from its March peak, and the US economy was visibly slowing. The telecom sector — which had binged on debt-financed fibre optic network construction — was beginning to show severe stress, and the rate of dotcom failures was accelerating. Credit markets were widening, and investors were starting to recognise that the recession risk was real. Marks used this memo to address a range of investment topics with a common thread: the importance of avoiding "group think" and the value of independent judgment.

KEY THESIS

Marks gathered several investment observations into one memo, arguing that investment success requires thinking independently from the crowd — what he called "second-level thinking" in embryonic form. When consensus views dominate, assets are priced to reflect those views, leaving no return for those who simply agree with consensus. Exceptional returns require either correctly holding views different from consensus, or having superior insight into a situation most investors are ignoring.

KEY CONCEPTS EXPLAINED

- **Groupthink in Markets:** When most market participants share the same views and assumptions, those views are already embedded in prices. The danger is not just that consensus might be wrong — it's that even when consensus is right, being right with everyone else earns you average returns at best. Genuine alpha (above-market returns) requires diverging from consensus when you have good reason to believe you're right and the crowd is wrong.
- **High-Yield Defaults Rising:** By late 2000, default rates in the US high-yield market were rising sharply as the weakest dotcom and telecom companies ran out of cash. Marks' memo noted the credit cycle was beginning to turn — the easy credit conditions of the late 1990s had funded marginal borrowers who were now defaulting. This was the start of a multi-year credit correction.
- **Selective Perception:** Marks observed that investors have a systematic bias toward information that confirms their existing views. Bull market participants sought out bullish data; bears sought bearish data. Rigorous investing requires actively seeking out disconfirming evidence and honestly assessing the bear case even when everything seems to be going well.

- **Information vs. Insight:** In today's information-rich environment, having access to information is not an edge — everyone has the same Bloomberg terminal, the same SEC filings. The edge comes from analysing information differently, drawing non-obvious conclusions, or finding situations others are ignoring. This is the distinction between information and insight.
- **Telecom Credit Bubble:** The late 1990s telecom buildout was funded by enormous amounts of high-yield debt — WorldCom, Global Crossing, Winstar, and dozens of others issued bonds to fund fibre optic networks. By 2000, it was becoming clear that industry capacity far exceeded demand. These bonds were about to become some of the largest credit defaults in history, demonstrating how an industry credit bubble forms and unwinds.

MEMORABLE QUOTES

"To achieve superior results, you have to hold positions different from the consensus — and different from the consensus in a way that eventually proves correct."

"Having the same information as others and reaching the same conclusions adds no value. The goal is to think differently — and to be right about it."

WHY IT MATTERS

The principle of independent, non-consensus thinking is directly applicable to private credit today. The best private credit opportunities often arise in sectors or situations that most investors avoid due to complexity or stigma — exactly Marks' point about the source of genuine investment edge.

DECEMBER 31, 2000

We're Not in 1999 Anymore, Toto

MARKET CONTEXT

The year 2000 ended with the Nasdaq down 39% for the year — its worst annual performance ever to that point. The S&P 500 fell 9%. The US economy was in the early stages of a recession that would officially begin in March 2001. Corporate defaults were rising sharply, especially in telecom and technology. The era of easy money, soaring asset prices, and investor euphoria was definitively over — but many investors still did not fully appreciate how fundamentally conditions had changed. Marks wrote to mark the transition and explain why the strategies of 1999 would be devastating in the new environment.

KEY THESIS

Marks argued that the investment environment had fundamentally shifted: the era of effortless gains from buying any asset and riding momentum was over, replaced by an environment where fundamental value analysis, credit quality, and selectivity would determine winners and losers. Strategies that had worked beautifully in the bull market would fail in the new environment. Investors who adapted their approach would thrive; those who expected 1999 to return would be destroyed.

KEY CONCEPTS EXPLAINED

- **Regime Change in Markets:** Financial markets periodically shift between fundamentally different regimes — periods characterised by different risk premiums, volatility levels, credit conditions, and return drivers. Recognising when a regime has changed is enormously valuable, because strategies optimised for one regime often perform disastrously in another. The shift from the 1990s bull market to the 2000-2002 bear market was exactly such a regime change.
- **From Alpha to Beta:** "Beta" refers to market returns earned simply by owning a diversified portfolio — available to everyone. "Alpha" refers to returns above beta from skilled security selection or risk management. In 1999, beta was so good (Nasdaq up 86%) that alpha was irrelevant. In 2001, beta was terrible, and only genuine alpha generators (who could identify survivors from defaulting companies) would produce positive returns.
- **Credit Tightening and Its Effects:** When credit conditions tighten — banks pull back lending, bond markets close for weak issuers, investors demand higher spreads — the effects ripple through the economy. Companies that relied on continuously rolling over short-term debt suddenly face a wall of maturities they cannot refinance. This credit tightening accelerates defaults and economic weakness, creating feedback loops.

- **Cash Flow Cover vs. Asset Values:** In the late 1990s, lenders sometimes accepted asset values (inflated by the bull market) as collateral rather than insisting on cash flow coverage. When asset values fell, these loans became unsecured. Marks emphasised the primacy of cash flow analysis over asset value-based lending — a principle that remains fundamental to credit underwriting.
- **The Recovery Trade:** After a large market decline, the most beaten-up assets often offer the best forward returns — if you can distinguish temporary distress from permanent impairment. This is the core of distressed debt investing: buying assets at 30-50 cents on the dollar after a crash, with confidence that the underlying value justifies a much higher price.

MEMORABLE QUOTES

"The strategies that worked in 1999 will be devastating in the new environment. Investors who don't adapt their approach will suffer the consequences of fighting the last war."

"We're not in 1999 anymore. The era of buying anything and watching it go up is over. This is a market that will reward genuine skill and punish the absence of it."

WHY IT MATTERS

The transition from the 1999 bull market to the 2000-2002 downturn illustrates perfectly why private credit requires through-the-cycle underwriting — loans written in 1999 must survive 2002 conditions. Underwriting standards cannot be calibrated to the best of times; they must assume the possibility of the worst of times.

APRIL 10, 2001

Safety First . . . But Where?

MARKET CONTEXT

By spring 2001, the US economy was in recession, equity markets had been falling for over a year, and the telecom sector was in collapse — WorldCom and Global Crossing were heading toward what would be multi-billion dollar bankruptcies. High-yield bond default rates were spiking toward 10%. But even seemingly "safe" assets were complicated: government bonds offered very low yields, investment-grade credit spreads were widening, and money market funds seemed the only refuge. Marks posed the crucial question: in this environment, where can investors genuinely find safety?

KEY THESIS

Marks argued that safety is not a property of an asset class but of price and context. Government bonds are "safe" from default but carry significant interest rate risk. High-grade corporate bonds appear safe but can suffer rating downgrades and spread widening. True safety requires understanding all the risks embedded in any position — not just credit risk, but interest rate risk, liquidity risk, and the risk of opportunity cost. In a world of low expected returns, there is no free safety; every refuge has a cost.

KEY CONCEPTS EXPLAINED

- **Investment-Grade vs. High-Yield Credit:** Credit rating agencies (Moody's, S&P, Fitch) rate bonds on a scale from AAA (safest) to D (defaulted). Bonds rated BBB- and above are "investment-grade" — most institutional investors can own them. Bonds rated BB+ and below are "high-yield" or "junk" — they carry higher default risk but offer higher yields. Many pension funds and insurance companies are restricted to investment-grade only, which is why high-yield markets are often less efficient.
- **Rating Downgrades and "Fallen Angels":** When a company's credit quality deteriorates, rating agencies downgrade its bonds. If a bond falls from investment-grade to high-yield, it becomes a "fallen angel" — institutions restricted to investment-grade must sell it, creating forced selling and often pushing the price below its fundamental value. This creates distressed debt opportunities.
- **Credit Spread Duration:** Just as interest rate duration measures sensitivity to rate moves, "credit spread duration" measures how much a bond's price falls for each 1% widening in its credit spread. In 2001, as corporate credit conditions deteriorated, investors discovered that

investment-grade bonds could suffer significant losses from spread widening even with no default — a "safe" asset had hidden risk.

- **Opportunity Cost of Safety:** Every dollar in a "safe" money market fund earning 2% is a dollar not invested in distressed high-yield bonds at 15% yield — bonds that may have very low actual default risk despite appearing scary. Marks argued that excessive caution has a cost: by hiding in low-returning "safe" assets, investors sacrifice the returns available from properly analysed higher-yield investments.
- **Total Return vs. Income:** Investors often confuse the income a bond pays (its coupon) with its total return (income plus or minus price change). A high-coupon bond that falls 20% in price produces a negative total return despite its attractive income. Conversely, a low-coupon bond that appreciates 20% in price can produce excellent total return. True safety analysis requires considering all sources of return and risk.

MEMORABLE QUOTES

"Safety is not a characteristic of an asset class; it is a property of price and context. A government bond at the wrong price is not safe. A junk bond at the right price can be."

"In a world of low yields on safe assets, the real risk may be the opportunity cost of excessive caution — missing the returns available in properly underwritten higher-yield investments."

WHY IT MATTERS

For private credit practitioners, this memo is a reminder that "private credit" is not inherently safe or risky — it depends on the price (spread), the covenants, the leverage, and the quality of the underlying cash flows. Senior secured loans at 6% yield to a highly leveraged borrower may be far less safe than subordinated loans at 12% to a conservatively capitalised borrower.

JULY 11, 2001

What's It All About, Alpha?

MARKET CONTEXT

Mid-2001 saw continued deterioration in equity markets — the S&P 500 had fallen 26% from its peak — while credit markets were also suffering. The telecom sector's collapse was producing enormous high-yield defaults. At the same time, the hedge fund industry was growing rapidly, with managers claiming they could deliver "alpha" regardless of market direction. Marks used this moment to systematically explain what alpha actually means, where it comes from, and why it is so rare and so difficult to sustain.

KEY THESIS

Alpha — the return above what the market provides — is not a product of intelligence alone, but of a specific combination: operating in markets where skill can add value (inefficient markets), having genuine informational or analytical advantages over other market participants, and maintaining the discipline and patience to exploit those advantages consistently. Most managers claiming to deliver alpha are actually delivering beta in disguise — market-correlated returns with extra fees.

KEY CONCEPTS EXPLAINED

- **Alpha vs. Beta Defined:** "Beta" is the return you earn simply from owning a market — if the stock market returns 10%, a fully diversified portfolio earns beta of 10%. "Alpha" is the return above beta earned through skill — security selection, timing, or risk management that adds value beyond market exposure. Most investors earn primarily beta; genuine alpha generators are rare and command higher fees.
- **Market Efficiency and Alpha Sources:** Alpha can only exist where markets are inefficient — where some investors have analytical advantages that are not yet reflected in prices. In a perfectly efficient market, all information is priced in and no one can earn alpha. Marks identified specific sources of inefficiency in credit markets: complexity (requiring specialist analysis), stigma (preventing many institutions from participating), and illiquidity (creating a premium for patient capital).
- **Beta in Disguise:** Many managers who claimed to deliver pure alpha in the 1990s were actually leveraged bets on the broad market — they looked like alpha generators in the bull market but collapsed when the market fell. Marks' framework helps distinguish genuine skill (alpha) from market exposure with added risk (leveraged beta).
- **Tracking Error:** A statistical measure of how much a portfolio's returns deviate from its benchmark. High tracking error means the portfolio is taking large active bets; low tracking

error means it closely resembles the index. Many institutional investors constrain tracking error, which limits their ability to generate alpha by forcing them to hold positions similar to their benchmark.

- **Correlation:** The degree to which two assets move together. A portfolio of uncorrelated assets provides diversification benefit. When correlations spike during crises (all assets fall together), diversification disappears exactly when you need it most. True alpha generation requires finding returns that are genuinely uncorrelated to market beta — which is what Oaktree's distressed and credit strategies aimed to provide.

MEMORABLE QUOTES

"Alpha is entirely personal and idiosyncratic — an art form representing superior insight where some people simply get it better than others. You cannot manufacture it; you can only cultivate the conditions where it can emerge."

"Investors must be conscious and aware of where they decide to go fishing for bargains. You cannot find alpha in waters where everyone is already fishing."

WHY IT MATTERS

This memo is a roadmap for why private credit generates excess returns: it fishes in waters where most investors can't go (illiquid, complex, covenant-heavy direct lending), creating structural alpha from market inefficiency rather than from simple market beta. Understanding this distinction helps investors evaluate whether a private credit manager is genuinely generating alpha or simply taking undisclosed risks.

SEPTEMBER 16, 2001

Notes from New York

MARKET CONTEXT

Marks wrote this memo just five days after the September 11, 2001 terrorist attacks on New York and Washington. US equity markets had been closed for four days and had just reopened to heavy selling — the Dow fell 684 points (7.1%) on the day of reopening, its largest single-day point loss at the time. The attacks had killed nearly 3,000 people, destroyed the World Trade Center, and created profound uncertainty about the economic, geopolitical, and psychological consequences. This was unlike any memo Marks had written before — it dealt with tragedy, uncertainty, and the appropriate human and investment response to catastrophe.

KEY THESIS

In an extraordinarily human document, Marks wrote not with analytical detachment but with genuine grief and humility. His investment point was simple and profound: genuine uncertainty — the kind that followed 9/11, where the range of possible outcomes was vast and largely uncharted — is exactly when intellectual humility is most important. Rather than offering confident predictions about the economic fallout, Marks acknowledged the limits of what anyone could know and counselled caution, resilience, and prioritising human values over investment calculation.

KEY CONCEPTS EXPLAINED

- **Known Unknowns vs. Unknown Unknowns:** In risk management, "known unknowns" are risks you know exist but cannot precisely quantify (e.g., "a recession is possible"). "Unknown unknowns" are risks you haven't even conceived of — like a large-scale domestic terrorist attack before 9/11. After 9/11, investors had to reckon with a much wider range of unknown unknowns, requiring greater humility and margin of safety.
- **Geopolitical Risk and Markets:** Financial markets generally price known risks but struggle with novel geopolitical shocks. The 9/11 attacks introduced new categories of risk — terrorism, asymmetric warfare, infrastructure vulnerability — that had no good historical precedent for pricing. Markets initially panicked (extreme risk-off), then recovered as the economic impact proved more limited than feared.
- **Liquidity and Market Functioning:** The closure of US equity markets for four days after 9/11 illustrated how markets can seize up entirely in extreme circumstances. For credit investors, the lesson was that liquidity — assumed in normal times — can disappear suddenly, making it critical to have portfolio structures that do not require immediate liquidation to meet obligations.

- **Counter-Cyclical Opportunity in Crisis:** While Marks was appropriately human about the tragedy, the investor in him also recognised that extreme fear creates buying opportunities. 9/11 was followed by a sharp market decline that proved temporary — those who bought into the panic were rewarded. The credit market spread widening that followed created attractive entry points for patient capital.
- **The Role of Cash and Dry Powder:** Having liquid capital (dry powder) to deploy during crises is enormously valuable — but requires the emotional fortitude to invest when fear is highest. Marks had consistently advocated for maintaining reserves precisely for such moments. After 9/11, Oaktree was positioned to invest, not to sell.

MEMORABLE QUOTES

"In times of true uncertainty — the kind we face now — intellectual humility is not a weakness. It is the only honest response to a world whose trajectory no one can claim to foresee."

"The most important thing right now is not investment positioning, but the recognition that we live through history, not just witness it from a comfortable distance."

WHY IT MATTERS

This memo teaches credit practitioners that the framework for understanding risk must include tail events of unprecedented character — not just historical data. It also demonstrates that periods of maximum uncertainty (and maximum fear) are often the best credit investment entry points, provided the investor has maintained both capital reserves and psychological equanimity to act.

OCTOBER 4, 2001

What Lies Ahead?

MARKET CONTEXT

Three weeks after 9/11, US forces invaded Afghanistan, beginning what would become America's longest war. The US economy was in recession, corporate credit markets were severely stressed (high-yield default rates approaching 12%), and investor confidence was shaken. Airlines, hotels, and insurance companies faced existential threats from the attacks. The stock market had partially recovered from its 9/11 sell-off but remained deeply depressed. Marks reluctantly turned to the question of what might happen next — a question he had spent years arguing was largely unanswerable.

KEY THESIS

Marks expressed genuine reluctance to write this memo — his philosophy was agnostic about predicting macro outcomes, and he acknowledged his views were mostly negative with no certainty about timing. Nevertheless, he outlined the range of plausible scenarios and emphasised the importance of positioning for multiple outcomes rather than betting on any single forecast. His message: the correct response to heightened uncertainty is reduced risk, wider diversification, and a longer investment time horizon.

KEY CONCEPTS EXPLAINED

- **Scenario Analysis vs. Point Forecasting:** Rather than predicting a single outcome ("the economy will contract 2%"), scenario analysis considers multiple plausible futures (mild recession, severe recession, rapid recovery) and constructs a portfolio that performs acceptably across all scenarios. This is more honest about uncertainty and produces more robust portfolios than optimising for a single forecast.
- **The Debt Overhang:** By 2001, years of easy credit had produced enormous corporate debt levels — particularly in telecom and media. A "debt overhang" is when a company carries so much debt that its equity holders have little incentive to invest in the business (because all cash flows go to debt service) and its creditors worry about default. The telecom debt overhang would take years to work off through defaults and restructurings.
- **Consumer Confidence and Spending:** After 9/11, consumer sentiment plummeted and spending on travel, entertainment, and discretionary items collapsed. Since consumer spending constitutes about 70% of US GDP, this created severe economic headwinds. For credit investors, the question was which borrowers' revenue depended on consumer sentiment and how severely those industries would be affected.

- **Corporate Restructuring and Distressed Opportunities:** The combination of recession, 9/11 shock, and telecom collapse was producing massive restructuring activity — bankruptcies, debt exchanges, and out-of-court workouts. For Oaktree and other distressed investors, this wave of stress created an historic pipeline of investment opportunities in deeply discounted debt of companies undergoing restructuring.
- **Time Horizon and Patience as Risk Management:** With short-term visibility severely impaired, Marks argued that having a long investment time horizon was one of the best risk management tools available. If you could absorb near-term volatility, you could take advantage of prices that reflected short-term panic rather than long-term value — the core of distressed investing.

MEMORABLE QUOTES

"I'm reluctant to write this memo because many of my views are negative, and I'm not an economist. But the honest answer to 'what lies ahead?' is: a wide range of possibilities, and we should position for that uncertainty rather than for any single scenario."

"The correct response to heightened uncertainty is not paralysis but deliberate caution — reduced risk, wider diversification, and a longer time horizon."

WHY IT MATTERS

Scenario analysis — building portfolios that survive multiple possible futures rather than optimising for a single prediction — is the core methodology of sophisticated credit risk management. This memo provides a clear framework for how to think about portfolio construction under genuine uncertainty, directly applicable to assessing private credit portfolios today.

NOVEMBER 20, 2001

You Can't Predict. You Can Prepare.

MARKET CONTEXT

By November 2001, the recession was deepening, the US military campaign in Afghanistan was underway, and credit markets were continuing to deteriorate. High-yield default rates had reached multi-decade highs, and investor confidence remained depressed. But from crisis context, Marks drew his most clarifying framework yet — inspired, he noted, by a slogan from an insurance company advertisement heard during a football game. This memo synthesised years of thinking about uncertainty, cycles, and portfolio construction into his clearest statement of investment philosophy to date.

KEY THESIS

The future is fundamentally unpredictable, but this does not mean investors are helpless. The correct response to uncertainty is not better forecasting but better preparation: building portfolios that are robust to a wide range of outcomes, maintaining reserves for opportunistic deployment, avoiding leverage that could cause forced selling at the worst moment, and positioning defensively when market conditions are euphoric so that when bad things happen (as they will), the portfolio survives intact and has capital to deploy at distressed prices.

KEY CONCEPTS EXPLAINED

- **Investment Cycles Defined:** Marks outlined three nested cycles that affect credit investors: (1) the economic cycle — the broad expansion and contraction of GDP; (2) the profit/business cycle — corporate earnings rising and falling more dramatically than the economy; (3) the credit cycle — the availability and price of debt oscillating between boom (easy credit, tight spreads) and bust (scarce credit, wide spreads). Understanding where you are in each cycle shapes how aggressively or defensively to invest.
- **Preparing When the Cycle Is Against You:** The paradox Marks identified: you need to prepare for downturns during upturns, when preparation is psychologically hardest and commercially least rewarding. When markets are up, risk aversion feels irrational. But that is precisely when preparation matters most — because in the downturn, there is no time to prepare. You either are prepared, or you are not.
- **Portfolio Resilience:** A resilient portfolio is one that performs acceptably across a wide range of scenarios, not one optimised for a single forecast. This means: (1) no concentration that could cause catastrophic loss in a single-name default; (2) no leverage requiring asset sales at

inopportune times; (3) covenants and structural protections that give early warning of deterioration; (4) diversification across sectors and credit cycles.

- **Dry Powder and Optionality:** "Dry powder" is uninvested capital held in reserve for deployment when opportunities arise. In distressed credit markets, the best opportunities appear when credit markets are frozen and sellers are desperate — exactly when investors with dry powder can buy at extraordinary discounts. Keeping dry powder means accepting lower near-term returns in exchange for the option to invest at crisis prices.
- **Forced Selling and the Importance of Stable Capital:** When investors use leverage or have short-term capital (like a hedge fund with quarterly redemptions), they may be forced to sell at the worst possible time — when markets are falling and prices are depressed. Stable, patient capital (like Oaktree's closed-end funds with multi-year lockups) can withstand temporary declines and avoid forced selling, turning crises into opportunities rather than disasters.

MEMORABLE QUOTES

"You can't predict. But you can prepare. The essence of preparation is building a portfolio that can survive what you can't foresee."

"You have to prepare when the cycle is not on your side — when investors are optimistic and risk aversion is at a low. That is precisely the time when no one wants to hear about preparation."

WHY IT MATTERS

This is perhaps the single most important memo for private credit practitioners. The discipline of "you can't predict, you can prepare" translates directly into: conservative leverage policies, strong covenant packages (early warning systems), diversified portfolios, stress testing against adverse scenarios, and maintaining allocation capacity for distressed opportunities that arise in every credit cycle downturn.

MARCH 14, 2002

Learning From Enron

MARKET CONTEXT

Enron Corporation — once the seventh-largest company in America — had filed for bankruptcy in December 2001 in what was then the largest corporate bankruptcy in US history. The collapse revealed systematic accounting fraud: Enron had used complex special-purpose vehicles and off-balance-sheet structures to hide \$30 billion of debt and inflate earnings for years. Arthur Andersen, one of the five largest accounting firms, was implicated in auditing the fraud and would itself be destroyed. This was the opening act of what became the largest wave of corporate accounting scandals in American history, including WorldCom and Tyco.

KEY THESIS

Marks dissected the Enron collapse as a case study in the systemic failure of corporate governance, accounting standards, incentive design, and investor due diligence. His core argument: the lessons of Enron are not about unique corporate villainy but about recurring patterns — complex structures designed to obscure, accounting incentives misaligned with investors, and auditors with conflicts of interest — that will appear again in different forms. The pattern-recognition skills developed from Enron analysis can protect against future frauds.

KEY CONCEPTS EXPLAINED

- **Special Purpose Vehicles (SPVs) and Off-Balance-Sheet Financing:** An SPV is a separate legal entity created by a company to hold assets or liabilities. When structured correctly, SPVs provide legitimate risk management (e.g., mortgage securitisation). When structured fraudulently, as at Enron, they are used to move debt off the company's balance sheet so it doesn't appear in financial statements — hiding leverage and inflating apparent profitability. Understanding SPV structures is essential for credit analysis.
- **Earnings Management vs. Fraud:** Companies have legitimate discretion in how they account for revenues, expenses, and assets. "Earnings management" uses this discretion to smooth or enhance reported earnings within acceptable bounds. "Fraud" goes beyond discretion into misrepresentation. Enron crossed this line repeatedly — but the boundary is always probed in aggressive corporate reporting. Credit analysts must always ask: "Do these reported numbers reflect economic reality?"
- **Incentive Structure as a Risk Factor:** Enron's executives had enormous stock option packages that created massive personal incentives to maintain a high stock price regardless of underlying economics. When incentive structures reward short-term reported performance

rather than long-term value creation, management behaviour becomes distorted. This is a credit risk factor: look at how management is compensated and whether that creates incentives to obscure problems.

- **Audit Independence:** Arthur Andersen earned large consulting fees from Enron while also auditing its books — a conflict of interest that compromised independence. An auditor financially dependent on a client has incentives to accommodate rather than challenge management's accounting choices. Post-Enron reforms (Sarbanes-Oxley Act of 2002) attempted to address this, but the tension between audit fees and audit independence remains.
- **Complexity as a Red Flag:** Marks drew a practical rule from Enron: if a company's financial structure is so complex that it cannot be easily explained, that complexity itself is a warning sign. Legitimate businesses generally have straightforward financial structures. Extraordinary complexity often exists to obscure — either from regulators, auditors, or investors. For credit analysts, complexity warrants deeper scrutiny, not acceptance.

MEMORABLE QUOTES

"Accounting rules and incentive programmes were created with the best of intentions, but in the extreme they led to Enron's noxious transactions and counterproductive incentives."

"The lessons of Enron are not about unique villainy. They are about patterns that recur: complexity to obscure, incentives to misreport, and auditors who forgot whose side they were on. These patterns will reappear."

WHY IT MATTERS

Every private credit investor must conduct deep due diligence on borrower financial statements, understanding that reported numbers can differ dramatically from economic reality. Marks' Enron analysis provides a checklist: look for complexity, understand incentives, be sceptical of aggressive accounting, and always ask why structures that obscure liabilities exist. These skills protect against credit fraud and deteriorating credit quality.

MAY 31, 2002

The Realist's Creed

MARKET CONTEXT

By May 2002, markets were deeply depressed — the S&P 500 was down 35% from its 2000 peak and still falling. WorldCom's accounting fraud (which would dwarf Enron) was being uncovered, and telecom defaults were accelerating. In this environment of pessimism and uncertainty, Marks observed two dysfunctional investor responses: some investors remained irrationally optimistic (hoping for a quick recovery to 1999-style returns), while others had swung to irrational pessimism (retreating entirely from risk). His memo argued for a middle path: clear-eyed realism about what is knowable and what is not.

KEY THESIS

Marks articulated "the realist's creed" — a set of principles for navigating uncertainty without retreating into either false optimism or destructive pessimism. The realist accepts that the future is unknowable, acts on probabilities rather than certainties, maintains conviction without arrogance, and remains genuinely open to being wrong. Critically, the realist understands that guessing the future accurately is not the point — positioning portfolios to profit from a range of outcomes is.

KEY CONCEPTS EXPLAINED

- **Probabilistic Thinking:** Rather than declaring what will happen, the realist investor thinks in probabilities: "There is a 60% chance of mild recession, 25% chance of deeper recession, 15% chance of quick recovery." This framing acknowledges uncertainty while still enabling actionable portfolio decisions: weight your portfolio toward assets that perform well in the most likely scenario, while ensuring survival in the less likely adverse scenarios.
- **The Difference Between Being Right and Making Money:** Markets can be "right" or "wrong" by academic standards — but making money depends on being right differently from consensus. If your forecast matches the market's embedded consensus, even a correct prediction earns nothing. The realist seeks situations where their analysis differs from (and is more accurate than) the consensus view.
- **Intellectual Honesty About Uncertainty:** Marks was critical of investors who project false confidence about the future to attract clients or appear authoritative. In reality, all market forecasters operate under deep uncertainty. Acknowledging this uncertainty is not weakness — it is the first step toward sound portfolio construction that doesn't rely on a single prediction being correct.

- **Base Rates and Historical Analogues:** A practical tool for the realist is "base rates" — historical frequencies of outcomes (e.g., "in the 10 post-war recessions, credit spreads averaged X% at the trough and subsequently tightened Y% over the following 18 months"). Base rates don't predict the future precisely, but they provide anchors for probabilistic reasoning that prevent excessive extrapolation of current conditions.
- **Acting on Imperfect Knowledge:** The realist does not wait for certainty (which never arrives) but acts on the best available evidence while building in margins of safety for being wrong. In credit, this means: lend when the probability-weighted return (expected return minus expected loss) is attractive, even without certainty about the outcome. Never lend just because you're confident in the base case without stress testing the bear case.

MEMORABLE QUOTES

"It's easy to make guesses about the future but hard to be consistently more right in those guesses than your fellow investor, and thus hard to consistently outperform."

"The realist neither succumbs to false optimism nor retreats into paralysing pessimism. He acts on probabilities, maintains humility about uncertainty, and builds portfolios that don't require any single prediction to be correct."

WHY IT MATTERS

Probabilistic credit underwriting — where expected returns are assessed relative to probability-weighted expected losses across scenarios — is the heart of sophisticated private credit. This memo provides the philosophical foundation for that approach, distinguishing it from both the false precision of overconfident underwriting models and the paralysis of excessive uncertainty.

JULY 26, 2002

Quo Vadis?

MARKET CONTEXT

The summer of 2002 brought what felt like financial apocalypse: WorldCom filed for bankruptcy on July 21, 2002 — surpassing Enron as the largest bankruptcy in US history with \$107 billion in assets and \$40 billion in fraud-inflated revenues. The S&P 500 was approaching its ultimate bear market low, down 50% from its 2000 peak. Investor confidence in corporate America had collapsed. Credit markets were extremely stressed. Into this environment, Marks asked "Quo Vadis?" — Latin for "where are you going?" — to examine whether markets were presenting a historic buying opportunity or whether conditions could deteriorate further.

KEY THESIS

Marks argued that the 2002 market presented a classic dilemma: conditions were clearly more attractive than the peak of the bull market, but further deterioration remained entirely possible. His framework for navigating this: rather than trying to predict the bottom, investors should begin carefully deploying capital as valuations improve, accepting that they will not buy at the absolute lowest price but will capture most of the available opportunity. Moving toward attractiveness cautiously, but moving, was the right answer.

KEY CONCEPTS EXPLAINED

- **Timing the Bottom:** The obsession with buying at "the bottom" — the exact lowest price — is largely futile and often causes investors to miss the recovery entirely. Markets bottom when bad news is maximum but future news flow will be slightly less bad, a moment that is nearly impossible to identify in real time. Marks argued for "getting cheap enough" rather than "the cheapest possible" — beginning to invest when valuation is clearly attractive, accepting that prices may fall further before recovering.
- **High-Yield Spreads at Historic Wides:** By mid-2002, high-yield credit spreads had widened to levels (over 1,000 basis points — 10% above Treasuries) not seen since the early 1990s trough. At these levels, even assuming elevated default rates, the expected return on a diversified high-yield portfolio was very attractive. This was the mathematical case for buying — not a prediction about timing, but an assessment of expected value.
- **The Importance of Absolute Returns:** When yields on high-yield bonds reach 15%, 18%, or 20%, the absolute return available from a portfolio of diversified credit is high enough to generate excellent returns even if some bonds default. This "carry" — the income earned while

waiting — makes credit investing particularly attractive at wide-spread periods. Equity investors have no guaranteed income stream to earn while waiting for recovery.

- **Distressed Debt at Scale:** The 2001-2003 period produced a historic volume of corporate defaults and bankruptcies — creating an enormous pipeline of distressed debt opportunities. Marks positioned Oaktree to buy bonds of companies in or near bankruptcy at 20-40 cents on the dollar, expecting recovery values of 50-80 cents as companies restructured. The challenge was having the capital and conviction to deploy when conditions were most frightening.
- **Courage as a Competitive Advantage:** Marks made the point that in periods of maximum fear, most investors are either too scared to buy, restricted from buying, or have depleted their capital by holding falling assets. Those who had maintained dry powder and maintained conviction could buy at extraordinary prices with almost no competition. Psychological fortitude in the face of widespread pessimism is itself a scarce and valuable resource.

MEMORABLE QUOTES

"The question isn't whether to wait for the bottom, but whether the available opportunity is clearly attractive enough to justify beginning to invest now — knowing you may buy more later at even better prices."

"Move toward attractiveness cautiously, but move. Waiting for certainty means waiting forever — and missing the returns that only accrue to those with the courage to invest when others won't."

WHY IT MATTERS

For private credit practitioners, the 2002 environment is a template for understanding what a genuine credit market trough looks like: extremely wide spreads, heavy default activity, and maximum investor fear. Recognising these conditions and having the capital and conviction to deploy is the single most value-creating skill in credit investing — and the one that most clearly distinguishes Oaktree's philosophy from passive or purely defensive approaches.

SEPTEMBER 4, 2002

Etorre's Wisdom

MARKET CONTEXT

September 2002 was close to the ultimate bear market bottom — the S&P 500 would make its final low on October 9, 2002, down 50% from its March 2000 peak. Investor sentiment surveys showed extreme pessimism. The one-year anniversary of 9/11 was approaching, adding to a general atmosphere of gloom. At the same time, high-yield bonds — which Oaktree had been carefully buying — were showing early signs of bottoming. Marks drew on a humorous quote from baseball manager Chuck "Etorre" to make a serious point about the nature of investment knowledge and the wisdom of acknowledging its limits.

KEY THESIS

Using the self-deprecating insight attributed to "Etorre" — "you can observe a lot just by watching" — Marks returned to his foundational theme: investing success comes not from brilliant predictions but from astute observation of what is actually happening in markets. The investor who carefully observes valuation levels, investor behaviour, credit conditions, and sentiment has more actionable information than one who constructs elaborate macro models. Direct observation of market conditions, combined with pattern recognition from experience, is a more reliable guide than forecasting.

KEY CONCEPTS EXPLAINED

- **Market Observation as a Skill:** Marks described specific things an experienced investor can "observe" without needing to forecast: Are IPOs oversubscribed or cancelled? Are covenants in new credit deals getting weaker or stronger? Are spreads widening or tightening? Are investors accepting lower yields to get into deals? These observable signals are leading indicators of where the credit cycle is heading, even without a macro economic model.
- **Covenant Quality as a Cycle Indicator:** When credit markets are in the generous phase of the cycle, lenders compete for deals by offering better terms to borrowers — including weaker covenants. A "covenant" is a contractual restriction that protects the lender (e.g., "the borrower cannot increase total debt above 4x EBITDA"). When covenants are stripped out ("covenant-lite" deals), it signals excessive lender competition and a late-cycle market environment — a key observable indicator.
- **Sentiment Indicators:** Marks observed that investor sentiment surveys, fund flow data, and media narratives are useful contrary indicators. When surveys show maximum pessimism and money is flowing out of credit funds, prices have often already fallen to attractive levels. When

surveys show maximum optimism and money is flooding in, prices have often risen beyond fair value. Sentiment is most useful as a contrarian signal.

- **Pattern Recognition from Experience:** While history never repeats exactly, patterns in human behaviour recur reliably. An investor who has observed three or four credit cycles recognises the characteristics of each phase — the false dawns, the capitulation sell-offs, the early bottoming signals, and the slow recovery phase — even without being able to time them precisely. Experience-based pattern recognition is a core competence of veteran credit investors.
- **The Wisdom of Not-Knowing:** Marks praised the wisdom of acknowledging uncertainty: the investor who says "I don't know exactly when, but I know current valuations offer attractive expected returns" is making a more honest and ultimately more useful statement than the one who says "the market will bottom in Q4 2002." The former can act; the latter is paralysed if the timing is wrong.

MEMORABLE QUOTES

"You can observe a lot just by watching. And what I observe tells me more about where we are in the market cycle than any econometric model."

"The observable indicators — covenant quality, spread levels, deal flow, investor sentiment — are more reliable guides to the credit cycle than predictions about the macroeconomy."

WHY IT MATTERS

The discipline of systematic market observation — tracking covenant quality, spreads, deal volume, and sentiment — is exactly how experienced private credit investors assess market conditions and adjust their investment pace. This memo provides a practical toolkit of observable indicators that tell you where you are in the credit cycle without requiring macro forecasting ability.

NOVEMBER 11, 2002

Returns and How They Get That Way

MARKET CONTEXT

By November 2002, equity markets had made their ultimate lows and were beginning a tentative recovery. The Fed had cut rates aggressively (the federal funds rate was down to 1.25%), and credit spreads — while still elevated — were narrowing from their peaks. The stock market had suffered its worst three-year bear market since the Great Depression. In this environment, many investors were reconsidering their fundamental assumptions about what drives investment returns. Marks used this reflective moment to construct a comprehensive framework for understanding the sources of investment returns — and where skill can genuinely influence them.

KEY THESIS

Marks analysed the components of investment returns: how much comes from beta (market exposure), how much from skill (genuine alpha), and how much from luck. Inspired by Nicholas Taleb's "Fooled by Randomness," he acknowledged the pervasive role of luck in investment outcomes — and argued that investors systematically overattribute their successes to skill and their failures to bad luck. The honest framework: focus on controlling process quality (which is within your power), while accepting that outcomes will always include a significant luck component.

KEY CONCEPTS EXPLAINED

- **Components of Investment Return:** Total return has several distinct sources: (1) risk-free rate (what you earn on government bonds simply for lending money safely); (2) credit spread or risk premium (extra return for bearing default risk); (3) skill premium (additional return from superior security selection); (4) luck (random positive or negative variation). Marks argued most investors confuse categories 3 and 4 — they attribute good outcomes to skill when luck played a large role.
- **The Role of Luck:** Nassim Taleb demonstrated that in any large population of investors, some will outperform by chance for many years in a row — their track record will look like skill, but it is mostly luck. The difficulty is distinguishing genuine skill (consistent superior process) from a lucky run. Marks argued that the correct focus is process quality, not outcomes, because a good process with bad luck will eventually produce good results, but a bad process with good luck will eventually revert.
- **Risk Premium in Credit:** The credit risk premium — the extra yield a bond pays above the risk-free rate — compensates for three things: expected default losses, uncertainty about

those losses, and the illiquidity of holding credit instruments. In late 2002, with spreads at 1,000+ basis points, the risk premium was far more than sufficient to compensate for all three — making credit an extraordinarily attractive risk-adjusted return.

- **Alpha as Process:** Marks defined alpha not as a result but as a process: the consistent application of rigorous analysis, independent thinking, and disciplined risk management. A manager with a superior process might have one bad year due to bad luck — but over time, the process will produce superior results. Evaluating managers on process quality rather than recent performance is far more reliable for predicting future returns.
- **Survivorship Bias:** We study the investment managers who succeeded, not the ones who failed (because the failures have disappeared). This creates a misleading picture of how difficult it is to outperform. Among all managers who used similar strategies, the distribution of outcomes includes many failures — we just don't see them. Recognising survivorship bias is essential for evaluating whether a track record represents genuine skill.

MEMORABLE QUOTES

"The pervasive role of luck in investing is underappreciated. Good outcomes are too often attributed to skill; bad outcomes too often attributed to bad luck. The honest investor acknowledges both."

"Focus on process quality — which you can control — rather than on outcomes — which you cannot. A superior process will, over time, produce superior results."

WHY IT MATTERS

For private credit risk managers, this memo is a reminder to evaluate investment processes rather than just outcomes. A loan portfolio that has never had a default might reflect excellent underwriting — or it might reflect a benign credit cycle. Distinguishing the two requires assessing the quality of the underwriting process, not just the outcome track record.

MARCH 11, 2003

Whad'Ya Know?

MARKET CONTEXT

March 2003 was one of the most dramatic months in recent market history. The US and UK were days away from invading Iraq (the invasion began March 20), creating intense geopolitical uncertainty. Equity markets were near the lows of their three-year bear market. Meanwhile, credit markets were beginning to show signs of life — high-yield spreads, while still elevated, were narrowing from their 2002 peaks, and the first signs of recovery in deal activity were appearing. Marks took the occasion to revisit the question of knowledge: what can investors actually know with confidence, versus what they are merely guessing?

KEY THESIS

Marks constructed a hierarchy of investor knowledge — distinguishing between things that are truly knowable (company-specific fundamentals, observable market conditions, historical patterns), things that are partially knowable (broad economic trends, sector dynamics), and things that are essentially unknowable (geopolitical events, macro timing, market psychology). Investment success comes from correctly categorising what you know, acting decisively on genuine knowledge, and maintaining appropriate humility where knowledge is absent — not from pretending to know things you don't.

KEY CONCEPTS EXPLAINED

- **The Knowability Hierarchy in Investing:** Marks argued that different aspects of investing have vastly different degrees of knowability. Whether a specific company can service its debt (given its cash flows, assets, and covenant package) is relatively knowable with rigorous analysis. Whether the stock market will be up or down next year is largely unknowable. Investors who focus their energy on the former and maintain humility about the latter will make better decisions than those who spend their time on macroeconomic forecasting.
- **Knowable: Company Fundamentals:** For credit analysts, the most important knowable information includes: the borrower's historical cash flow generation and its stability; the quality and coverage ratio of collateral; management's track record and incentives; covenant package and its enforceability; the industry structure and competitive dynamics. Rigorous analysis of these factors produces a well-informed credit view — even in an uncertain macro environment.
- **Partially Knowable: Cycle Position:** While precise market timing is unknowable, the broad position in the credit cycle is partially knowable through observable indicators: spread levels versus history, default rate trends, deal structure quality (covenant-lite vs. tight), volume of new

issuance, and quality of new issuers. These indicators don't tell you when the cycle will turn, but they tell you whether you are in a generous or demanding phase — which shapes appropriate aggressiveness of deployment.

- **Essentially Unknowable: Macro and Political Events:** The timing of the Iraq invasion, its duration, its economic consequences, and the subsequent market reaction — essentially unknowable. Marks had lived through the 1990 Gulf War (markets fell then rallied sharply), 9/11 (markets crashed then recovered), and multiple geopolitical crises where expert predictions were largely wrong. The correct response to geopolitical uncertainty is portfolio resilience, not prediction.
- **Acting on Partial Knowledge:** The key insight: partial knowledge is still valuable. Even without knowing the macro future, if you know that current credit spreads of 800 basis points more than compensate for plausible default rates, you have a basis for action. You don't need to predict the cycle's exact turning point — you need to know whether current valuations offer sufficient compensation for the risks you are taking. This is the essence of credit investing.

MEMORABLE QUOTES

"Investment success comes from correctly categorising what you know and what you don't — and acting decisively on the former while maintaining appropriate humility about the latter."

"You don't need to know everything to invest well. You need to know the right things — and know which things you cannot know, so you build in the appropriate margin for uncertainty."

WHY IT MATTERS

This epistemic framework is foundational for private credit underwriting: focus relentlessly on what is knowable (borrower cash flows, covenant package, collateral quality) while maintaining humility about what is not (macro environment, interest rate trajectory, geopolitical developments). Structure loans to survive the unknowable, not just to perform in the base case.

MAY 6, 2003

What's Going On?

MARKET CONTEXT

By May 2003, the market environment had dramatically shifted. The Iraq War had ended quickly (major combat operations declared over on May 1), removing a major source of uncertainty. Equity markets had rallied sharply from their October 2002 lows — the S&P 500 was up 30% from the bottom. Credit spreads were tightening rapidly as investor risk appetite returned. High-yield bond funds were seeing strong inflows after years of redemptions. For the first time in years, Marks was writing in an environment of genuine improvement — but improvement that required careful assessment of whether it reflected genuine recovery or merely a return of excessive optimism.

KEY THESIS

Marks assessed the rapidly improving market conditions and warned investors not to extrapolate the early-cycle recovery into a new bull market that would justify abandoning caution. His analysis: the credit cycle had genuinely turned, creating opportunities in distressed and high-yield credit that Oaktree was actively exploiting — but the era of easy money had not returned, and the structural excesses of the late 1990s (over-leverage, poor corporate governance, inflated equity valuations) would take years to fully work off.

KEY CONCEPTS EXPLAINED

- **Credit Cycle Recovery Phase:** After a credit trough (wide spreads, high defaults, tight capital availability), recovery follows a recognisable pattern: (1) spreads begin to tighten as the worst defaults have already occurred; (2) capital becomes available to better-quality borrowers; (3) refinancing activity picks up as companies restructure; (4) new issuance volumes increase; (5) deal quality gradually deteriorates as lender competition returns. Recognising early-cycle recovery signals (vs. late-cycle exuberance) determines appropriate deployment pace.
- **Technical Recovery vs. Fundamental Recovery:** Credit markets can recover technically (spreads tighten, prices rise) before fundamentals (company earnings, cash flows, default rates) fully recover. Technical recovery is driven by reduced fear and increased risk appetite; fundamental recovery requires actual business improvement. Marks distinguished these: technical recovery was underway in 2003, but fundamental recovery was still early-stage.
- **The Distressed Investment Pipeline:** The 2001-2003 wave of defaults (WorldCom, Enron, Global Crossing, Adelphia, Consec, and hundreds of telecom and dotcom failures) had created an enormous inventory of distressed debt and restructured securities. Oaktree had

been buying these assets at deep discounts; the 2003 recovery phase was beginning to crystallise the value of those investments as restructuring processes concluded.

- **High-Yield Recovery and Spreads:** By May 2003, US high-yield spreads had tightened from their peak of over 1,100 basis points to around 700 basis points — still above historical averages but no longer at crisis levels. This tightening represented enormous capital gains for investors who had bought at the peak of fear. For new investors arriving in 2003, the opportunity was less extreme but still attractive versus history.
- **Avoiding the Extrapolation Trap on the Way Up:** Just as Marks had warned against extrapolating the bull market of 1999, he now warned against assuming the early recovery of 2003 would lead directly to a return of easy credit. Structural issues — high leverage in the economy, poor corporate governance, regulatory uncertainty — remained. The most dangerous mistake was treating early recovery as a "clear all-clear" signal.

MEMORABLE QUOTES

"The credit cycle has genuinely turned, and the opportunities we have been building position for are beginning to crystallise. But this is early recovery, not a return to 1999. The structural excesses will take years to work off."

"Do not mistake the beginning of a recovery for the resumption of a bull market. The correct response is active deployment — but with the same discipline that protects you at the top of the cycle."

WHY IT MATTERS

Understanding the distinction between technical credit market recovery and fundamental credit recovery is essential for private credit investors making deployment decisions. Early-cycle recovery offers some of the best risk-adjusted returns — spreads are still wide but the worst defaults have passed — but requires maintaining underwriting discipline rather than re-adopting the loose standards of the pre-crisis period.

JULY 1, 2003

The Most Important Thing

MARKET CONTEXT

By July 2003, credit markets were in full recovery mode. The Fed had cut rates to 1% — the lowest since 1958 — and was explicitly signalling they would remain low for an extended period. High-yield issuance was surging as companies rushed to refinance at better rates, and spreads were tightening rapidly. Eight years before his famous book of the same name, Marks wrote this pivotal memo synthesising his investment philosophy into a coherent whole — identifying "second-level thinking" as the most important meta-skill for successful investing.

KEY THESIS

Marks introduced "second-level thinking" as the central skill that distinguishes superior investors from average ones. First-level thinking is simple, obvious, and widely shared — "this is a good company, let's buy the stock." Second-level thinking is deeper, more complex, and contrarian: "This is a good company, but everyone thinks it's great, and the price already reflects that optimism — therefore, it's not a good investment." Beating the market requires not just being right, but being right in ways the market consensus is wrong — and that requires a deeper, more nuanced level of analysis.

KEY CONCEPTS EXPLAINED

- **First-Level Thinking:** The most obvious, intuitive response to investment questions. "The economy is going to recover — buy cyclicals." "This company has great technology — buy the stock." "Credit spreads are tight — the market is confident." First-level thinkers reach the same conclusions as most other investors, which means the assets they want to buy are already priced to reflect those conclusions. First-level thinking cannot generate alpha.
- **Second-Level Thinking:** The deeper analysis that goes beyond the obvious. A second-level thinker asks: what does the market currently expect? How does my expectation differ? If I'm right and the market is wrong, how large is the potential gain? What is the probability I'm wrong, and what would the loss be? Second-level thinking requires not just forming a view but assessing that view relative to what is already priced into the market.
- **The Consensus is Already Priced In:** A critical insight: if your view matches the market consensus, even if correct, it generates no return — it's already in the price. Outperformance requires holding non-consensus views that are subsequently validated. This is why contrarianism (carefully applied) is essential to alpha generation — not contrarianism for its

own sake, but the willingness to diverge from consensus when you have sound analytical reasons to believe the consensus is wrong.

- **Price Versus Value in Credit:** In second-level credit analysis, the question is not "is this a good company/borrower?" (first level) but "given the current spread/price, does the market's implied probability of default appropriately reflect the actual risk?" If the market implies a 5% default probability when your analysis suggests 2%, the bond offers excess return. If it implies 5% when your analysis suggests 8%, the bond is expensive despite appearing to offer high yield.
- **Bet Sizing and Conviction:** Second-level thinking also applies to portfolio construction: not only identifying situations where you have superior insight but also sizing positions appropriately to how confident you are in your non-consensus view. Large bets in high-conviction, non-consensus positions; small or no positions where you have no analytical edge over market consensus.

MEMORABLE QUOTES

"First-level thinking says, 'It's a good company; let's buy the stock.' Second-level thinking says, 'It's a good company, but everyone thinks it's a great company, and it's not. So the stock's overrated and overpriced; let's sell.'"

"Your goal in investing isn't to earn average returns; you want to do better than average. Thus your thinking has to be better than that of others — both more powerful and at a higher level."

WHY IT MATTERS

Second-level thinking is the intellectual foundation of all private credit investing: not "is this a creditworthy borrower?" (obvious, first-level) but "given the spread this deal offers, is the market's implied credit risk accurately priced, and does my analysis give me genuine insight into whether the actual risk is higher or lower than the market assumes?" This is where the real value-add of a credit risk professional lies.

SEPTEMBER 5, 2003

What's Your Game Plan?

MARKET CONTEXT

By autumn 2003, markets were recovering strongly. Equities were up 25% from October 2002 lows, credit spreads had tightened dramatically (high-yield spreads back below 500 basis points from over 1,100 at the 2002 peak), and deal activity in leveraged finance was accelerating. Private equity buyouts were returning, and the distressed debt opportunity that Oaktree had been building through 2001-2002 was bearing fruit. Marks used this moment of improving conditions to ask a strategic question: what should investors' game plan be as conditions normalise and the easy opportunities of the distressed cycle give way to a more competitive environment?

KEY THESIS

With the distressed investment window closing as credit recovered, Marks argued that investors needed explicit, articulated game plans — not just reactive strategies that respond to whatever the market is doing. A game plan defines: what type of returns you are targeting, what risks you will and will not accept, how your strategy changes through the credit cycle, and how you will maintain discipline when the market offers tempting but inappropriate opportunities. Without a clear game plan, investors default to the herd, inevitably buying high and selling low.

KEY CONCEPTS EXPLAINED

- **Strategic Investment Mandates:** A formal investment mandate defines the universe of assets a fund or investor will consider, the maximum and minimum exposures to specific risk factors, the target return and acceptable volatility range, and the benchmarks against which performance is measured. Marks argued that a well-defined mandate is essential because it forces investors to articulate in advance what they will do — rather than deciding case-by-case under market pressure, when emotions distort judgment.
- **Through-the-Cycle Investing:** A through-the-cycle approach maintains consistent underwriting standards regardless of market conditions — rather than tightening standards during downturns (when prices are best) and loosening during upturns (when prices are worst). This counter-intuitive discipline is what distinguishes cycle-beating investors from those who amplify cycles by deploying capital when it's expensive and hoarding it when it's cheap.
- **Opportunity Set Evolution:** As the 2001-2002 distressed cycle wound down, the types of available investments were shifting: from distressed debt at 30-40 cents on the dollar to performing high-yield at 95-100 cents, from workouts and restructurings to new-issue primary

market deals. Each phase of the cycle offers a different opportunity set requiring different analytical skills and risk tolerances. Having a clear game plan helps investors adapt without abandoning their core philosophy.

- **Discipline in a Recovering Market:** The greatest test of investment discipline is not in bear markets (where caution is easy to justify) but in recovering markets, where FOMO reasserts itself and "everyone" is making money in assets that Oaktree's conservative philosophy might underweight. Marks argued that discipline — sticking to your game plan even when it costs you short-term relative performance — is the key to long-run superior results.
- **Return Targets and Risk Budgets:** A game plan includes explicit target returns for the risk taken. If a credit fund targets 8-10% returns with low default losses, that plan defines how much risk can be in the portfolio — maximum leverage on borrowers, minimum covenant quality, acceptable asset classes. When market conditions change (spreads tighten, covenants weaken), the game plan determines whether to accept worse risk-return or to hold back capital.

MEMORABLE QUOTES

"Without a clear game plan, investors become reactive — chasing what worked last year, avoiding what hurt them recently. The result is inevitably buying high and selling low."

"The best time to define your game plan is not when you're in the thick of a crisis or a boom — it's in the quiet moments in between, when clear thinking is possible."

WHY IT MATTERS

For credit risk managers, an explicit investment framework — defining target returns, acceptable risks, and how both change through the credit cycle — is essential infrastructure. Without it, individual deal decisions are made in isolation without reference to portfolio-level risk, cycle position, or return objectives. This memo makes the case for building that framework before conditions deteriorate, not after.

OCTOBER 2, 2003

The Feeling's Mutual

MARKET CONTEXT

By October 2003, the recovery was well established. The S&P 500 had rallied nearly 40% from its October 2002 low. High-yield spreads had tightened to approximately 450 basis points — approaching the generous (pre-crisis "normal") levels of the mid-1990s. Leveraged buyout activity was picking up as private equity firms returned to market with cheap debt financing. The three-year bear market and credit crisis were definitively over. Marks used this thirteenth and final memo of the era to reflect on the relationship between investors and their advisors and managers — and on what mutual obligations and realistic expectations should define that relationship.

KEY THESIS

Marks examined the often-misaligned expectations between investment managers and their clients, arguing that healthy investment relationships require mutual honesty: managers must honestly communicate their philosophy, limitations, and realistic return expectations; clients must honestly assess their own risk tolerance, time horizon, and ability to sustain drawdowns without panicking. When either side is dishonest — managers overpromising, clients claiming more risk tolerance than they actually have — the relationship breaks down at the worst possible time, in the depths of a downturn.

KEY CONCEPTS EXPLAINED

- **Realistic Return Expectations:** Marks had spent 13 years carefully managing client expectations — communicating that Oaktree's goal was consistent above-average returns through careful risk management, not the highest returns in bull markets. In 1999, when technology funds returned 100%+, Oaktree's clients needed to understand why their credit portfolios returned "only" 12-15% — and why that was appropriate. Setting realistic expectations prevents clients from redeeming at market bottoms, destroying the relationship and locking in losses.
- **Risk Tolerance — Stated vs. Revealed:** Marks observed that clients often claim higher risk tolerance than they actually have in practice. In good markets, everyone says they can tolerate 20% drawdowns. When a 20% drawdown actually occurs, many call to redeem — the opposite of what a disciplined long-term investor should do. The mutual relationship requires clients to honestly assess their actual tolerance for mark-to-market losses before committing capital.

- **Benchmark Selection and Relative Performance:** How a fund's performance is benchmarked determines whether it is judged fairly. A defensive credit fund will underperform an equity benchmark in strong bull markets but should be compared to credit peers. Choosing appropriate benchmarks — agreed in advance — is part of the manager-client relationship that determines whether performance is evaluated fairly through cycles.
- **The Manager's Obligation:** Marks articulated clear obligations on the manager side: transparency about strategy and risk, honest communication about unfavourable environments, consistency in philosophy (not style-drifting to chase recent performance), and clear disclosure of conflicts of interest. These obligations are the foundation of the trust required for clients to stay invested through inevitable difficult periods.
- **Long-Term Thinking as a Shared Value:** The final memo of the era concludes with the observation that truly successful investment relationships are between managers and clients who share a long-term orientation. Short-term performance pressure (quarterly evaluations, annual reviews, peer rankings) is the enemy of long-term investment discipline. Aligning manager and client time horizons is perhaps the most important structural element of a productive investment relationship.

MEMORABLE QUOTES

"Clients who say they can take risk in good times but redeem in bad times are the ones who crystallise losses and miss recoveries. Honest assessment of actual risk tolerance — not aspirational risk tolerance — must precede any investment relationship."

"The manager's job is not to produce the best returns in every market environment, but to implement a philosophy consistently and honestly — and to help clients understand why consistency through cycles is worth more than brilliance in good times."

WHY IT MATTERS

For private credit practitioners working between investment managers and institutional clients, this memo is essential reading on the governance of investment relationships. Setting honest expectations about returns through cycles, drawdown risk, and the appropriate time horizon for private credit — and ensuring clients genuinely understand and accept these — is as important as the investment process itself. The memo closes Era I with Marks as mature philosopher-practitioner, having navigated a complete market cycle and distilled its lessons into a coherent, teachable framework.



Pre-GFC Credit Euphoria & The Global Financial Crisis

2004 – 2009

Credit markets enter an extraordinary bubble: spreads compress to historic lows, covenant protections evaporate, and leverage reaches extreme levels through CDOs and CLOs. Marks warns repeatedly before the storm. The 2008 GFC memos are among the most important ever written on credit market behaviour under stress. This era is essential reading for anyone in private credit.



OCTOBER 27, 2004

Risk and Return Today

MARKET CONTEXT

By late 2004, the Federal Reserve had been cutting interest rates aggressively since 2001 to combat the aftermath of the dot-com bust and the 9/11 shock, taking the Fed funds rate to a 45-year low of 1%. Although the Fed began raising rates in June 2004, long-term Treasury yields stubbornly refused to rise — a puzzle Alan Greenspan would later call a "conundrum." This low-rate environment pushed investors desperate for income into ever-riskier assets: high-yield bonds, leveraged loans, emerging-market debt, and structured products. Credit spreads — the extra yield investors demand for holding corporate bonds over risk-free Treasuries — had compressed to historically thin levels, meaning investors were being paid very little extra for taking on substantial credit risk.

KEY THESIS

Marks argued that in 2004 the risk-return relationship had broken down: prospective returns on virtually every asset class were unusually low because high prices had been bid up by yield-hungry investors, yet the risks had not correspondingly decreased. He warned that investors searching for yield were moving into "alternative" and higher-risk investments without adequately compensating themselves for those risks. The core danger was that compressed risk premiums leave no margin of safety — if anything goes wrong, losses will be severe because there is no cushion built into prices.

KEY CONCEPTS EXPLAINED

- **Credit Spread:** The difference in yield between a corporate bond and a "risk-free" government bond of the same maturity. If a 10-year Treasury yields 4% and a BBB corporate bond yields 5.5%, the spread is 150 basis points (1.5%). Spreads compensate investors for the risk that the company might default. When spreads are "compressed" or "tight," investors are accepting less extra yield for the same amount of credit risk — a classic sign of a late-cycle bubble.
- **Risk Premium:** The additional return that investors require to hold a risky asset instead of a risk-free one. In normal markets, riskier assets carry higher risk premiums. When risk premiums collapse — as they did in 2004–2006 — it signals that investors have become complacent and are not pricing risk appropriately. Marks called this a "low-return world" in which future returns would inevitably disappoint.

- **Search for Yield:** When interest rates are very low, investors who need income (pension funds, insurance companies, retirees) cannot get adequate returns from safe bonds. They are forced to move "down the credit spectrum" into riskier instruments — high-yield bonds, leveraged loans, CDOs — to achieve their target returns. This buying pressure inflates prices and compresses spreads further, creating a self-reinforcing bubble dynamic.
- **Fed Funds Rate vs. Long Rates (Greenspan's Conundrum):** The Fed controls the short-term overnight lending rate (the "Fed funds rate"). Normally, when the Fed raises short rates, long-term bond yields also rise. But in 2004–2005, despite the Fed hiking rates from 1% to eventually 5.25%, 10-year Treasury yields barely moved. Greenspan called this a "conundrum." Marks saw this as evidence that global investors — particularly Asian central banks recycling trade surpluses — were flooding money into US Treasuries, keeping long rates artificially low and fueling a credit bubble.
- **Margin of Safety:** A concept from Benjamin Graham: always buy assets at a significant discount to their intrinsic value so that if your analysis is wrong or bad news arrives, you still do not lose money. In credit investing, a wide spread provides margin of safety. When spreads collapse, the margin of safety evaporates — you are paying full price for every bond, and any deterioration in credit quality leads directly to losses.

MEMORABLE QUOTES

"Prospective returns on most asset classes are unusually low, and risk-seeking on the part of investors looking to improve on those low returns has led them to embrace higher-risk investments."

"If investors accept low returns today because they feel they have no alternative, they may find themselves accepting losses tomorrow."

WHY IT MATTERS

This memo is an essential early warning about the credit bubble that would eventually collapse in 2008; it shows that the seeds of the crisis were visible as early as 2004 to careful observers who understood the relationship between risk, return, and investor psychology. For private credit practitioners, it is a reminder that compressed spreads are not a sign of safety — they are a sign that markets have become dangerously complacent.

APRIL 11, 2005

Oaktree at Ten

MARKET CONTEXT

In April 2005, Oaktree Capital Management reached its ten-year anniversary, having been founded in 1995 by Howard Marks and colleagues who spun out of TCW. The first decade had taken Oaktree through the Asian financial crisis of 1997–98, the Russian default, the Long-Term Capital Management (LTCM) blowup, the dot-com bubble and bust, and the post-9/11 recession. Credit markets in 2005 were booming again — issuance of collateralized loan obligations (CLOs) was rising, leveraged buyout (LBO) activity was accelerating, and high-yield bond markets were attracting record inflows. Oaktree had just managed through the distressed debt opportunity created by the 2001–2002 corporate defaults, and the anniversary offered a moment to reflect on core principles.

KEY THESIS

Marks used this anniversary memo to articulate what Oaktree had learned over ten years about the nature of markets, risk, and human behavior. The central lesson was that investment success is more about avoiding catastrophic errors than achieving brilliant wins — what Marks described as "a string of good years and an absence of bad years." He emphasized that Oaktree's edge lay in its risk-control philosophy, its willingness to stay in its lane (distressed debt and credit), and its understanding that cycles are inevitable and must be respected rather than ignored.

KEY CONCEPTS EXPLAINED

- **Distressed Debt Investing:** Purchasing the bonds or loans of companies that are in financial distress — either already in bankruptcy, close to default, or facing severe liquidity problems. These securities trade at large discounts (e.g., 40–60 cents on the dollar) because most investors fear total loss. Distressed investors like Oaktree analyze whether the company's underlying business has enough value that bondholders will eventually recover more than they paid — potentially through a bankruptcy restructuring where debt converts to equity.
- **Asymmetric Return Profile:** One of the keys to Marks' philosophy: structure portfolios so that the downside is limited but the upside is preserved. In credit investing, a senior secured bond at 50 cents on the dollar might be worth 80 cents in a restructuring (60% gain) but only fall to 30 cents if the company liquidates (40% loss). That asymmetry — more upside than downside — is what good distressed investors seek.
- **Market Cycles:** Marks emphasizes that markets move in cycles driven by human psychology — alternating between greed and fear, boom and bust, complacency and panic.

Understanding where you are in the cycle is more important than macroeconomic forecasting. At peaks, assets are priced for perfection; at troughs, they are priced for catastrophe. Oaktree's philosophy is to be a buyer of last resort at troughs and a disciplined seller at peaks.

- **Staying in Your Lane (Circle of Competence):** Oaktree focuses exclusively on credit — high-yield bonds, bank loans, distressed debt, structured credit. It does not try to invest in equities or other asset classes outside its expertise. This specialization allows deep analytical edge and helps avoid the mistakes that generalist investors make when they venture outside their knowledge base.
- **Defensive Investing:** Marks' primary rule is "if we avoid the losers, the winners will take care of themselves." Most investors focus on what could go right; Marks focuses on what could go wrong. This means insisting on wide safety margins, avoiding excessive leverage, and maintaining liquidity. The asymmetry of outcomes in investing — losses compound faster than gains — means that avoiding catastrophic drawdowns is mathematically superior to chasing big wins.

MEMORABLE QUOTES

"The goal is to achieve a good batting average, not to swing for the fences. You want a string of good years, not a few great years interspersed with disasters."

"If we avoid the losers, the winners will take care of themselves."

WHY IT MATTERS

This anniversary memo crystallizes the Oaktree philosophy that became a template for defensive credit investing: prioritize risk control over return maximization, know your cycle position, and let compounding do its work without catastrophic interruptions. For someone new to private credit, this memo provides the philosophical foundation for the entire discipline.

MAY 2005

There They Go Again

MARKET CONTEXT

By mid-2005, the US residential real estate market was showing unmistakable signs of bubble behavior: home prices in coastal markets had risen 50–100% over five years, mortgage lending standards had deteriorated sharply, and a new financial instrument — the residential mortgage-backed security (RMBS) — was enabling banks to make loans and immediately sell them off, removing any incentive to ensure the borrower could repay. Subprime lending — making mortgages to borrowers with poor credit histories using adjustable rates — was exploding in volume. Meanwhile, on Wall Street, the CLO and CDO machine was cranking up, packaging these mortgages and loans into structured products sold globally. Most market participants believed home prices only went in one direction: up.

KEY THESIS

Marks warned that investors were repeating the classic mistakes of every bubble: believing in "this time it's different," ignoring the downside, and following the crowd into markets that had already been bid to dangerous levels. The specific focus was residential real estate, where the belief that home prices never fall nationally had become an unchallenged article of faith. Marks argued that financial memory is dangerously short — the same errors recur every cycle because participants forget (or never learned) what happened in prior downturns.

KEY CONCEPTS EXPLAINED

- **Subprime Mortgages:** Home loans made to borrowers who do not qualify for standard ("prime") mortgages because of poor credit history, low income, or high debt levels. These loans carry higher interest rates to compensate for the higher default risk. In 2004–2006, subprime lending exploded because Wall Street was willing to buy and securitize these loans — package them into bonds — removing the lending bank's risk and incentivizing them to make ever-riskier loans.
- **RMBS (Residential Mortgage-Backed Securities):** A bond backed by a pool of home mortgages. A bank originates 1,000 mortgages, pools them together, and sells bonds backed by the mortgage payments. The bond investors receive principal and interest as homeowners make their monthly payments. RMBS was the foundation of the 2008 crisis: when millions of subprime borrowers defaulted simultaneously, the bonds backed by those mortgages collapsed in value.

- **"This Time It's Different":** The four most dangerous words in finance, according to Sir John Templeton. Every bubble is rationalized by a new-paradigm story: in 1999 it was "the internet changes everything," in 2005 it was "national home prices have never fallen." Marks repeatedly warned that the underlying laws of finance — that assets cannot indefinitely outpace the income they generate, that trees do not grow to the sky — are immutable regardless of the story told to justify current prices.
- **Originate-to-Distribute Model:** The business model that fueled the subprime crisis. Banks no longer held the mortgages they made — they sold them immediately to Wall Street, which packaged them into RMBS. This severed the link between the lender's incentive and the borrower's creditworthiness. Banks had every reason to make more loans (fee income) and no reason to ensure repayment (they kept no risk). This model destroyed underwriting standards across the industry.
- **Financial Memory and Bubble Psychology:** Marks frequently references John Kenneth Galbraith's observation that "the extreme brevity of the financial memory" ensures that investors repeat the mistakes of prior bubbles. When markets have been rising for five years, the people who remember the last crash have retired or been fired for being "too cautious," and the new entrants have only ever seen prices go up. This institutional amnesia is why bubbles recur with such regularity.

MEMORABLE QUOTES

"The things that seem most obvious and on which everyone agrees turn out not to be true. The same mistakes recur every cycle because financial memory is dangerously short."

"Every generation of investors convinces itself that this time is different — that the old rules of valuation no longer apply. They always do."

WHY IT MATTERS

Written two years before the subprime crisis erupted, this memo demonstrated that the warning signs of the housing bubble were visible and articulable in 2005 — but investors ignored them because prices kept rising and the narrative of permanently rising home prices was too comfortable to question. It is a case study in crowd psychology overwhelming rational analysis.

OCTOBER 17, 2005

Hindsight First, Please (or, What Were They Thinking?)

MARKET CONTEXT

By late 2005, several financial disasters from the prior cycle were fresh in memory: the dot-com bust had wiped out trillions, Enron and WorldCom had become bywords for accounting fraud, and the Argentine sovereign default had devastated emerging-market bond investors. Yet credit markets had already fully recovered and were expanding aggressively: high-yield bond spreads had tightened dramatically, leverage in LBO transactions was rising, and a new generation of structured products — CDO-squared (CDOs backed by other CDOs) — was being marketed to institutional investors. Marks noticed that while investors claimed to have learned from recent disasters, their behavior suggested otherwise.

KEY THESIS

Marks argued that the key to superior investment performance is the ability to see things in advance that others will only recognize in hindsight — what he called "hindsight first." The memo dissected why investors consistently make the same mistakes: they are overconfident, anchor on recent performance, confuse the absence of immediate problems with the absence of future risk, and follow the crowd because it is psychologically comfortable. Marks urged investors to apply hindsight thinking prospectively — to ask "what will people realize they should have known, after the next downturn?" and act on that answer now.

KEY CONCEPTS EXPLAINED

- **Hindsight Bias:** After a financial crisis, it seems obvious in retrospect that prices were too high and risks were underpriced. But before the crisis, the same information was available yet most investors ignored it. Hindsight bias makes people think "I knew it all along" when they did not — and it prevents them from learning the right lessons about why they missed the warning signs at the time.
- **CDO-Squared (CDO²):** A collateralized debt obligation (CDO) is a bond backed by a pool of other bonds or loans, sliced into tranches of varying risk. A CDO-squared is a CDO backed by tranches of other CDOs — an extremely complex instrument that few investors truly understood. These products were sold to pension funds and insurance companies seeking higher yields. When the underlying mortgages defaulted, the complexity of CDO-squared made valuation nearly impossible, amplifying the crisis.

- **Recency Bias:** The human tendency to overweight recent experience and underweight longer-term history. After five years of rising credit markets, investors in 2005 assumed the benign environment was the permanent state. They forgot (or discounted) the corporate defaults of 2001–2002, the LTCM crisis of 1998, and every prior credit cycle. Recency bias is one of the most powerful forces driving bubble formation.
- **CDO (Collateralized Debt Obligation):** A structured product that pools together many bonds or loans and divides the resulting cash flows into tranches. Senior tranches get paid first and are rated AAA — considered ultra-safe. Junior tranches ("mezzanine" and "equity") absorb the first losses. The problem in 2005–2006 was that rating agencies were rating many CDO tranches as AAA using flawed models that assumed housing prices would not fall nationally — an assumption that proved catastrophically wrong.
- **Risk Assessment vs. Risk Experience:** Marks draws a crucial distinction: the risk of an investment does not change based on what has recently happened to it. A bond that has performed well for five years is not less risky because of that performance — in fact, if its spread has compressed, it may be more risky because you are now getting less compensation. True risk assessment requires ignoring recent performance and focusing on fundamentals: is the borrower creditworthy? Is the price appropriate given realistic scenarios?

MEMORABLE QUOTES

"The alpha that's so much in demand is really the ability to see ahead to things others will see only afterwards, in the rearview mirror."

"Investors forget that free lunches never last forever. Each generation convinces itself the laws of finance have been repealed."

WHY IT MATTERS

The concept of "hindsight first" is one of Marks' most powerful analytical tools: before any investment, ask yourself "what will the post-mortem say if this goes wrong?" This prospective use of hindsight forces you to identify tail risks before they materialize, rather than rationalizing them away in the heat of a bull market.

SEPTEMBER 7, 2006

Dare to Be Great

MARKET CONTEXT

By September 2006, the credit boom was fully mature: the US was in its third year of Fed rate hikes (from 1% to 5.25%), yet credit markets continued to boom because investors were conditioned to buy any dip. The LBO wave was accelerating dramatically — private equity firms like KKR, Blackstone, and TPG were completing mega-buyouts worth tens of billions, financed by leveraged loans that banks were immediately packaging into CLOs and selling to investors globally. Hedge funds were proliferating, attracted by leverage and performance fees. The number of money managers had exploded, and most of them, because they managed large institutional mandates, were hugging benchmarks to protect their jobs — a phenomenon Marks found fundamentally incompatible with superior performance.

KEY THESIS

Marks argued that superior investment performance requires thinking differently from the consensus — what he called "second-level thinking" — and that institutional forces systematically prevent most managers from doing so. To "dare to be great" means being willing to hold non-consensus views, accept the risk of being wrong, and live with uncomfortable periods of underperformance when the crowd is going the other way. The vast majority of investors, constrained by career risk, client pressure, and benchmark hugging, are incapable of this — which is precisely what makes it valuable when done well.

KEY CONCEPTS EXPLAINED

- **Second-Level Thinking:** First-level thinking asks "this company has good prospects — I should buy the stock." Second-level thinking asks "this company has good prospects, and everybody already knows it, so the stock is already priced for perfection — I should consider selling." Second-level thinking goes beyond the obvious conclusion to ask: what does everyone already know? Is the consensus right? What happens if they are wrong? This extra step is what separates investors who generate alpha from those who simply follow the crowd.
- **Non-Consensus and Being Right:** Marks makes a crucial distinction: it is not enough to have a non-consensus view — you also need to be right. A wrong contrarian view is just as harmful as a wrong consensus view. The edge comes from having superior insight into value or risk that the market has not yet recognized. This requires deep fundamental research, not just reflexive contrarianism.

- **Career Risk and Benchmark Hugging:** Most professional investors face a perverse incentive: they are fired for underperforming the benchmark, not for taking the same risks as the benchmark and losing money with everyone else. This leads to "closet indexing" — holding portfolios very similar to the benchmark to minimize career risk. The result is that most institutional investors cannot make the bold, non-consensus calls required to generate significant alpha.
- **The Asymmetry of Investment Results:** Marks illustrates that if you dare to be different and are right, the upside is enormous. If you dare to be different and are wrong, the cost is manageable — you lose some performance but not everything. If you dare to be the same as everyone else, you can never do better than average. The expected value of attempting greatness is positive even though it involves more variance.
- **LBO (Leveraged Buyout):** A private equity firm acquires a company using mostly borrowed money (typically 60–80% debt, 20–40% equity). The debt is secured by the assets of the acquired company itself. The PE firm hopes to improve the business, grow earnings, and sell the company in 3–5 years at a higher price. The leverage amplifies returns if things go well — but also amplifies losses if the business falters, because the debt must be serviced regardless of performance.

MEMORABLE QUOTES

"To achieve superior results, you have to hold non-consensus views regarding value, and they have to be right. Being different is absolutely essential."

"If your portfolio looks like everyone else's, you may do well, or you may do poorly, but you can't do different — and different is absolutely required for superior performance."

WHY IT MATTERS

This memo introduced the concept of "second-level thinking" that Marks would later develop into a cornerstone of his book "The Most Important Thing" — it remains the clearest articulation of why genuine investment outperformance is structurally rare and what it actually requires of a manager willing to pursue it.

OCTOBER 19, 2006

The New Paradigm

MARKET CONTEXT

In late 2006, the investment landscape had changed dramatically from just five years earlier. Private equity assets under management had grown from roughly \$500 billion to over \$1 trillion globally. Hedge funds numbered in the thousands and collectively managed over \$1.5 trillion. Institutional investors — pension funds, endowments, sovereign wealth funds — were allocating aggressively to "alternatives" in search of returns that traditional bonds and equities could not provide. Fee structures were extraordinarily generous: private equity funds charged 2% management fees plus 20% of profits ("2 and 20"), creating massive incentives to raise ever-larger funds regardless of whether investment opportunities justified the scale. Marks saw this structural shift as deeply concerning.

KEY THESIS

Marks argued that a "new paradigm" had taken hold in asset management that was fundamentally misaligned with investors' interests: fees had become so large that managers were incentivized to maximize assets under management rather than returns per dollar invested. He was particularly critical of "mega-buyout" funds — enormous private equity vehicles doing deals too large for anyone to compete on — and club deals among PE firms that eliminated competitive bidding. Across buyouts, real estate, and credit investing, Marks concluded it was a time for increased caution, not increased commitment.

KEY CONCEPTS EXPLAINED

- **2-and-20 Fee Structure:** The standard private fund fee model: 2% of assets annually (management fee, charged regardless of performance) plus 20% of profits above a threshold (performance or "carried interest"). On a \$10 billion fund, the 2% management fee alone generates \$200 million per year in fees — creating enormous incentive to raise large funds. Critics argue this incentivizes asset gathering over investment quality, particularly in late-cycle markets where returns are likely to be poor.
- **Club Deals:** When multiple private equity firms co-invest together on a single large acquisition, rather than competing against each other. In 2005–2007, club deals were common for mega-buyouts (e.g., the \$44 billion HCA deal). Marks was critical because club deals eliminate competitive bidding — instead of two firms competing to pay \$10 billion for a company, they agree to split a \$10 billion bid, meaning the seller gets less and the buyers avoid the discipline of competition.

- **Collateralized Loan Obligation (CLO):** A structured vehicle that buys corporate leveraged loans (the floating-rate loans made to finance LBOs) and funds the purchase by issuing bonds of varying seniority. Senior CLO bonds are rated AAA; junior tranches absorb first losses. CLOs are the primary buyers of leveraged loans — without CLO demand, the LBO machine would grind to a halt. CLO issuance boomed in 2005–2007, enabling ever-larger and riskier LBOs because there was always a buyer for the resulting loans.
- **Moral Hazard in Fee Structures:** Moral hazard occurs when someone takes on risk with the upside but not the downside. Private equity managers earn 20% of profits if deals go well, but lose only their management fee (not their own capital) if deals go badly — an asymmetry that incentivizes risk-taking. Similarly, securitization bankers earned fees for packaging loans into CLOs but bore no losses when those loans defaulted. These misaligned incentives systematically encouraged excessive risk-taking across the financial system.
- **Leverage in Real Estate:** Real estate investors in 2006 were routinely borrowing 80–90% of purchase price, leaving only 10–20% equity. This meant a 10–20% decline in property values would wipe out all equity. Because interest rates were rising and property yields were falling (prices rising faster than rents), many deals were cash-flow negative from day one — investors were relying entirely on further price appreciation. This is the definition of speculation rather than investment.

MEMORABLE QUOTES

"A new paradigm has taken hold: vast sums available for management have created incentives that may not be aligned with investors' best interests. It's a good time for increased caution."

"When vast sums become available for an asset class, the ability to deploy capital intelligently diminishes while the fees for trying remain constant or grow."

WHY IT MATTERS

This memo identified a structural problem — misaligned incentives in asset management — that would contribute to the crisis: fee structures that rewarded asset gathering encouraged managers to keep deploying capital even as returns deteriorated and risks increased, and the resulting overleverage in private equity and real estate became a primary amplifier of the 2008 crash.

DECEMBER 7, 2006

Pigweed

MARKET CONTEXT

In September 2006, Amaranth Advisors — a \$9.25 billion multi-strategy hedge fund — collapsed in less than two weeks after losing approximately \$6 billion on concentrated bets on natural gas futures. Trader Brian Hunter had built a massive position betting that winter 2006 natural gas prices would be high; when a mild fall season caused prices to plummet, the fund could not meet margin calls and was forced to liquidate at catastrophic losses. The collapse was the largest hedge fund failure since LTCM in 1998 and sent shockwaves through markets. Marks titled his analysis "Pigweed" because that is the English synonym for "Amaranth" — a plant.

KEY THESIS

Marks used the Amaranth collapse as a case study in how leverage transforms manageable risks into catastrophic ones — even in positions that are not inherently dangerous in small size. The core lesson was that positions which appear "low risk" in normal markets can become existentially dangerous when combined with leverage, because leverage removes the option to wait: if a leveraged investor faces margin calls during a drawdown, they must sell at the worst possible time. Marks also stressed that risk management systems that worked in normal conditions failed precisely when they were needed most.

KEY CONCEPTS EXPLAINED

- **Futures and Derivatives:** A futures contract is an agreement to buy or sell an asset (in this case, natural gas) at a specified price on a future date. Futures are inherently leveraged — you post a small "margin" deposit to control a large position. If the position moves against you, you receive a "margin call" demanding more cash immediately. The combination of large size and margin requirements means that even a moderate price move against a large position can require enormous capital infusions that the fund cannot provide.
- **Concentration Risk:** Amaranth had concentrated approximately 50–80% of its total assets in a single trade (natural gas spreads). Diversification is supposed to protect against any single position destroying the fund, but when concentration is this extreme, diversification fails. In private credit, concentration risk means having too much exposure to a single borrower, sector, or geographic region — if that area experiences stress, the portfolio is devastated.
- **Leverage and Forced Selling:** When leveraged investors face losses, their lenders (prime brokers) demand additional collateral (margin calls). If the investor cannot post more cash, the

lender liquidates the position at market — often at the absolute worst time, during peak panic. Forced selling amplifies price declines, creating a vicious cycle: falling prices trigger more margin calls, which trigger more forced selling, which drives prices lower still. This is a key mechanism of financial crises.

- **Liquidity Mismatch:** Amaranth's positions in natural gas futures were too large relative to the market's daily trading volume. Even if the fund had wanted to exit gradually, the act of selling such a massive position would itself have driven prices down dramatically — a classic liquidity trap. Marks stresses that position size must always be calibrated to market liquidity; otherwise the theoretical ability to exit at market price is an illusion.
- **Risk of Ruin:** The distinction between a loss of 30% (painful but recoverable) and a loss of 80% (catastrophic and career-ending) is not just a matter of degree — it is a qualitative difference. Marks argued that the goal of risk management is not to maximize expected returns but to eliminate the possibility of ruin. Amaranth illustrates how leverage converts a "large loss" scenario into a "total destruction" scenario. In private credit, avoiding deals that could permanently impair capital is more important than maximizing yield.

MEMORABLE QUOTES

"Positions that are low in risk can be rendered quite risky with the help of leverage. What's safe at small size becomes dangerous at large scale."

"The risk of ruin is not a risk that can be recovered from. The goal of risk management is not just to limit expected losses, but to eliminate the possibility of total destruction."

WHY IT MATTERS

The Amaranth collapse was a preview of what would happen on a systemic scale in 2008: leverage turning what would have been manageable losses into catastrophic, institution-ending events; forced selling amplifying declines; and risk management systems failing precisely when they were most needed.

FEBRUARY 14, 2007

The Race to the Bottom

MARKET CONTEXT

By early 2007, the leveraged finance market had reached peak excess. The LBO wave was at its zenith: firms like KKR, Blackstone, and TPG were completing deals at 7–8 times EBITDA (earnings before interest, taxes, depreciation, and amortization) with leverage ratios that would have been unthinkable five years earlier. Banks were competing furiously to lend, offering covenant-lite loans (with few or no financial maintenance tests), PIK toggle notes (allowing borrowers to pay interest in bonds rather than cash), and second-lien structures. The first signs of subprime stress were emerging — two Bear Stearns hedge funds were beginning to show losses on subprime RMBS — but the leveraged loan and corporate bond markets were ignoring these warning signs entirely.

KEY THESIS

Marks argued that competition to deploy capital had driven lenders into a "race to the bottom" in underwriting standards: lenders were not just accepting lower returns but were actively weakening the protections — covenants, security, payment terms — that protected them in a downturn. The memo was a detailed catalog of the structural deterioration in credit markets, arguing that lenders had abandoned prudent standards in the rush to win mandates and earn fees. When conditions are this extreme, Marks warned, participants who accepted looser standards would lose the most in the inevitable downturn.

KEY CONCEPTS EXPLAINED

- **Covenant-Lite Loans:** Traditional leveraged loans include financial "covenants" — contractual tests the borrower must pass regularly (e.g., debt/EBITDA must stay below 6x; interest coverage must stay above 2x). If a covenant is breached, the lender can declare the loan in default and demand repayment — an early warning mechanism that forces troubled borrowers to restructure before they are truly insolvent. "Cov-lite" loans remove these ongoing tests, leaving lenders with no ability to intervene until the borrower actually misses a payment. This dramatically weakens lender protection and is a classic sign of a late-cycle lending bubble.
- **PIK Toggle Notes:** Payment-in-kind (PIK) notes allow the borrower to pay interest not in cash but in additional bonds (i.e., the debt itself grows). A "toggle" allows the borrower to choose each period whether to pay cash or PIK. This means a highly leveraged company can defer its cash interest burden, allowing it to survive longer despite poor operating performance — but at

the cost of ever-increasing debt. For lenders, PIK toggle means that cash interest might never be received; for borrowers, it's a way to avoid technical default while the business deteriorates.

- **Second-Lien Debt:** In a capital structure, senior secured debt is first in line for repayment in a bankruptcy. Second-lien debt is secured by the same collateral but is junior to the senior lenders — it only gets paid after senior lenders are made whole. Second-lien lenders are thus exposed to the risk that collateral value is insufficient to cover both senior and second-lien claims. In 2006–2007, second-lien lending exploded because borrowers and PE firms wanted even more leverage, and investors accepted the thin yields without adequately pricing the structural subordination.
- **EBITDA and Leverage Multiples:** EBITDA is a proxy for a company's operating cash flow. Leverage is typically expressed as a multiple of EBITDA (e.g., "6x levered" means total debt equals 6 times annual EBITDA). In 2005–2007, LBO leverage ratios climbed from historical norms of 4–5x to 7–8x or even higher. At 7x leverage, a 20% decline in EBITDA (very common in a recession) would mean debt is nearly 9x EBITDA — far above levels sustainable for most businesses, implying near-certain default or the need for a painful restructuring.
- **Margin of Safety in Credit:** Warren Buffett's concept of margin of safety applies directly to credit: a loan to a company with \$100 of EBITDA and \$400 of debt (4x levered) has significant cushion — EBITDA can fall by 50% before the company cannot service debt. A loan to the same company with \$700 of debt (7x levered) has almost no cushion. The race to the bottom in 2007 was really a race to eliminate margin of safety in the pursuit of higher leverage and higher fees.

MEMORABLE QUOTES

"When investors and lenders want to make investments in greater quantity, they become willing to accept lower quality — providing money not just on looser terms but with weaker protections."

"The standards for loans have changed. Not because the risk environment is better, but because the desire to put out money has overcome the demand for quality."

WHY IT MATTERS

This is one of the most important pre-crisis memos ever written, documenting the precise mechanisms — covenant-lite loans, PIK toggles, second-lien debt, excessive leverage multiples — by which the credit bubble was being constructed in real time, six months before the first major crack appeared in the subprime market. For private credit practitioners, it is the canonical description of deteriorating underwriting standards that must be watched for in any credit cycle.

APRIL 26, 2007

Everyone Knows

MARKET CONTEXT

By April 2007, the first cracks in the subprime mortgage market had become visible: New Century Financial, one of the largest subprime mortgage originators, had filed for bankruptcy in March 2007 after collateral calls from its creditors. Novastar Financial, another major subprime lender, was in distress. The ABX index — a credit default swap index measuring subprime RMBS values — had been falling sharply since January 2007. Yet the stock market continued near all-time highs, corporate credit spreads remained tight, and the LBO boom was still accelerating. The dominant Wall Street narrative was that subprime problems were "contained" and would not spread to broader credit markets. Everyone "knew" the economy was fine, stocks were appropriately valued, and the bull market would continue.

KEY THESIS

Marks made a profoundly important and counterintuitive argument: when "everyone knows" something is true in markets, that very consensus means the information is already fully priced in — and therefore cannot generate future excess returns. The positive scenarios that "everyone knows" about are already reflected in high prices, but the negative scenarios that no one is discussing are not priced in at all. The broader warning was that when consensus bullishness is universal, the only surprise possible is a negative one, and markets at that point are maximally vulnerable to disappointment.

KEY CONCEPTS EXPLAINED

- **The Efficient Market Paradox:** If a piece of positive information — say, "the economy is strong" — is known by every investor, it is already reflected in asset prices. Markets price in all known information rapidly. Therefore, consensus views (things "everyone knows") cannot generate alpha. To outperform, you need to know something the market does not know, or to correctly assess the probability of outcomes that the market is mispricing. Marks used this to argue that "everyone knows" statements are investment-irrelevant at best and warning signals at worst.
- **Information Asymmetry:** In credit markets, there is often an information gap between borrowers (who know everything about their business) and lenders (who know only what borrowers disclose). When markets are booming and competition is fierce, lenders accept less due diligence and weaker information rights — widening this asymmetry in borrowers' favor. When the cycle turns, lenders discover they knew much less than they thought they did.

- **Consensus and Contrarianism:** Marks is not simply contrarian for its own sake — he recognizes that the consensus is often right in the short run. But he argues that the consensus, by definition, represents prices that are already incorporated into valuations. Truly outstanding investments come from identifying where the consensus is wrong — not just different, but wrong — and where the market is systematically mispricing risk or return. This is difficult and rare, which is why sustained alpha is difficult and rare.
- **The Danger of "Contained":** The argument that subprime problems were "contained" and would not spread to broader markets was the consensus in April 2007. Marks was deeply skeptical: financial systems are interconnected through securitization, derivatives, and counterparty relationships, meaning problems in one corner invariably spread. When subprime RMBS fell in value, CDOs backed by those RMBS fell, hedge funds holding those CDOs faced margin calls, banks that had lent to those hedge funds took losses — a chain of contagion that "everyone knew" couldn't happen because each link seemed safe in isolation.
- **Credit Default Swap (CDS):** A financial contract in which the buyer pays a regular premium (like an insurance premium) and the seller agrees to compensate the buyer if a specified credit event (default) occurs on a reference asset. CDS allowed investors to bet on — or hedge against — credit quality without owning the underlying bond. The ABX index was a basket of CDS on subprime RMBS tranches; its sharp decline in early 2007 was the market's first signal that something was seriously wrong in subprime housing, even as equity markets ignored it.

MEMORABLE QUOTES

"Things that seem most obvious and on which the broad consensus agrees almost always turn out not to be true, because by definition they're already priced in."

"The fact that everyone knows something is bullish doesn't mean it's good news for investors — it means the positive has already been discounted and the negative has not."

WHY IT MATTERS

Written just months before Bear Stearns' hedge funds collapsed and the subprime crisis became undeniable, "Everyone Knows" is one of the most prescient memos in financial history, articulating why market consensus at the peak of a bubble is not a source of comfort but of maximum danger — a principle every credit investor must internalize.

JULY 16, 2007

It's All Good

MARKET CONTEXT

By mid-2007, the first major crack in the credit system appeared: in June 2007, Bear Stearns revealed that its two hedge funds focused on subprime mortgage securities (the High-Grade Structured Credit Strategies Fund and the Enhanced Leverage Fund) had lost nearly all their value and were being wound down — representing \$1.5–1.6 billion of losses to investors. This should have been a major warning to credit markets. Instead, broader credit markets barely flinched. High-yield spreads remained tight, LBO transactions continued, and the stock market made new highs in July 2007. Most market participants — lulled by years of low volatility and strong returns — were dismissing the Bear Stearns events as an isolated incident affecting reckless players rather than a systemic warning.

KEY THESIS

Marks wrote this memo with deep sarcasm — the title "It's All Good" was his ironic description of the prevailing market sentiment at a moment he believed was genuinely dangerous. He documented a list of troubling market developments — excessive leverage, untested securitization structures, deteriorating underwriting, complacent rating agencies — and noted that investors were finding reasons to dismiss each one. The core argument was that the universal certainty that everything was fine was itself the most dangerous signal, because it meant risks were maximally underpriced.

KEY CONCEPTS EXPLAINED

- **Securitization:** The process of pooling financial assets (mortgages, auto loans, credit card receivables, corporate loans) and converting them into tradeable securities. Banks originate loans, bundle them into pools, and sell bonds backed by those pools to investors. Securitization allows banks to recycle capital and grow their loan books without growing their balance sheets. The problem in 2006–2007 was that securitization had never been tested through a major credit downturn at this scale — no one knew what would happen to complex CDO structures when the underlying mortgages defaulted en masse.
- **Rating Agency Failure:** Moody's, S&P, and Fitch rated the vast majority of CDO senior tranches as AAA — the same rating as US government debt. They used models that assumed home prices would not fall nationally and that mortgage defaults in different states were uncorrelated. Both assumptions proved catastrophically wrong. The rating agencies also had a

massive conflict of interest: they were paid by the issuers of the securities they were rating, creating incentives to give favorable ratings to win business.

- **Structured Credit Tranching:** CDOs work by dividing the cash flows from a pool of assets into tranches. If 5% of the underlying assets default, the equity tranche absorbs all losses; if 10% default, the mezzanine tranche is wiped out; senior tranches only suffer if defaults exceed 20–30%. Rating agencies assigned AAA to senior tranches on the assumption that defaults would stay below historical precedents. When subprime defaults spiked to 20–30%+, even "safe" AAA tranches suffered catastrophic losses — something the models said was essentially impossible.
- **VIX (Volatility Index):** The VIX measures expected stock market volatility over the next 30 days, derived from options prices. In June 2007, the VIX was near multi-year lows, around 12–15, indicating that investors were pricing in essentially no near-term risk. Low VIX is often associated with complacency — investors are not buying insurance (options) because they feel there is nothing to protect against. Marks viewed ultra-low volatility as a danger signal, not a reassurance.
- **Contagion:** The spread of financial distress from one market or institution to others through interconnections. The Bear Stearns hedge fund collapse was an early contagion event: the funds had borrowed heavily from prime brokers (major banks), posted CDO securities as collateral, and when those CDOs fell in value, margin calls forced liquidations that further depressed CDO prices. Banks that had lent to the funds took losses; banks that had underwritten CDOs found their inventories falling in value. Each firm's distress became another firm's problem — the essence of systemic risk.

MEMORABLE QUOTES

"The feeling that everything is fine — that's usually the most dangerous time in markets. When nobody is worried, risk is being underpriced everywhere."

"Excessive use of leverage, untested securitization structures, too-easy access to capital — each problem on its own seemed manageable. Together they add up to something very different."

WHY IT MATTERS

Written when Bear Stearns' hedge funds had just collapsed and credit markets were still calm, "It's All Good" captures the dangerous cognitive dissonance of late-cycle markets: visible problems are rationalized away, risk is ignored because it hasn't materialized yet, and the very feeling of safety becomes the greatest source of danger.

SEPTEMBER 10, 2007

Now It's All Bad?

MARKET CONTEXT

By September 2007, the mood had shifted from "it's all good" to acute anxiety. On August 9, 2007, BNP Paribas suspended redemptions from three of its investment funds exposed to US subprime mortgages, citing its inability to value the assets — the moment widely considered the true start of the global financial crisis. The European Central Bank injected €95 billion into money markets the same day. In the UK, Northern Rock — a major mortgage lender — faced the first bank run in 150 years of British banking history, with depositors queuing around the block to withdraw their money. The US commercial paper market, which many corporations used for short-term funding, had effectively frozen. Credit markets that had been euphoric weeks earlier were now in near-panic.

KEY THESIS

Marks argued that markets had overshot in both directions — from irrational optimism to irrational pessimism — and that the current crisis, while real, was being priced as if the entire financial system would collapse. He made the case that the pendulum had swung too far toward negativity, that most fundamentally sound companies and securities were being irrationally sold alongside genuinely troubled ones, and that disciplined, patient investors should begin to see opportunities in distressed credit. He acknowledged significant risk while arguing that the panic itself was creating mispricings that careful buyers could exploit.

KEY CONCEPTS EXPLAINED

- **The Pendulum of Investor Psychology:** Marks frequently uses a pendulum metaphor: investor sentiment swings between greed and fear, optimism and pessimism, risk-seeking and risk-aversion. The pendulum never stops at the midpoint (rational pricing) — it always overshoots in both directions. The skill is in recognizing when you are near an extreme. In July 2007, the pendulum was near the greed extreme; by September 2007, it had begun swinging hard toward fear — and by September 2008, it would reach maximum pessimism.
- **Commercial Paper Market:** Short-term debt (typically 1–270 days) issued by corporations to fund day-to-day operations. In normal markets, companies can roll over commercial paper continuously. In August 2007, money market funds that had purchased commercial paper backed by subprime assets began to fear losses, and the market froze — companies that relied on commercial paper suddenly could not roll their short-term debt, creating acute

liquidity crises. This was how the housing crisis infected the real economy: through the freezing of short-term funding markets.

- **Mark-to-Market Accounting:** Accounting rules require many financial assets to be valued at current market prices rather than at the price paid. When CDO markets froze in August 2007, there were no transactions to establish market prices — but accounting rules still required banks and funds to estimate values. These write-downs (lowering the book value of assets to reflect fallen market prices) destroyed bank capital on paper, triggering regulatory requirements to raise capital or reduce assets, which led to more asset sales, which drove prices lower — a dangerous feedback loop.
- **Bank Run and Depositor Confidence:** Northern Rock's bank run illustrated the classic dynamics of bank fragility. Banks fund long-term mortgages with short-term deposits. If depositors fear a bank is insolvent, they withdraw money, which actually makes insolvency more likely — a self-fulfilling prophecy. Deposit insurance exists precisely to prevent bank runs by guaranteeing that depositors' money is safe regardless of bank solvency, but Northern Rock's funding model (heavy reliance on wholesale funding rather than retail deposits) made it unusually vulnerable.
- **Counterparty Risk:** The risk that the other party in a financial transaction will fail to fulfill its obligations. In derivatives markets, if firm A has sold credit protection to firm B (via CDS), and firm A fails, firm B's hedge disappears. In 2007–2008, counterparty risk became the dominant concern: every financial institution was wondering whether the firms they had dealt with were solvent. This led to the freezing of interbank lending — banks would not lend to each other overnight because they could not assess each other's exposure to subprime losses.

MEMORABLE QUOTES

"Just a few months ago, everything was fine. Now, nothing is. When the cycle reverses this fast, you should ask whether the reversal has gone too far in the other direction."

"The pendulum never stops at equilibrium. It swings from euphoria to panic, and the wise investor tries to take advantage of both extremes."

WHY IT MATTERS

This memo is a masterclass in maintaining analytical equilibrium during market stress: when panic takes hold, prices fall too far and indiscriminately, creating genuine opportunities for investors with dry powder and the courage to act contrary to the crowd — precisely the scenario Oaktree had been preparing for by building its distressed debt reserve fund throughout 2007.

JANUARY 10, 2008

Now What?

MARKET CONTEXT

January 2008 opened with markets reeling from the revelations of 2007: Citigroup had announced \$18 billion in subprime write-downs in November 2007 (ultimately totaling over \$50 billion); Merrill Lynch had written down \$15 billion. UBS, Deutsche Bank, and virtually every major investment bank had taken massive losses on CDO positions they had been unable to sell. The US housing market was in freefall — the Case-Shiller index showed the first nationwide home price decline since the 1930s. The credit markets that had been open and accommodating throughout 2006 were now largely frozen: companies could not issue high-yield bonds, LBO financing was unavailable, and even investment-grade companies were finding their commercial paper markets constrained. The question on everyone's mind was: how bad will this get?

KEY THESIS

Marks argued that while the situation was serious and the path ahead uncertain, investors who understood cycles and maintained analytical discipline should be thinking about how to deploy capital selectively rather than panicking entirely. He was neither dismissive of the risks — he had been warning about them for three years — nor panicked into paralysis. The memo outlined what had gone wrong (excessive leverage, poor underwriting, securitization misaligned incentives) and began to articulate where opportunities might be found as markets dislocated, while emphasizing that significant further deterioration was possible before any recovery.

KEY CONCEPTS EXPLAINED

- **Write-Down vs. Write-Off:** A write-down reduces the stated value of an asset on the balance sheet to reflect current market prices — it is an accounting loss but not necessarily a permanent one. If the market recovers, the asset can be "written up." A write-off is permanent — the asset is deemed worthless. In 2007–2008, banks were taking massive write-downs on CDO positions as markets fell, destroying reported earnings and, more importantly, their capital ratios, which then triggered the need to raise equity or shrink assets.
- **Capital Adequacy and Bank Stress:** Banks are required by regulators to maintain a minimum ratio of capital (equity plus retained earnings) to risk-weighted assets. When assets fall in value (write-downs), capital is destroyed. To restore the ratio, banks have two choices: raise new capital (dilutive to existing shareholders) or reduce assets (sell loans, bonds, and other instruments, often at distressed prices). Both choices were painful in early 2008, and the

simultaneous effort by all major banks to deleverage created enormous selling pressure across credit markets.

- **The Shadow Banking System:** A parallel financial system operating outside traditional bank regulation: structured investment vehicles (SIVs), conduits, money market funds, broker-dealers, and hedge funds that performed bank-like functions (maturity transformation — borrowing short, lending long) without bank capital requirements or deposit insurance. When the crisis hit, this shadow system collapsed almost overnight: SIVs that had funded themselves with short-term commercial paper suddenly could not roll their funding, forcing asset sales into falling markets.
- **Systemic Risk:** The risk that the failure of one financial institution or market triggers a cascade of failures throughout the system. Systemic risk is different from individual credit risk — it occurs when the interconnections between institutions turn isolated failures into contagion. The 2007–2008 crisis was profoundly systemic: Citigroup's losses were not isolated to Citigroup; they reduced interbank confidence, froze money markets, triggered CDO write-downs at every bank that owned them, and ultimately threatened the entire financial system's function of allocating capital to the economy.
- **Deleveraging:** The process of reducing the ratio of debt to equity in a portfolio or financial institution. When many leveraged investors deleverage simultaneously — selling assets to pay down debt — it creates a massive, simultaneous increase in supply into markets with reduced demand. This forced selling pressure drives prices down further, which triggers more margin calls and forced selling — the "deleveraging spiral" that was the primary mechanism of the 2008 crisis. Understanding deleveraging is essential for any credit investor because it can persist for years after the initial crisis event.

MEMORABLE QUOTES

"The crisis stems from the broad application of techniques including leverage, securitization, and derivatives — not from a specific sector going bad, but from systemic mispricing of risk everywhere."

"Being too early and being wrong are identical in their short-term consequences, but very different in their long-term outcomes. The patient, well-capitalized investor is positioned for the former."

WHY IT MATTERS

This memo captures the critical juncture between recognizing a crisis and knowing how to respond: Marks had been warning for three years, now he was preparing to act — but with the recognition that timing any bottom is impossible and that patient deployment of capital over time is superior to trying to pick the exact trough.

MARCH 18, 2008

The Tide Goes Out

MARKET CONTEXT

On March 14, 2008, the Federal Reserve took the extraordinary step of facilitating JPMorgan Chase's emergency acquisition of Bear Stearns — at just \$2 per share (later revised to \$10), compared to Bear's 52-week high of over \$170. Bear Stearns, the fifth-largest US investment bank, had been the largest underwriter of mortgage-backed securities and had run two failed hedge funds in 2007. Its collapse was the first failure of a major Wall Street institution since Drexel Burnham Lambert in 1990. The Fed used an emergency lending facility to guarantee \$29 billion of Bear's most troubled assets. Markets were in shock: if Bear Stearns could fail, which institution was safe? Credit default swap markets showed surging costs to insure even the major banks' debt.

KEY THESIS

Marks used Warren Buffett's famous metaphor — "it's only when the tide goes out that you learn who's been swimming naked" — as the organizing framework for understanding what the crisis was revealing. He argued that the boom years had allowed many apparently successful strategies to generate profits through leverage and financial engineering rather than genuine investment skill, and that the falling tide was now exposing who had genuine ability versus who had merely been lucky. He also articulated how the unwinding of leverage was systemic and interconnected, not confined to any single institution or asset class.

KEY CONCEPTS EXPLAINED

- **Financial Engineering vs. Genuine Alpha:** During the credit bubble, many investment strategies appeared highly profitable. But Marks argued that much of this "alpha" (outperformance) was actually "beta" (leverage-enhanced market exposure) — strategies that simply borrowed money to buy more of an asset. When that asset rose, the leveraged return looked like genius. When it fell, the leveraged return was catastrophic. True alpha comes from skill in security selection or risk management; leverage-enhanced beta masquerades as alpha in good times but is exposed in downturns.
- **Bear Stearns and Counterparty Daisy Chains:** Bear Stearns was a "prime broker" — it lent money and securities to hedge funds, processed their trades, and held their assets. When Bear failed, every hedge fund that used Bear as prime broker faced the risk of having its assets frozen during bankruptcy proceedings. JPMorgan's emergency acquisition was engineered

largely to prevent this "prime brokerage daisy chain" from destroying hundreds of hedge funds simultaneously, which would have caused further forced selling across all markets.

- **Fed Emergency Facilities:** The Federal Reserve has the power to lend to financial institutions against collateral under "emergency circumstances." The Bear Stearns rescue involved the Fed lending \$29 billion against Bear's worst assets — effectively guaranteeing JPMorgan against losses. This was highly controversial: it used public money to protect shareholders and creditors of a private firm. But the Fed judged that an uncontrolled Bear bankruptcy would be systemically catastrophic. These emergency facilities were later massively expanded with TARP, QE, and other crisis-era programs.
- **Structured Investment Vehicles (SIVs):** Off-balance-sheet entities created by banks to buy structured credit products (like CDOs) funded with short-term asset-backed commercial paper. SIVs were a form of regulatory arbitrage — banks wanted the yield from CDOs but did not want to hold the regulatory capital required for on-balance-sheet assets, so they created SIVs that formally were not part of the bank but were implicitly guaranteed. When the commercial paper market froze, banks had to bring SIVs back onto their balance sheets, suddenly reporting massive additional exposure.
- **Negative Equity:** When a borrower owes more on a loan than the asset securing it is worth. In residential real estate, if a homeowner bought a \$500,000 house with a \$450,000 mortgage and prices fall 20% (to \$400,000), they have negative equity of \$50,000. Homeowners in negative equity have an incentive to "walk away" — default on the mortgage and let the bank repossess. As negative equity became widespread in 2007–2008, default rates spiked dramatically, further destroying the value of RMBS bonds and CDOs backed by those mortgages.

MEMORABLE QUOTES

"It's only when the tide goes out that you find out who's been swimming naked. The crisis is revealing who had genuine skill and who had merely borrowed their way to apparent success."

"The problems are not sector-based. They stem from the broad application of leverage, securitization, and derivatives — making them generalized and pervasive."

WHY IT MATTERS

The Bear Stearns collapse marked the moment when the crisis became undeniably systemic; Marks' analysis of the "tide going out" mechanism remains the best concise explanation of how leverage, securitization, and financial engineering created a system where individual failures became collective catastrophes — essential reading for understanding how private credit cycles turn.

SEPTEMBER 19, 2008

Nobody Knows

MARKET CONTEXT

On September 15, 2008 — the day now known as the worst single day in financial history since 1929 — Lehman Brothers filed for bankruptcy protection after the US government refused to guarantee its debts. Lehman, the fourth-largest US investment bank with \$639 billion in assets, became the largest bankruptcy in history. The same weekend, Merrill Lynch was sold to Bank of America in an emergency deal. The following days saw: AIG bailed out for \$85 billion (it had written \$440 billion of CDS protection and could not pay); the money market fund "Reserve Primary Fund" "broke the buck" (fell below \$1 net asset value), triggering a mass run on money market funds; and Congress was presented with Treasury Secretary Hank Paulson's emergency \$700 billion TARP (Troubled Asset Relief Program). Global financial markets were in freefall; interbank lending had essentially frozen.

KEY THESIS

Marks wrote this memo just four days after Lehman's collapse, at the moment of maximum uncertainty. His core argument was that the severity and speed of developments had created a situation with no reliable analytical framework — nobody, including him, could reliably predict what would happen next. The memo was notable for its intellectual honesty: rather than offering false comfort or confident predictions, Marks acknowledged genuine uncertainty while arguing that the appropriate response to this uncertainty was not paralysis but careful, selective action — because prices were falling indiscriminately and genuine opportunities were emerging amid the chaos.

KEY CONCEPTS EXPLAINED

- **Lehman Brothers and the Repo Market:** Lehman funded itself heavily through the "repo" (repurchase agreement) market — borrowing overnight by selling securities with an agreement to repurchase them the next day. When counterparties refused to roll Lehman's repo positions (fearing it was insolvent), Lehman suddenly had no overnight funding for its \$700 billion balance sheet. This liquidity crisis, not just insolvency, triggered the bankruptcy. The repo market is the plumbing of the financial system; its freezing after Lehman's collapse propagated the crisis to every institution that used repo funding.
- **Money Market Fund Breaking the Buck:** Money market funds are supposed to maintain a stable \$1 net asset value (NAV), making them the equivalent of cash for investors. Reserve Primary Fund held \$785 million of Lehman commercial paper. When Lehman went bankrupt,

these holdings became worthless, causing Reserve Primary's NAV to fall to \$0.97 — "breaking the buck." This triggered a massive run on money market funds globally: \$196 billion was withdrawn in a single week. The US government was forced to guarantee all money market deposits to stop the panic, a historically unprecedented step.

- **AIG and CDS Exposure:** AIG Financial Products had sold approximately \$440 billion of credit default swap protection, effectively insuring other banks' CDO portfolios. When CDOs collapsed in value, the counterparties (Goldman Sachs, Deutsche Bank, etc.) demanded collateral from AIG. AIG could not provide it — it had written enormous amounts of "insurance" without setting aside reserves. The US government's \$85 billion bailout of AIG was directly a bailout of AIG's counterparties: Goldman Sachs received 100 cents on the dollar for its CDS claims rather than the 20–30 cents a bankruptcy would have paid.
- **TARP (Troubled Asset Relief Program):** The \$700 billion program authorized by Congress in October 2008 to stabilize the financial system. Initially intended to purchase toxic mortgage assets from banks (hence "troubled asset relief"), TARP was quickly redirected to inject capital directly into banks by purchasing preferred equity. Major US banks — Citigroup, Bank of America, JPMorgan, Wells Fargo — received tens of billions in capital injections, preventing their failure and stabilizing the system (at enormous cost to taxpayers, though most TARP money was eventually repaid with interest).
- **Uncertainty vs. Risk:** Economist Frank Knight distinguished between "risk" (situations where probabilities can be calculated, like a dice roll) and "uncertainty" (situations where probabilities are genuinely unknown, like the outcome of a war). Marks argued that September 2008 was a situation of genuine Knightian uncertainty — the range of possible outcomes was so wide and the probability distribution so unknown that even the best analysts could not estimate expected values reliably. The right response was humility about predictions combined with incremental action as opportunities emerged.

MEMORABLE QUOTES

"There are no experts on the subject at hand. Nobody knows — including me — the real significance of these events or what comes next. Humility is required."

"The future has not yet been created. It is subject to millions of complex, unquantifiable, and unknowable factors. No economist or model can produce a conclusion to follow with confidence."

WHY IT MATTERS

This memo is a model of intellectual honesty during a crisis: rather than pretending to certainty he did not have, Marks acknowledged genuine uncertainty — which paradoxically was the most important signal that prices were beginning to overstate risk, and that disciplined buying could begin, even without knowing exactly how bad things would get.

OCTOBER 15, 2008

The Limits to Negativism

MARKET CONTEXT

By mid-October 2008, global financial markets had entered freefall. The S&P 500 had fallen over 40% from its peak; credit spreads had exploded to levels not seen since the Great Depression (high-yield spreads exceeded 1,800 basis points); virtually every major financial institution was under pressure; Iceland's entire banking system had collapsed; governments worldwide were announcing emergency bank rescue packages; and the mainstream media was filled with comparisons to the 1930s. Investor sentiment was at its most negative in living memory — panic was universal, and apocalyptic predictions were taken seriously. Oaktree, which had been building a distressed debt reserve fund since 2007, was beginning to deploy capital rapidly — at approximately \$400 million per week through year-end.

KEY THESIS

Marks made a bold and controversial argument at the moment of maximum panic: negativism, while justified by the severity of the crisis, had reached its own extreme and was itself a form of error. He did not deny the severity of the problems but argued that prices in credit markets had fallen so far below fundamental value that they were pricing in scenarios so extreme as to be essentially impossible — total financial system collapse. He argued that professional pessimism — the certainty that everything would get worse — was just as analytically flawed as the professional optimism of 2006. The memo was a call to buy selectively, firmly, and with conviction.

KEY CONCEPTS EXPLAINED

- **Distressed Securities Pricing:** During October 2008, many high-yield bonds of fundamentally sound companies were trading at 40–60 cents on the dollar — prices that implied default rates of 40–50% or higher, far above any historical precedent outside of the Great Depression. For patient investors willing to hold through the crisis, these prices offered extraordinary value: even if 20–25% of bonds defaulted (a very bad outcome), buyers at 50 cents on the dollar would still earn positive returns. The market was pricing in a scenario far worse than any realistic assessment of the most probable outcomes.
- **Contrarianism and Courage:** In October 2008, buying credit was not just analytically difficult — it was psychologically terrifying. The news flow was uniformly catastrophic; friends, colleagues, and commentators were predicting financial Armageddon. Marks argued that the ability to act contrary to the crowd at moments of maximum fear is the single most valuable — and rarest — investment skill. Most investors, even those who intellectually understood that

prices were attractive, could not overcome the psychological barrier of buying into a falling market.

- **The Asymmetry of Fear:** Marks observed that in October 2008, investor attention was almost entirely focused on downside risks (how bad could this get?) while almost completely ignoring upside possibilities (what if things don't go as badly as feared?). This one-sided attention to downside is the mirror image of the one-sided attention to upside that characterized 2006–2007. Both extremes represent analytical error. The correct approach is to honestly assess the full distribution of outcomes — which in October 2008, Marks argued, was weighted toward better-than-priced outcomes in distressed credit.
- **The Difference Between Losing and Permanent Capital Loss:** Many assets that fell dramatically in value during 2008 eventually recovered — bonds that traded at 40 cents recovered to par as businesses survived and the financial system stabilized. The crucial distinction is between mark-to-market losses (temporary price declines in a portfolio statement) and permanent capital loss (the business actually fails and the bond is worth nothing). Investors who sold in panic locked in permanent losses on assets that would have recovered; investors who held (or bought) through the panic earned extraordinary returns.
- **Investment Grade vs. High Yield:** Investment grade bonds are rated BBB- or above by credit rating agencies — considered low risk of default. High-yield bonds (also called "junk bonds") are rated below BBB- — higher default risk, but higher yields to compensate. The spread between these categories blew out dramatically in 2008, meaning the additional yield for accepting credit risk had become enormous by historical standards. Marks was arguing that this yield differential was far more than adequate compensation for the actual risk — that the market was effectively offering "investment grade" quality at "distressed" prices in many cases.

MEMORABLE QUOTES

"Few of the recent sharp price declines are associated with weakness in the underlying assets or companies. They result from market conditions — psychology, technical developments, and their interconnection."

"Contrarianism is the essence of good investing: it means doing the opposite of what others do, and doing it when it's hardest. October 2008 is one of those times."

WHY IT MATTERS

Written at what would prove to be very close to the bottom of the credit crisis, "The Limits to Negativism" is the definitive statement of contrarian credit investing — the argument that maximum pessimism is the precise moment when investors with capital and conviction should act, because prices have moved so far from fundamental value that the asymmetry of risk and reward has completely reversed.

DECEMBER 17, 2008

Volatility + Leverage = Dynamite

MARKET CONTEXT

By December 2008, the immediate financial panic had stabilized somewhat — governments worldwide had announced bank rescue packages, the Federal Reserve had cut rates to essentially zero (0–0.25%), and the TARP had been enacted. But the economic damage was accelerating: the US economy was in deep recession (it would contract 4.3% peak-to-trough), unemployment was rising rapidly, auto manufacturers GM and Chrysler were seeking emergency bailouts, and the long-term consequences of the credit bubble's collapse were becoming clearer. Oaktree had been deploying capital aggressively since October. Marks turned to a post-mortem analysis: how had the crisis come to be so severe? The answer, he argued, could be reduced to one equation: volatility plus leverage equals dynamite.

KEY THESIS

Marks provided the clearest possible analytical framework for understanding how a credit crisis transmits into a systemic catastrophe: leverage takes the ordinary volatility of asset prices and transforms it into existential risk. A 20% price decline in an unlevered portfolio is painful but survivable; the same 20% decline in a portfolio with 5:1 leverage (5 dollars of debt for every dollar of equity) wipes out all equity. The memo explained in precise terms why leverage is not just a risk amplifier but a risk transformer — it converts recoverable setbacks into unrecoverable disasters.

KEY CONCEPTS EXPLAINED

- **How Leverage Works (Mathematics):** Suppose you buy \$100 of bonds with \$20 of your own equity and \$80 of borrowed money. If bonds rise 10% to \$110, your equity doubles to \$30 — a 50% return on equity. If bonds fall 10% to \$90, your equity is halved to \$10 — a 50% loss. If bonds fall 20% to \$80, your equity is zero — you are wiped out. The bank takes its \$80 back and you have nothing. Marks' point: the 20% price decline that a non-leveraged buyer could easily ride out destroys the leveraged buyer completely. The mathematics of leverage is brutally unforgiving.
- **Volatility and Leverage Interaction:** The more volatile the underlying asset, the more dangerous leverage becomes. Leveraging a treasury bond (low volatility) is less dangerous than leveraging a high-yield bond (higher volatility) or a CLO equity tranche (very high volatility). The crisis of 2008 saw institutions that had leveraged extremely volatile structured products — CDOs, CDO-squared — face total wipeout because the leverage amplified volatility that was

itself greater than anticipated. The combination of unexpected volatility with high leverage is what Marks called "dynamite."

- **Margin Calls and Forced Liquidation:** When a leveraged investor's position falls below the required collateral threshold, the lender issues a "margin call" — demanding additional cash immediately. If the investor cannot provide it (because they are already fully committed or because other positions have also fallen), the lender has the right to liquidate the position at current market prices. Forced liquidation during a crisis, when all prices are falling and there are few buyers, guarantees losses at the worst possible prices and eliminates any possibility of recovery.
- **Ruin vs. Drawdown:** Marks distinguishes between an "ordinary" drawdown (a portfolio falls 30%; the investor is bruised but can recover) and "ruin" (a portfolio falls to zero or is forced to liquidate at a permanent loss). Leverage converts drawdown risk into ruin risk. Even if the investor's analysis is entirely correct — the assets will recover — if they face forced liquidation before recovery, they never participate in that recovery. This is why Marks argues that for leveraged strategies, it is not enough to be right in the end; you must survive until the market recognizes you were right.
- **Risk of Ruin and Position Sizing:** Kelly Criterion and other risk management frameworks emphasize that the mathematically optimal position size accounts for the possibility of a string of bad outcomes. The most important rule in leveraged investing: never use so much leverage that a plausible (even if not probable) adverse scenario causes ruin. In 2005–2007, many funds used leverage levels that left no margin of safety against scenarios that were highly probable given the fundamental conditions Marks had been describing for three years.

MEMORABLE QUOTES

"Leverage should only be used on the basis of demonstrably cautious assumptions. Using 100% of the leverage your assets might theoretically support is incompatible with assuring survival when adversity strikes."

"The magnification of gains and losses from leverage is typically symmetrical. But levered portfolios face a downside risk with no corresponding upside: the risk of ruin."

WHY IT MATTERS

This memo provides the most essential mathematical framework for private credit risk management: the interaction of volatility and leverage is the primary mechanism by which credit losses become systemic catastrophes. Every credit investor must understand this relationship before using leverage in any form — whether through a levered fund, a CLO, or any structured product.

NOVEMBER 10, 2009

Touchstones

MARKET CONTEXT

By November 2009, the acute phase of the financial crisis was over. The S&P 500 had bottomed in March 2009 and had rallied approximately 60% from its lows. The Federal Reserve's first quantitative easing program (QE1, announced in November 2008) had purchased \$1.75 trillion of mortgage-backed securities and US Treasuries, suppressing interest rates and reflating asset prices. Government bailout programs — TARP, the auto industry rescue, expanded FDIC guarantees — had prevented a full systemic collapse. But the US economy was still deeply wounded: unemployment had reached 10%, GDP had contracted sharply, and the commercial real estate market was beginning its own delayed crisis. Oaktree had deployed its distressed debt reserves to great effect and was now managing through the early recovery phase.

KEY THESIS

As the crisis subsided, Marks stepped back to articulate the fundamental investment principles — "touchstones" — that the crisis had validated. The memo was a synthesis of his investment philosophy, drawing lessons from the experience of watching the credit bubble inflate and then explode. He argued that the crisis had not introduced new principles but had violently confirmed old ones: that risk control is paramount, that leverage is dangerous, that cycles always assert themselves, that the crowd is wrong at extremes, and that the preservation of capital through disciplined process is the foundation of long-term wealth creation.

KEY CONCEPTS EXPLAINED

- **Quantitative Easing (QE):** A non-traditional monetary policy tool used when interest rates are already at zero and the central bank needs to provide additional stimulus. The Fed purchases assets (government bonds, MBS) by creating new money, injecting it into the financial system. QE reduces long-term interest rates, inflates asset prices (bonds, equities, real estate), and encourages risk-taking by making safe assets unattractive. QE1 in 2008–2010 was the first large-scale use of this tool in the US; it was credited with stabilizing financial markets but also criticized for inflating new asset bubbles.
- **The Investment Process over Outcomes:** Marks argues that good investment decisions are defined by the process used, not by the outcome — because good processes can produce bad short-term outcomes (if you are early or unlucky) and bad processes can produce good short-term outcomes (if markets keep going up). After the crisis, investors were tempted to

judge by outcomes: those who bought in 2006–2007 "failed" and those who avoided everything "succeeded." But Marks argued that the correct framework is: did you understand the risks? Did you have a sound analytical basis? Did you maintain discipline when the crowd was doing otherwise?

- **The Role of Luck and Skill:** The crisis exposed how much "skill" in 2005–2007 was actually leverage-enhanced beta — riding the credit boom with borrowed money. True skill is the ability to generate returns in all market environments, including downturns, through superior security selection and risk management. Distinguishing luck from skill requires observing many market environments, not just the most recent few years. Short-term track records in a bull market tell you very little about investment ability.
- **Why Cycles Are Inevitable:** Credit cycles are driven by human psychology: greed leads to over-lending, which leads to over-borrowing, which leads to over-investment, which leads to economic excess, which leads to correction, which leads to fear, which leads to under-lending, which leads to under-investment, which leads to economic weakness, which eventually creates recovery — and the cycle begins again. This cycle is as old as lending itself and will not be eliminated by financial innovation or central bank policy. Marks argues that understanding cycle position is the most important factor in investment decision-making.
- **The Inevitability of the Mean Reversion:** Assets that have been bid up to extreme valuations (like credit spreads at 200 basis points in 2006) always revert toward long-run averages — usually by overshooting in the other direction (spreads at 1,800 basis points in October 2008). This mean reversion is not just theoretical — it is the mechanism by which credit cycles correct. Investors who understand this and position accordingly (avoiding overvalued assets and buying aggressively when assets overshoot to the downside) can generate extraordinary long-term returns.

MEMORABLE QUOTES

"The crisis validated every principle we hold dear: risk control matters above all; leverage is dangerous; cycles assert themselves; the crowd is wrong at extremes. None of this was new — it was just confirmed at scale."

"Good investing is not about being right. It's about having a sound process, exercising discipline, and benefiting from the inevitable mistakes of others who lack both."

WHY IT MATTERS

Written as the crisis subsided, "Touchstones" serves as both a post-mortem of the GFC and a synthesis of the investment principles that the entire 2004–2009 era validated — making it the ideal capstone for understanding what the credit bubble and its collapse taught us about risk, cycles, and the fundamentals of sound investing.



Zero Rates, QE & Recovery

2010 – 2015

The Fed holds rates near zero for six years. QE inflates every asset class. Marks wrestles with a world where 'reaching for yield' becomes necessary but dangerous. European sovereign debt threatens to unravel the eurozone. Oaktree thrives buying distressed debt from the GFC aftermath while warning of new excesses.



JANUARY 22, 2010

Tell Me I'm Wrong

MARKET CONTEXT

The world in early 2010 was still exhaling after the worst financial crisis since the Great Depression. The U.S. economy had technically stopped shrinking (the recession officially ended in June 2009), but unemployment had peaked at 10% and millions remained out of work. The Federal Reserve had slashed its benchmark interest rate to essentially zero (0–0.25%) and had launched QE1, buying \$1.25 trillion in mortgage-backed securities. Stock markets had recovered sharply from their March 2009 lows — the S&P 500 rose 65% from trough to year-end 2009 — leaving many investors unsure whether the bounce was real or a dead-cat mirage.

KEY THESIS

Marks argued that the recovery in risk asset prices since March 2009 was real and justified — that the people who had been paralyzed by fear in 2008–09 and refused to buy distressed assets had missed a once-in-a-generation opportunity. He invited critics to tell him where his reasoning was wrong.

KEY CONCEPTS EXPLAINED

- **Risk Assets:** Investments with uncertain returns — stocks, high-yield bonds, real estate — as opposed to "safe" assets like U.S. Treasury bills. When fear rises, investors flee risk assets; when confidence returns, prices rebound.
- **Dead-Cat Bounce:** A temporary, misleading recovery in price following a large decline. Marks argued the 2009 recovery was NOT a dead-cat bounce.
- **Distressed Debt:** Securities (bonds or loans) of companies in financial trouble, often trading at 30–50 cents on the dollar. Skilled investors who buy these cheap can earn very high returns when the company recovers.
- **The Pendulum:** Marks' recurring metaphor — markets swing between excessive optimism (greed, overvaluation) and excessive pessimism (fear, undervaluation). In 2008–09, the pendulum had swung violently toward fear; by early 2010, it was swinging back.
- **Opportunity Cost of Doing Nothing:** If you refuse to invest because you fear more losses, and prices keep rising, your cost is the profit you didn't make. Paralysis has a price.

MEMORABLE QUOTES

"The list of things investors can't know is long. But the fact that they don't know them doesn't mean they shouldn't invest."

"The investor's task is to position a portfolio correctly given what's knowable. The unknowable should influence the amount of risk we take, not whether we invest at all."

WHY IT MATTERS

This memo teaches that excessive fear is just as dangerous as excessive greed — avoiding all risk has its own cost. The hardest investment decisions are made when the world feels most uncertain.

MARCH 17, 2010

I'd Rather Be Wrong

MARKET CONTEXT

Greece revealed in late 2009 that its budget deficit was nearly four times what it had reported (13% of GDP vs 3.7%), triggering the first tremors of the European Sovereign Debt Crisis. The euro fell sharply; EU and IMF began emergency bailout discussions. In the U.S., the Fed was completing its QE1 purchases while keeping rates at zero. U.S. markets had continued rallying despite European fears.

KEY THESIS

Marks acknowledged his prior optimism could be wrong — but argued that being wrong by being too cautious in a recovery costs money, just as being wrong by being too optimistic costs money. He preferred to be "wrong" in the direction of participating in the upside. The memo is fundamentally about the asymmetry of regret.

KEY CONCEPTS EXPLAINED

- **Asymmetric Risk:** A situation where the consequences of being wrong in one direction are worse than being wrong in the other. Marks argued in early 2010 the risk of missing further gains was greater than the risk of a pullback.
- **Contrarian Investing:** Going against popular opinion. When everyone is pessimistic, the contrarian buys. Marks argued for leaning into recovery while most remained fearful.
- **European Sovereign Debt Crisis:** Beginning 2010, several eurozone countries (Greece, Ireland, Portugal, Spain, Italy — nicknamed "PIIGS") faced unsustainably high government debt and rising borrowing costs, threatening the euro's stability.
- **Sovereign Debt:** Bonds issued by national governments. When a government is in financial trouble, investors demand higher interest rates to compensate for default risk.

MEMORABLE QUOTES

"I'd rather be approximately right than precisely wrong."

"If you wait until things are clear, there's no opportunity left."

WHY IT MATTERS

Risk management is not just about avoiding losses — it's about calibrating your errors. The best investors understand that inaction is itself a decision with real consequences.

MAY 12, 2010

Warning Flags

MARKET CONTEXT

May 2010 brought the "Flash Crash" — on May 6, the Dow plunged nearly 1,000 points in minutes before partially recovering. Greece signed its first bailout agreement (€110 billion) on May 2. Yet risk appetite was recovering; credit spreads had been tightening, and deal volumes rising. Investors who had been too afraid a year earlier were now chasing yield aggressively.

KEY THESIS

Marks issued a caution: even though things had improved dramatically from 2008–09, complacency was beginning to creep back in. He identified specific "warning flags" — behaviors and attitudes in markets that historically precede trouble — and warned investors not to abandon the prudence they had relearned during the crisis.

KEY CONCEPTS EXPLAINED

- **Credit Spreads:** The difference in yield between a risky bond (e.g., junk-rated corporate) and a risk-free government bond of the same maturity. Tight spreads = investors accept less extra compensation for risk (complacency). Wide spreads = more fear.
- **Covenant-Lite Loans:** Loans made with fewer protective conditions for the lender. A covenant might say "the borrower's debt cannot exceed 4x annual profit." Removing that protection signals loose lending standards.
- **Yield Chasing:** When investors desperately search for higher-returning investments because safe options pay almost nothing. QE and low rates pushed trillions into riskier assets, compressing risk premiums everywhere.
- **Complacency:** The dangerous feeling that risks have subsided. Often peaks right before trouble — because low volatility and rising prices make risk seem to have disappeared.
- **Recency Bias:** The human tendency to weight recent experience too heavily. After a two-year rally, investors forget the pain of 2008.

MEMORABLE QUOTES

"The greatest risk doesn't come from low quality or high volatility. It comes from paying too high a price."

"There's nothing wrong with any investment — the question is always the price."

WHY IT MATTERS

Recovery itself sows the seeds of future danger. As fear dissipates, standards slip. The job of a risk-conscious investor is to notice when the crowd stops being careful.

JULY 19, 2010

It's Greek to Me

MARKET CONTEXT

Greece had received its first bailout but markets remained skeptical. The European Financial Stability Facility (EFSF) was created in May 2010 with €750 billion in capacity. Ireland and Portugal were also looking vulnerable. The Dodd-Frank Wall Street Reform Act was signed into law on July 21, 2010 — the most sweeping financial regulation since the 1930s. The euro was under sustained pressure.

KEY THESIS

Marks examined the Greek debt crisis as a case study in what happens when investors lose confidence in a sovereign borrower, analyzing the mechanics of how a debt crisis spreads (contagion), the limits of bailouts, and the critical distinction between solvency problems and liquidity problems.

KEY CONCEPTS EXPLAINED

- **Sovereign Default:** When a national government fails (or refuses) to repay its debts. Greece's 2010 crisis was the first stage of a debt spiral that led to formal default/restructuring in 2012.
- **Solvency vs. Liquidity:** A liquidity problem means you temporarily can't pay bills but your assets exceed your debts (you're solvent). A solvency problem means your total debts permanently exceed your assets. You can fix liquidity with a loan; you cannot fix solvency that way.
- **Debt-to-GDP Ratio:** Total government debt divided by the country's annual economic output. Greece's ratio was over 130% — lenders worried the debt could never be fully repaid.
- **Contagion:** When financial trouble in one country spreads to others, even if those others have different underlying problems. Fear becomes self-fulfilling as investors sell anything resembling the troubled asset.
- **Austerity:** Government spending cuts and tax increases required as a condition of bailout. Politically painful and economically controversial — critics argue it worsens recessions.

MEMORABLE QUOTES

"The market gods have a clear message: you can't borrow your way out of a debt crisis."

"When the tide goes out, you find out who's been swimming naked."

WHY IT MATTERS

The Greek crisis remains the most important template for understanding how government debt crises unfold — a slow buildup, then a sudden loss of market confidence, then contagion. Private credit investors must understand sovereign risk because it affects the entire credit environment.

SEPTEMBER 10, 2010

Hemlines

MARKET CONTEXT

The Fed signaled at its August 2010 Jackson Hole conference that it was prepared to do more monetary easing — this was the first hint of QE2, officially launched in November 2010 (\$600 billion in Treasury purchases). Equity markets were rising. Credit conditions were easing. The question on everyone's mind: how do you make investment decisions in an environment of radical uncertainty?

KEY THESIS

Using the analogy of hemlines (the 1920s theory that skirt lengths track stock markets), Marks examined the human tendency to find patterns in markets and warned that most supposed "signals" are unreliable post-hoc rationalizations. The real message was epistemic humility: knowing the limits of what we can predict.

KEY CONCEPTS EXPLAINED

- **Spurious Correlations:** The (tongue-in-cheek) theory that hemline lengths correlate with stock markets illustrates how easy it is to find fake patterns in financial data — statisticians call this "data mining."
- **Data Mining:** Searching through large datasets until you find a pattern that looks meaningful, even if it's random. With enough data, you'll always find something that "correlates" with stock returns.
- **Fundamental Analysis:** Evaluating investments based on actual business fundamentals — revenue, profit, debt load, industry position. This is the approach Marks and most value investors favor over chart-reading.
- **Noise vs. Signal:** Most daily market fluctuations are "noise" — random variation with no meaning. "Signal" is information that actually tells you something real about value. The trick is telling the two apart.
- **Epistemic Humility:** Knowing what you don't know. One of Marks' core tenets: the world is so complex that overconfident prediction is dangerous.

MEMORABLE QUOTES

"You can't predict. You can prepare."

"The problem is that most of what people call forecasts are really just extrapolations of recent trends."

WHY IT MATTERS

Investors who pretend to predict markets precisely are either deluded or lying. Sound investing starts with acknowledging uncertainty and building portfolios that can withstand it.

DECEMBER 1, 2010

Open and Shut

MARKET CONTEXT

Late 2010 saw the Fed's QE2 program begin (\$600 billion in Treasury purchases announced November 2010). Ireland received a bailout in November (€85 billion). U.S. high-yield bond markets had recovered spectacularly — returning over 58% from 2008 lows to end of 2010. Capital markets — the markets where companies raise money — had swung from "shut" (no one would lend) to "open" (capital flowing freely to even riskier borrowers).

KEY THESIS

Marks examined how credit markets cycle between being willing to lend (open) and refusing to lend (closed), and argued that the current openness was getting dangerously permissive. Lenders were accepting worse terms from borrowers. This was the beginning of his warnings about the emerging credit cycle of the early 2010s.

KEY CONCEPTS EXPLAINED

- **Capital Markets:** The markets where companies and governments raise long-term money — by issuing stocks (equity markets) or bonds (debt/credit markets). When "open," lenders and investors fund companies. When "closed," nobody wants to lend.
- **Credit Cycle:** The recurring pattern of lending standards moving between loose (anything goes) and tight (no one will lend). Understanding where you are in the cycle is crucial.
- **Investment Grade vs. High Yield:** Bonds rated BBB- or higher (S&P) are "investment grade" — relatively safe. Below this is "speculative grade" or "high-yield/junk" — higher interest paid to compensate for default risk.
- **Lending Standards:** The criteria a lender uses before agreeing to make a loan. In bull markets, standards loosen — lenders give money to weaker borrowers with fewer protections.

MEMORABLE QUOTES

"When capital is abundant and hungry, investors compete to put it to work, and the most dangerous deals get done."

"The loosening of standards in the capital markets is the clearest sign of a maturing bull market."

WHY IT MATTERS

The health of credit markets is the circulatory system of the economy. When lending standards slip in good times, the seeds of the next crisis are planted. Private credit investors must track the credit cycle as carefully as they track individual companies.

DECEMBER 17, 2010

All That Glitters

MARKET CONTEXT

Gold had risen from ~\$700/oz in late 2008 to over \$1,400/oz by December 2010 — a near-doubling. Gold bugs were proliferating; TV ads urged ordinary people to buy gold coins. The argument: the Fed was printing money (QE1 and QE2), deficits were exploding, the dollar would collapse, and gold was the only real money. Many retail investors who had been burned by stocks were seeking "safe" alternatives.

KEY THESIS

Marks examined the gold craze with characteristic skepticism. His core argument: gold has no intrinsic cash flow — it pays no dividends or interest — so its value is entirely based on what the next buyer will pay. This makes it inherently speculative. Popularity and a good story do not make something a good investment.

KEY CONCEPTS EXPLAINED

- **Intrinsic Value:** The underlying worth of an asset based on what it produces, independent of market price. A bond's value comes from interest payments. A stock's value comes from future profits. Gold's intrinsic value is near zero — it's essentially a shiny metal.
- **Fiat Currency:** Money declared legal tender by government decree, not backed by gold or any commodity. The U.S. dollar since 1971 is pure fiat — its value rests entirely on confidence in the U.S. government.
- **Quantitative Easing (QE):** When a central bank creates new money electronically to buy financial assets. Gold buyers feared this would cause inflation and dollar debasement.
- **The Greater Fool Theory:** The idea that you can buy an overpriced asset because a greater fool will pay you even more later. A dangerous game.
- **Speculative Asset:** An investment whose returns depend entirely on price appreciation — selling to someone at a higher price — rather than on income generation.

MEMORABLE QUOTES

"The fact that gold has no yield means that its value is entirely in the eye of the beholder."

"Popularity is not the same as investment merit. Something being desired by many people today does not mean it will generate returns for its owners."

WHY IT MATTERS

Understanding what makes an asset valuable — and what makes it merely fashionable — is fundamental to investing. Assets that produce income have an anchor to value; assets that produce nothing are priced purely by psychology.

MARCH 2, 2011

On Regulation

MARKET CONTEXT

The Dodd-Frank Act had been signed into law in July 2010, representing the most sweeping re-regulation of Wall Street since the 1930s. The law created the Consumer Financial Protection Bureau, imposed new rules on derivatives trading, required banks to hold more capital, and restricted speculative activities (the Volcker Rule). Wall Street was furious. Regulators were working to write hundreds of specific implementing rules.

KEY THESIS

Marks argued that financial regulation is inherently an imperfect, cyclical process. Over-regulation stifles innovation; under-regulation leads to crises. The pendulum swings between the two extremes. He advocated for thoughtful, calibrated regulation rather than the reflexive over-regulation that typically follows financial crises.

KEY CONCEPTS EXPLAINED

- **Dodd-Frank Act:** The 2010 U.S. law overhauling financial regulation after the 2008 crisis. Key provisions: the Volcker Rule (banning banks from proprietary trading), the Consumer Financial Protection Bureau, and new oversight of "systemically important" institutions.
- **Volcker Rule:** Prohibits banks from using depositors' funds to make speculative investments for profit ("proprietary trading"). Banks should lend to customers and take deposits, not gamble.
- **Moral Hazard:** When someone is protected from the consequences of their risky behavior, they take more risks. If banks know the government will bail them out, they take excessive risks.
- **Systemic Risk:** The risk that one institution's failure causes a chain reaction bringing down the entire financial system. Banks deemed "Too Big To Fail" are "systemically important."
- **Capital Requirements:** Rules requiring banks to hold a minimum amount of their own money (equity) as a buffer against losses. More capital = less likely to fail when loans go bad.

MEMORABLE QUOTES

"The regulatory pendulum swings between too much and too little. The trick is knowing which direction it's moving."

"Every financial crisis leads to over-regulation, which eventually leads to under-regulation, which eventually leads to the next crisis."

WHY IT MATTERS

Financial regulation is not a solved problem — it's an ongoing negotiation between safety and efficiency. Understanding this cycle helps you anticipate how the investing environment will change.

MAY 25, 2011

How Quickly They Forget

MARKET CONTEXT

By mid-2011, two years after the crisis trough, markets had recovered strongly. The S&P 500 had doubled from its March 2009 lows. High-yield bond issuance was booming. Private equity firms were doing leveraged buyouts again. Covenant-lite loans were returning. PIK bonds (which pay interest with more debt instead of cash) were appearing. In Europe, the sovereign debt crisis was worsening — Greece was in a genuine debt spiral and there was talk of restructuring.

KEY THESIS

One of Marks' most important memos — within just two years of the worst crisis since the 1930s, risky behaviors that had contributed to that crisis were returning. Standards were slipping again. The painful lessons were being forgotten with startling speed.

KEY CONCEPTS EXPLAINED

- **Institutional Memory:** The collective recollection of an industry about past events. Marks argues institutional memory in financial markets is typically about 7 years — the length of a credit cycle. People who weren't working during the last crisis don't remember it viscerally.
- **PIK (Payment-in-Kind) Bonds:** Bonds where the issuer pays interest not in cash but by issuing more bonds. A struggling company avoids cash outflows — but at the cost of growing its debt pile. PIK bonds signal very loose lending standards.
- **Leveraged Buyout (LBO):** When a private equity firm buys a company using mostly borrowed money (debt) with only a small amount of their own equity. The company itself takes on the debt. Works well if the company generates enough cash to service the debt; catastrophic if it doesn't.
- **Credit Cycle:** The rhythm of lending expansion and contraction. During expansions: more credit, looser standards, lower rates. During contractions: credit dries up, standards tighten, defaults rise. Typically runs 7–10 years.
- **Covenant-Lite:** Loans or bonds issued without usual protective covenants — requirements that borrowers maintain certain financial ratios. Dangerous for lenders.

MEMORABLE QUOTES

"The most dangerous words in investing are 'this time it's different.'"

"The three stages of a bull market: first, only a few smart people realize something good is happening. Second, most investors recognize it. Third, everyone concludes things will be good forever."

WHY IT MATTERS

Financial history repeats precisely because human nature doesn't change. Fear turns into greed, greed turns into crisis, crisis turns into fear. The investor who recognizes this cycle — and where they are in it — has a substantial edge.

JULY 21, 2011

Down to the Wire

MARKET CONTEXT

Congress and the Obama administration were at an impasse over raising the federal debt ceiling — the legal limit on how much the U.S. government can borrow. If the ceiling wasn't raised by August 2, 2011, the U.S. government would potentially default on its obligations for the first time in history. Standard & Poor's was threatening to downgrade the AAA credit rating of the United States. Markets were nervous but not yet panicking.

KEY THESIS

Marks analyzed the debt ceiling crisis as a microcosm of America's deeper fiscal challenges — too much spending relative to revenue, political gridlock preventing solutions, and the risk that what has always been unthinkable (a U.S. government default) could become thinkable. Even if resolved, the underlying problem remained.

KEY CONCEPTS EXPLAINED

- **Debt Ceiling:** The statutory limit Congress sets on how much the U.S. government can borrow in total. Must be raised periodically or spending must be cut.
- **Treasury Bonds / Treasuries:** Debt securities issued by the U.S. government. Considered the world's safest investment. The foundation of global finance — Treasury rates serve as the "risk-free rate" against which everything else is measured.
- **AAA Rating:** The highest credit rating, assigned by S&P, Moody's, and Fitch. A AAA-rated borrower is considered to have essentially no risk of default. The U.S. had held AAA status since 1917; S&P ultimately downgraded it to AA+ on August 5, 2011.
- **Risk-Free Rate:** The interest rate on the safest possible investment — U.S. Treasury bills. All other investments are priced as the risk-free rate PLUS a risk premium (extra return for extra risk).
- **Fiscal Policy:** Government decisions about spending and taxation. Contrasts with monetary policy (controlled by the Federal Reserve).

MEMORABLE QUOTES

"The United States doesn't have a debt ceiling problem. It has a spending problem, a revenue problem, and a political-will problem."

"Markets can ignore fiscal irresponsibility for a long time. But when they stop ignoring it, the adjustment is brutal."

WHY IT MATTERS

Even the world's "risk-free" borrower carries real fiscal risk over long time horizons. Political dysfunction can create genuine financial risk in developed markets — a lesson increasingly relevant today.

SEPTEMBER 7, 2011

What's Behind the Downturn?

MARKET CONTEXT

August 2011 was brutal: the S&P 500 fell over 17% from its April 2011 peak. The S&P downgrade of U.S. debt to AA+ (August 5) sent shockwaves. The European sovereign debt crisis was intensifying — Italy and Spain were in markets' crosshairs, with Italian 10-year bond yields rising toward 6%. The ECB was buying Italian and Spanish bonds to hold the line. Global growth fears were rising.

KEY THESIS

Marks examined the causes of the summer 2011 selloff and concluded it was a collision of multiple concerns simultaneously: U.S. fiscal problems, European sovereign debt, slowing global growth, and general investor nervousness. He analyzed each factor methodically.

KEY CONCEPTS EXPLAINED

- **Risk-Off / Risk-On:** "Risk-on" = investors are in a buying mood, willing to take on stocks, high-yield bonds, emerging market assets. "Risk-off" = investors flee to safety (Treasuries, gold, cash).
- **Bund:** The German government 10-year bond. In Europe, the Bund is the equivalent of the U.S. Treasury — the benchmark for "safe" European sovereign debt.
- **Spread Widening:** During the European crisis, the spread between Italian/Spanish bonds and the German Bund exploded. Wider spreads = more fear.
- **Correlation:** How closely two assets move together. During crises, correlations spike — things that normally move independently all fall together, eliminating diversification benefits.
- **ECB (European Central Bank):** The central bank for the eurozone. In 2011, it began buying government bonds of troubled eurozone members to cap their yields.

MEMORABLE QUOTES

"The most important question to ask when markets fall is: 'Is this a problem with the price, or a problem with the asset?'"

"Markets can go down for fundamental reasons or psychological reasons. The mistake is assuming it's always one or the other."

WHY IT MATTERS

Not every market decline signals a new crisis. Distinguishing between fear-driven selloffs (which create buying opportunities) and fundamental deterioration (which requires risk reduction) is one of the most valuable skills in investing.

NOVEMBER 16, 2011

It's All Very Taxing

MARKET CONTEXT

November 2011: the European crisis reached a new intensity. Italy's borrowing costs hit 7% — the level that had forced Greece, Ireland, and Portugal into bailouts. Italian PM Silvio Berlusconi and Greek PM George Papandreou both resigned; technocratic governments were installed. The U.S. Congressional "super committee" tasked with reaching a \$1.2 trillion deficit-reduction deal was heading toward failure. Tax policy was becoming a central political battleground.

KEY THESIS

Marks dove deep into U.S. tax policy — specifically the debate about tax rates on capital gains, dividends, and ordinary income. He argued that tax policy affects investment behavior profoundly and that investors routinely make poor decisions by focusing on pre-tax returns without thinking carefully about after-tax outcomes.

KEY CONCEPTS EXPLAINED

- **Capital Gains Tax:** Tax on the profit from selling an investment. Long-term capital gains (assets held more than a year) are taxed at a lower rate than ordinary income. As of 2011, the maximum rate was 15%.
- **After-Tax Return:** What you actually keep after paying taxes. If an investment returns 10% but you owe 30% in taxes, your after-tax return is 7%. This is what actually matters for building wealth.
- **Carried Interest:** The share of profits earned by private equity and hedge fund managers — typically 20% of profits. Historically taxed as capital gains (15–20%) rather than ordinary income (35%+), which critics argued was unfair. Still politically controversial.
- **Tax Efficiency:** Structuring investments to minimize the tax drag on returns. Holding investments longer (for long-term capital gains rates), using tax-advantaged accounts, and timing asset sales are all tools of tax efficiency.

MEMORABLE QUOTES

"Taxes are real money. The investor who ignores them is leaving significant returns on the table."

"What matters is not what you earn, but what you keep after the government takes its share."

WHY IT MATTERS

After-tax returns are what investors actually live on. Understanding how tax policy affects investment structure, timing, and strategy is not optional — it's fundamental to financial literacy.

JANUARY 10, 2012

What Can We Do For You?

MARKET CONTEXT

As 2012 began, Greece was negotiating a "PSI" (Private Sector Involvement) — a forced restructuring of its bonds that would amount to the largest sovereign debt restructuring in history. The ECB's LTRO (Long-Term Refinancing Operation) in December 2011 injected over €1 trillion in cheap 3-year loans into European banks, dramatically reducing stress. U.S. markets were recovering after the August 2011 selloff.

KEY THESIS

Marks examined what investment management can and cannot realistically deliver for clients. The industry is rife with false promises — many managers claim abilities (consistent outperformance, protection in down markets) that are statistically impossible for the entire industry to achieve simultaneously. A call for realism about what investment management can actually deliver.

KEY CONCEPTS EXPLAINED

- **Alpha:** Investment returns above and beyond what you'd expect given market risk taken. True alpha — persistent, skill-based outperformance — is rare.
- **Beta:** Returns that come simply from being exposed to the market. Available cheaply through index funds. Not skill — just market exposure.
- **Passive vs. Active Management:** Passive management (index funds) tracks a benchmark at very low cost. Active management tries to beat the benchmark through security selection at higher cost. Evidence shows most active managers underperform after fees.
- **Survivorship Bias:** Bad funds close; their bad records disappear from data. If you study only existing funds, you overestimate how well active managers do.

MEMORABLE QUOTES

"The most important thing is not what we can do for you in good times. It's what we can do in bad times."

"Everyone can outperform in a bull market. The question is: who loses less in a bear market?"

WHY IT MATTERS

For anyone allocating capital — pension funds, endowments, institutions — the ability to select genuinely skilled managers is one of the most valuable competencies. Most of the investment industry produces mediocre results after fees.

FEBRUARY 15, 2012

Assessing Performance Records: A Case Study

MARKET CONTEXT

Early 2012 saw the beginning of the European debt crisis's temporary resolution. The ECB's LTRO programs injected over €1 trillion into European banks. Italian and Spanish bond yields fell sharply. U.S. high-yield markets had recovered spectacularly. Against this backdrop, investors were evaluating performance records to decide where to allocate capital.

KEY THESIS

Marks walked through the analytical process of evaluating an investment manager's track record — showing how to avoid common mistakes. Raw numbers tell very little; you need to understand the market environment, the risk taken, and whether returns reflected skill or luck.

KEY CONCEPTS EXPLAINED

- **Track Record Analysis:** Examining a manager's historical returns to determine if they reflect skill. Must adjust for: the market environment, the amount of risk taken, the time period covered, and the consistency of returns.
- **Risk-Adjusted Returns:** Returns viewed through the lens of how much risk was taken to generate them. Sharpe Ratio = (portfolio return minus risk-free rate) ÷ volatility. Higher is better.
- **Attribution Analysis:** Breaking down returns to understand their sources. Was outperformance due to stock selection? Sector allocation? Timing? Luck? Good attribution reveals whether a manager's edge is real and repeatable.
- **Luck vs. Skill:** Perhaps the hardest problem in performance evaluation. A manager who makes 5 correct calls in a row might be skilled — or might have been lucky. Statistically, you need many years of data across different market environments to tell the difference.

MEMORABLE QUOTES

"Anyone can look good in a rising market. The test is: how did they do when things got hard?"

"A superior track record tells you what happened. Only understanding how it happened tells you whether it will repeat."

WHY IT MATTERS

Hiring investment managers based on raw past returns is one of the most common and costly mistakes in investing. The analytical framework Marks teaches here is used by every serious institutional investor.

MARCH 19, 2012

Déjà Vu All Over Again

MARKET CONTEXT

March 2012: The Greek PSI completed — creditors took roughly 53.5% losses ("haircut") on their bonds, making it the largest sovereign restructuring in history. Yet markets were calm — the ECB's LTRO programs had stabilized the banking system. U.S. high-yield markets were booming. The Fed had announced it would keep rates near zero through late 2014. Private equity activity was picking up. High-yield bond issuance was at record levels.

KEY THESIS

The title (borrowed from Yogi Berra) said it all: Marks saw the exact same patterns from prior credit market manias emerging again — just two to three years after the worst crisis in modern financial history. Loose lending standards, aggressive deal structures, yield chasing, and short memories. He connected it explicitly to credit booms of the 1980s, 1990s, and 2000s.

KEY CONCEPTS EXPLAINED

- **Credit Market Cycles:** The recurring expansion-and-contraction of credit availability. Always the same stages: (1) Recovery — tight standards, high yields, low risk; (2) Expansion — things go well, confidence rises, standards loosen; (3) Euphoria — anything goes, yields compress, risk is ignored; (4) Crisis — defaults spike, credit dries up.
- **Haircut:** The percentage reduction in the value of a bond or loan when restructured. A 50% haircut means creditors accept 50 cents for every dollar they're owed.
- **EBITDA:** Earnings Before Interest, Taxes, Depreciation, and Amortization. A rough measure of operating cash flow. Lenders use debt-to-EBITDA ratios to assess leverage. Higher ratios = more debt relative to earnings = more risk.
- **PIK Toggle:** A bond feature allowing the company to choose whether to pay interest in cash or in additional bonds. Signals weak credit quality.
- **Second Lien Loans:** Loans repaid second in priority after senior (first lien) lenders in bankruptcy. More risky, pay more yield. Their re-emergence was a warning sign.

MEMORABLE QUOTES

"We're seeing the same things we saw in 2005 and 2006, just three years after everyone swore it would never happen again."

"The credit market has no memory. Only investors have memories, and apparently not for very long."

WHY IT MATTERS

Understanding the credit cycle is the single most important macro skill for private credit investors. Recognizing where you are in the cycle — and what comes next — determines whether you prosper or get hurt.

JUNE 20, 2012

It's All A Big Mistake

MARKET CONTEXT

June 2012: Spanish bond yields rose above 7%. The Spanish banking system needed a €100 billion EU bailout. Greece had just held a second election (June 17) allowing a pro-bailout government to form. Then on July 26, ECB President Mario Draghi made his famous "whatever it takes" speech, eventually ending the acute phase of the European crisis. It was the most dramatic moment in the eurozone's short history.

KEY THESIS

Marks argued the entire EU/ECB approach to the crisis involved a fundamental error — confusing symptoms with causes. Bailing out governments and banks addresses the immediate cash flow problem but not the underlying structural problems (competitiveness gaps, shared monetary policy without shared fiscal policy). He examined how policy mistakes compound over time.

KEY CONCEPTS EXPLAINED

- **Monetary Union without Fiscal Union:** The core structural flaw in the eurozone. All countries shared the euro and a single interest rate, but each controlled its own budget. This meant Germany and Greece couldn't have different interest rates despite wildly different economic needs.
- **"Whatever It Takes":** Draghi's July 26, 2012 promise that the ECB would do "whatever it takes" to preserve the euro, backed by the OMT (Outright Monetary Transactions) program. This statement alone calmed markets because it made speculating against the euro very dangerous.
- **Structural vs. Cyclical Problems:** A structural problem is a deep, systemic issue — like an economy that is fundamentally uncompetitive. A cyclical problem is temporary. Treating structural problems as cyclical (just throwing money at it) is a mistake.
- **Current Account Deficit/Surplus:** A measure of a country's trade with the rest of the world. Germany had large surpluses; Greece had large deficits. Within the eurozone, adjusting this imbalance was extremely difficult without the ability to devalue a currency.

MEMORABLE QUOTES

"No matter how elegant the solution, you can't borrow your way out of a solvency crisis."

"The Europeans made the classic mistake of confusing a liquidity crisis with a solvency crisis, and treating the latter with tools designed for the former."

WHY IT MATTERS

Policy mistakes create investment opportunities and risks. Understanding the distinction between solvency and liquidity — and whether policy is correctly addressing the true problem — is essential for anyone in credit markets.

SEPTEMBER 11, 2012

On Uncertain Ground

MARKET CONTEXT

September 6, 2012: ECB officially announced the OMT program — unlimited purchases of troubled eurozone bonds. September 13: the Federal Reserve announced QE3 — open-ended purchases of \$40 billion/month in mortgage-backed securities with no specified end date (later expanded to \$85 billion/month). Markets rallied sharply. We were in genuinely uncharted territory — no central bank in history had attempted QE on this scale.

KEY THESIS

Against the backdrop of unprecedented central bank intervention, Marks examined the profound uncertainty facing investors. We were in uncharted territory — the ultimate consequences were genuinely unknowable. But unknowability doesn't mean you don't invest; it means you invest with appropriate humility and positioning.

KEY CONCEPTS EXPLAINED

- **QE3:** The Fed's September 2012 program of buying \$40bn/month in mortgage-backed securities, with no predetermined end date. Combined with prior QE rounds, the Fed's balance sheet expanded from ~\$900 billion (2008) to over \$4 trillion by 2014.
- **Forward Guidance:** When a central bank explicitly signals future interest rate plans. The Fed said rates would stay near zero "at least through 2015" and until unemployment fell below 6.5% — meant to keep long-term rates low and stimulate borrowing.
- **Tail Risk:** The risk of extreme, low-probability outcomes — the "fat tails" of a probability distribution. In a world of massive monetary experiments, tail risks were larger than historical models would suggest.
- **Risk vs. Uncertainty:** Risk = knowable probability distributions. Uncertainty = outcomes you cannot even assign probabilities to. Marks argued we were in deep uncertainty — not just risk — with QE on this scale.

MEMORABLE QUOTES

"In the investing world, uncertainty is the norm, not the exception. The question is not whether to invest in uncertainty, but how."

"The greatest source of risk today is not what we know might happen, but what we cannot anticipate at all."

WHY IT MATTERS

Modern investing requires making decisions under genuine, deep uncertainty — not just calculable risk. The distinction between these two is one of the most important in finance.

NOVEMBER 19, 2012

A Fresh Start (Hopefully)

MARKET CONTEXT

Barack Obama had just won re-election (November 6, 2012). The "fiscal cliff" — a series of automatic tax increases and spending cuts totaling \$600 billion (about 4% of GDP) set to take effect on January 1, 2013 if Congress didn't act — was the dominant financial story. Failure to act could have thrown the U.S. back into recession. Congress eventually passed the American Taxpayer Relief Act on January 1, 2013 to partially avoid it.

KEY THESIS

Marks examined the post-election landscape and argued that the "fresh start" offered by elections didn't guarantee substantive change — the underlying fiscal and structural problems remained. He analyzed the fiscal cliff in detail and connected it to the broader challenge of bringing fiscal discipline to a democracy where everyone wants benefits but nobody wants to pay for them.

KEY CONCEPTS EXPLAINED

- **Fiscal Cliff:** The combination of \$600 billion in automatic tax increases and spending cuts scheduled to hit simultaneously on January 1, 2013, which would have triggered a sharp, sudden fiscal contraction.
- **Sequestration:** Automatic, across-the-board spending cuts written into U.S. law. A blunt instrument cutting everything equally, resulting in significant reductions in discretionary federal spending starting March 2013.
- **Entitlement Programs:** Government programs where eligibility is defined by law — Social Security, Medicare, Medicaid. The majority of federal spending and growing automatically with demographics and healthcare costs.
- **Structural Deficit:** A budget deficit that persists even when the economy is growing strongly, distinct from a cyclical deficit caused by recession. The U.S. had a large structural deficit.

MEMORABLE QUOTES

"Elections change the faces at the top but rarely the underlying math."

"The path of least political resistance — promising everything to everyone — is also the path to fiscal ruin."

WHY IT MATTERS

Fiscal sustainability matters for long-term investors because unsustainable debt eventually leads to either default, inflation, or severe austerity — all of which dramatically affect the investment landscape.

JANUARY 7, 2013

Ditto

MARKET CONTEXT

As 2013 opened, the S&P 500 had finished 2012 up about 16%. Credit markets were booming — high-yield spreads were near historic lows. The Fed was in full QE3 mode. A "Great Rotation" was being predicted: money would flow from bonds into stocks as confidence returned. European worries had subsided significantly after Draghi's actions.

KEY THESIS

"Ditto" was a direct follow-up to prior cautionary memos. Marks' message: everything I said before about deteriorating credit standards and excessive risk-taking — ditto. It's still happening, perhaps even more so. He documented specific examples of aggressive credit structures and argued investors were once again ignoring risk.

KEY CONCEPTS EXPLAINED

- **Pro-Cyclical Behavior:** When investors behave in ways that amplify the economic cycle — lending more during booms (when they should be cautious) and less during busts (when they should be lending). Most investors are pro-cyclical, not counter-cyclical.
- **Fallen Angels:** Investment-grade bonds downgraded to high-yield (junk) status — they "fall from grace." During market stress, fallen angels can become fire-sale opportunities for high-yield investors.
- **Yield vs. Return:** A subtle but critical distinction. Yield is the stated interest rate on a bond. Return is what you actually earn, including price changes and defaults. In a default, yield means nothing — you may lose principal.
- **Covenant Package:** The full set of protective terms in a loan agreement — what the borrower can and cannot do. Marks documented how covenant packages were getting increasingly thin.

MEMORABLE QUOTES

"The ingredients for an investment disaster are in place: low returns on safe assets, high prices for risky assets, and investors willing to accept risk they don't fully appreciate."

"When investors forget risk, risk doesn't go away. It just goes underground."

WHY IT MATTERS

The warnings in "Ditto" proved prescient — the credit cycle expanding in 2013 eventually contributed to the high-yield stress of 2015–2016. Recognizing these patterns early is the mark of a sophisticated credit investor.

FEBRUARY 21, 2013

High Yield Bonds Today

MARKET CONTEXT

The U.S. high-yield bond market was on fire in early 2013. Yields had fallen below 6% — near record lows. The default rate was under 3% (compared to 13%+ during the 2009 crisis). Companies that couldn't have borrowed in 2009 were now selling bonds with ease. Investors starved of yield by the Fed's near-zero rate policy were flooding into high-yield to get any return at all.

KEY THESIS

Marks provided a comprehensive overview of the high-yield bond market — what it is, how it works, its history, and his assessment of current conditions. He concluded that while high-yield was far from toxic, spreads had compressed to levels that left little margin for error. The asset class was "priced for perfection."

KEY CONCEPTS EXPLAINED

- **High-Yield Bond Market:** A market for bonds issued by companies with credit ratings below BBB-/Baa3. Real businesses — retail chains, energy companies, media companies — that have more debt than investment-grade companies. In exchange for higher default risk, buyers receive higher interest rates.
- **Default Rate:** What percentage of high-yield bonds fail to pay their interest or principal in a given year. Long-run average is about 4–5%/year. At the peak of the financial crisis (2009), it reached 13%. In 2013, it was under 3%.
- **Recovery Rate:** When a company defaults, bondholders don't lose everything — they recover some value through bankruptcy proceedings or restructuring. Average recovery rate on defaulted bonds is roughly 40 cents on the dollar.
- **Basis Points (bps):** One basis point = 0.01%. 100 basis points = 1%. Used to describe changes in interest rates or spreads. "The spread compressed 50 bps" = it narrowed by 0.5%.
- **Priced for Perfection:** When an asset's price implies almost everything will go right — no defaults, no economic shocks, no surprises. In such conditions, even a small disappointment causes large losses.

MEMORABLE QUOTES

"High yield bonds at today's yields offer less compensation for risk than at any time in history other than right before the 2008 crisis."

"Investors in high yield today are essentially betting that nothing bad will happen. History suggests that is not a good bet."

WHY IT MATTERS

For private credit investors, high-yield bonds are a close cousin to direct lending. Understanding credit spread cycles, default risk, and recovery mechanics is foundational knowledge for anyone working in credit markets.

MARCH 13, 2013

The Outlook for Equities

MARKET CONTEXT

The S&P 500 had just hit new all-time highs above 1,550 in March 2013 — finally surpassing the October 2007 peak after over five years of recovery. The Dow hit 14,000 again. Corporate earnings had been strong. But underlying economic growth remained modest at only about 2%, well below historical post-recession recovery rates. The "Bernanke Put" — the belief that the Fed would support markets if they fell — was a widely-cited tailwind.

KEY THESIS

Marks took a measured view: the path of stock prices is determined by fundamentals (earnings growth, dividends) and the multiple investors are willing to pay (P/E ratio). At new all-time highs, the multiple had expanded significantly — meaning a lot of future returns had already been "borrowed" from the future.

KEY CONCEPTS EXPLAINED

- **P/E Ratio:** Price divided by earnings per share. A P/E of 15 means investors pay \$15 for every \$1 of earnings. Higher P/E = more optimism priced in. Long-run S&P 500 average is about 16.
- **CAPE / Shiller P/E:** A P/E using 10-year average earnings to smooth out economic cycles. Developed by economist Robert Shiller. CAPE in 2013 was around 23–24 — elevated by historical standards.
- **Multiple Expansion:** When investors pay a higher P/E ratio than before, even if earnings don't change. Much of the 2009–2013 bull market was multiple expansion — stocks got more expensive relative to earnings as fear subsided.
- **TINA ("There Is No Alternative"):** With rates near zero, stocks looked attractive by comparison — this dynamic drove money into equities. The same logic drove money into private credit as yields fell everywhere.
- **Equity Risk Premium (ERP):** The extra return investors expect for owning stocks instead of risk-free Treasuries.

MEMORABLE QUOTES

"The future return on equities is determined by today's price. High prices today mean low returns tomorrow."

"When there is no alternative to risk, investors take risk — and take it excessively."

WHY IT MATTERS

The TINA dynamic of the QE era drove valuations higher across all asset classes — directly relevant to private credit: low rates pushed investors into direct lending, compressing yields and loosening standards.

AUGUST 5, 2013

The Role of Confidence

MARKET CONTEXT

On May 22, 2013, Fed Chairman Bernanke testified before Congress and suggested the Fed might begin "tapering" (reducing) its bond purchases if the economy continued to improve. This triggered the "Taper Tantrum" — a sharp global selloff in bonds, stocks, and especially emerging market assets. 10-year Treasury yields rose from 1.6% to over 3% in just a few months. Emerging market currencies fell sharply. Nothing had changed in fundamentals, yet markets convulsed based on what the Fed might do in the future.

KEY THESIS

Marks examined how confidence — rather than fundamental valuation — drives markets in the short to medium term. The taper tantrum was his case study: identical information caused very different market reactions depending on prevailing investor psychology.

KEY CONCEPTS EXPLAINED

- **Taper Tantrum:** The market turbulence in mid-2013 triggered by suggestions the Fed would begin reducing its QE purchases. Bond prices fell sharply, global stocks fell, and emerging markets were hit hardest. Demonstrated how dependent markets had become on central bank support.
- **Animal Spirits:** A term coined by economist John Maynard Keynes to describe the instinctive, emotional, irrational aspects of economic decision-making. When confidence is high, businesses invest; when low, they don't.
- **Emerging Markets (EM):** Developing economies — Brazil, India, China, Turkey, South Africa. They had benefited enormously from low U.S. rates (which pushed capital into higher-yielding EM assets). When U.S. rates rose even slightly, capital reversed course.
- **Self-Fulfilling Prophecy:** In markets, if enough investors believe prices will fall, they sell — and prices fall. Confidence (or its absence) creates the very reality investors expect.

MEMORABLE QUOTES

"Markets move not based on what is, but on what investors think will be — and even more, on the direction of change in what investors think will be."

"The key question is not whether the economy is good or bad, but whether it is getting better or worse than people expected."

WHY IT MATTERS

Understanding investor psychology — specifically, how sentiment amplifies and distorts fundamental information — is as important as understanding fundamentals themselves. Markets undershoot and overshoot in both directions.

NOVEMBER 26, 2013

The Race Is On

MARKET CONTEXT

Late 2013: U.S. economic growth accelerating, unemployment declining, markets booming. S&P 500 was up 25% for the year. The Fed confirmed in December 2013 that it would begin tapering QE in January 2014. Corporate credit markets were exceptionally strong. The "race" in the memo title referred to the competitive race among investors to find anything that still offered attractive returns in a world of QE-suppressed yields.

KEY THESIS

With rates near zero and risk premia compressed across all asset classes, investors were in a desperate race for return. This race — driven by institutional mandates, board expectations, and competitive pressures — was causing investors to accept risks they didn't fully understand. Marks examined why institutional investors behave pro-cyclically even when they know better.

KEY CONCEPTS EXPLAINED

- **Return Requirement:** The annual return an institution (pension fund, endowment, insurance company) needs to earn to meet its obligations. With rates near zero and expensive stocks, achieving 7–8% requires taking significant risk.
- **Agency Problem:** When the people managing money (agents) have incentives that differ from those of the people whose money they manage (principals). A fund manager might take excessive risk because career risk of "I lost money doing what everyone else was doing" is forgiven, but "I lost money being contrarian" is not.
- **Institutional Imperative:** Warren Buffett's concept that institutional managers tend to follow peers (even into poor investments) because deviating is career-risky.
- **Illiquidity Premium:** The extra return available from investing in assets that can't be easily sold. Private credit, private equity, real estate — because they're illiquid, they typically offer higher returns than publicly-traded equivalents.

MEMORABLE QUOTES

"The race for return forces investors to accept risk they wouldn't otherwise accept, and to buy assets they wouldn't otherwise buy at prices they wouldn't otherwise pay."

"Institutional investors are herded by the mandate to perform."

WHY IT MATTERS

Understanding why smart, sophisticated institutions systematically make bad investment timing decisions is essential for anyone allocating capital. The behavioral traps are real and structural — they're built into the incentive architecture of institutional investing.

JANUARY 16, 2014

Getting Lucky

MARKET CONTEXT

As 2014 began, the S&P 500 had just posted its best year since 1997 (+32.4%). The tapering of QE was underway. Janet Yellen replaced Ben Bernanke as Fed Chair. Emerging markets were under stress from rising U.S. rates and slowing Chinese growth. The fundamental question: how much of the strong returns of 2013 reflected genuine value vs. Fed-induced liquidity?

KEY THESIS

Marks examined the role of luck in investment success — a deeply uncomfortable topic for an industry that attributes everything to skill. He argued that separating luck from skill requires large sample sizes and careful analysis, and that many celebrated investment successes are largely luck. The corollary: humility is not just a virtue but an analytical necessity.

KEY CONCEPTS EXPLAINED

- **Process vs. Outcome:** The single most important framework in probabilistic thinking. A good process can lead to a bad outcome (if markets are irrational for longer than expected). A bad process can lead to a good outcome (if the luck runs). Evaluate process, not just outcome.
- **Survivorship Bias:** In a world where thousands of hedge funds exist, many will have excellent 5-year records purely by chance. Those that were lucky survive; those that were unlucky close. The survivors look skilled.
- **Probabilistic Thinking:** Making decisions based on probability distributions rather than single expected outcomes. If an investment has 80% chance of returning 10% and 20% chance of losing 30%, the expected value is positive — but the distribution matters enormously.
- **Hindsight Bias:** The tendency to believe past events were more predictable than they actually were. After the fact, "it was obvious the market would recover" — but at the time, it was not obvious at all.

MEMORABLE QUOTES

"It's not enough to win; you have to win for the right reasons. Otherwise, you won't know how to win again."

"The most dangerous investor is the one who has been right for the wrong reasons."

"Randomness is more powerful in investing than most people will ever admit."

WHY IT MATTERS

In an industry where everyone claims skill, acknowledging the role of luck is a critical corrective. For evaluating managers, institutions, and your own track record, this framework is invaluable.

APRIL 8, 2014

Dare to Be Great II

MARKET CONTEXT

Spring 2014: continued U.S. market strength but increasing global divergence. Russia had annexed Crimea in late February/early March 2014, creating geopolitical uncertainty. China was slowing. The Fed was methodically tapering QE. In credit markets, deal structures were becoming increasingly aggressive — the leveraged loan market was generating concern from regulators, who had issued "guidance" on leveraged lending in March 2013.

KEY THESIS

The sequel to Marks' "Dare to Be Great" (2006). Central argument: achieving superior investment results requires taking positions that differ significantly from consensus. You cannot be both "safe" (doing what everyone else does) and "great." The two are mutually exclusive. But daring to be different is psychologically very hard.

KEY CONCEPTS EXPLAINED

- **Active Share:** A measure of how different a portfolio's holdings are from its benchmark. High active share means the manager holds very different securities in different proportions than the index. You need high active share to have any chance of significantly beating your benchmark.
- **Consensual Validation:** The psychological comfort of doing what the crowd does. When we conform to consensus, we feel safe — "if I'm wrong, at least everyone else was wrong too."
- **The Career Risk Problem:** For professional investors, career risk (losing your job) dominates investment risk (losing client money). You can usually survive being wrong while doing what everyone else does. Being wrong while being different can end your career.
- **Non-Consensus View:** An investment thesis that most participants don't share. To generate superior returns, it must be (1) different from consensus AND (2) more correct than consensus.

MEMORABLE QUOTES

"Dare to be great requires willingness to dare to be wrong."

"You can't do the same things others do and expect to outperform. Superior results come from non-consensus bets that turn out to be correct."

"The problem is that being different is uncomfortable. Being different and wrong is unforgivable in this business."

WHY IT MATTERS

This memo articulates the most important paradox in investment management: the safest career path produces the worst long-run outcomes. Superior performance requires genuine intellectual independence — which is rare and hard to sustain under institutional pressure.

SEPTEMBER 3, 2014

Risk Revisited

MARKET CONTEXT

September 2014: the QE tapering was well underway, expected to end in October 2014. The U.S. economy was growing solidly — Q2 2014 GDP growth was 4.6%. In credit markets, more than 60% of new leveraged loans were covenant-lite. Regulators were warning about frothy conditions. Oil prices were beginning to fall (Brent would drop from \$115 to \$60 by December). Russia/Ukraine and Middle East tensions were elevated.

KEY THESIS

Marks' most comprehensive treatment of risk — what it really is, how it should be thought about, and how the conventional definition (volatility) is fundamentally wrong. He argued that real risk is the probability of permanent loss of capital, not short-term price fluctuation.

KEY CONCEPTS EXPLAINED

- **The Real Definition of Risk:** Risk is not volatility or standard deviation (as academic finance teaches). Real risk is the probability of losing money permanently — because you paid too much, the asset deteriorated, or you were forced to sell at the wrong time.
- **CAPM (Capital Asset Pricing Model):** A foundational academic theory linking expected return to market risk (beta). It assumes markets are efficient, investors are rational, and risk is fully captured by volatility. Marks respectfully rejects several of these assumptions.
- **Loss Aversion:** Behavioral finance finding by Kahneman and Tversky: losses feel roughly twice as painful as equivalent gains feel good. This asymmetry shapes investor behavior and creates systematic mispricings.
- **Permanent vs. Temporary Loss:** A price that falls 50% and then recovers is a temporary loss. A price that falls 50% and never recovers — because the underlying business failed — is permanent loss. Only permanent loss truly destroys wealth.
- **Risk Control vs. Risk Avoidance:** Avoiding all risk means earning the risk-free rate, which at the time was near zero. Controlling risk means taking on appropriate risks for adequate compensation while avoiding risks you don't fully understand.

MEMORABLE QUOTES

"The riskiest thing in the world is the belief that there is no risk."

"Risk means more things can happen than will happen."

"Volatility is not risk. Risk is the probability of losing money, adjusted for how much you'd lose."

WHY IT MATTERS

The redefinition of risk from "volatility" to "probability of permanent loss" is one of Marks' most important intellectual contributions. For private credit investors — where assets are illiquid and don't have daily prices — understanding true risk is absolutely foundational.

DECEMBER 18, 2014

The Lessons of Oil

MARKET CONTEXT

Oil prices collapsed in the second half of 2014 — one of the most dramatic commodity price moves in modern history. Brent crude fell from about \$115/barrel in June 2014 to under \$60/barrel by December 2014, a decline of nearly 50% in six months. Causes: surging U.S. shale oil production, slowing demand in China and Europe, and Saudi Arabia/OPEC refusing to cut production on November 27, 2014 — an implicit strategy to bankrupt high-cost producers.

KEY THESIS

Marks used the oil price crash as a case study in how commodity markets work, why they're so hard to predict, and what it teaches about investing more broadly. He examined supply/demand dynamics in oil, the role of OPEC, the impact of U.S. shale, and what the price collapse meant for energy bondholders.

KEY CONCEPTS EXPLAINED

- **Shale Oil / Fracking:** A technology (hydraulic fracturing) allowing oil to be extracted from dense rock formations. The U.S. shale revolution doubled U.S. oil production from ~5 million barrels/day in 2008 to nearly 9 million by 2014, tipping the global market into oversupply.
- **OPEC:** A cartel of major oil-producing countries (Saudi Arabia, UAE, Iraq, Iran, Kuwait, Venezuela, etc.) that historically coordinated production cuts to keep oil prices high. In November 2014, Saudi Arabia refused to cut, letting prices fall to force high-cost producers out.
- **Break-Even Price:** The minimum oil price at which a producer makes a profit. Saudi Arabia might break even at \$30/barrel; some U.S. shale producers needed \$60–70+. When price falls, high-cost producers lose money or go bankrupt.
- **Energy High-Yield Bonds:** Many smaller U.S. energy companies funded their capital-intensive drilling programs with high-yield bonds. When oil prices crashed, revenues collapsed but bond obligations remained — leading to widespread defaults in 2015–2016.
- **Commodity Price Cycles:** Like credit cycles, commodity markets go through boom-bust cycles driven by supply and demand imbalances that are very hard to predict in advance.

MEMORABLE QUOTES

"Oil prices fell by half in six months. The people who said they understood oil — who thought they could model supply and demand — were mostly wrong."

"The lesson of oil is the lesson of all commodities: supply and demand are both harder to predict than people think, and markets clear in unpredictable ways."

WHY IT MATTERS

The 2014 oil crash had significant ripple effects through credit markets — many energy companies that had borrowed heavily defaulted in 2015–2016. Understanding commodity-exposed sectors and concentration risk is critical for private credit investors.

MARCH 25, 2015

Liquidity

MARKET CONTEXT

By early 2015, a new concern was emerging: liquidity. The Fed had ended QE in October 2014. Regulatory changes under Dodd-Frank (particularly the Volcker Rule) had significantly reduced banks' capacity to act as market makers — dealers could no longer hold large inventories of bonds. Meanwhile, bond funds holding those same bonds had grown enormously. The mismatch between "illiquid" assets and "liquid" fund structures was becoming a systemic concern. Dealer inventories in corporate bonds had fallen from \$235 billion pre-crisis to under \$60 billion by 2015.

KEY THESIS

One of Marks' most technically important memos — a deep exploration of what "liquidity" actually means, how it behaves, why it tends to vanish precisely when most needed, and how the post-crisis regulatory environment had changed the liquidity landscape. Many investors were taking on illiquidity risk they didn't fully appreciate.

KEY CONCEPTS EXPLAINED

- **Liquidity (Two Meanings):** (1) An asset is liquid if it can be quickly converted to cash at close to its fair value. (2) Market liquidity refers to how easily large amounts of a security can be bought or sold without significantly moving the price.
- **Market Makers / Dealers:** Financial institutions that stand ready to buy and sell securities to facilitate trading. Pre-crisis, dealer inventories in corporate bonds were \$235 billion; by 2015, they'd fallen to under \$60 billion due to regulatory capital requirements.
- **Bid-Ask Spread:** The difference between the price a dealer will buy a security (bid) and the price at which they'll sell it (ask). Wider spreads = less liquid market = more expensive to trade.
- **Liquidity Mismatch:** When a fund offers daily or weekly liquidity to its investors but holds assets that cannot be sold quickly (corporate bonds, loans, private credit). If investors redeem, the fund must sell illiquid assets quickly, often at distressed prices.
- **Forced Selling:** When an investor must sell regardless of price — because of margin calls, fund redemptions, regulatory requirements, or financial distress. Creates the worst prices and deepest drawdowns.
- **Mark to Market vs. Mark to Model:** Liquid assets are valued at their current market price. Illiquid assets (private loans, real estate) are valued based on estimated future cash flows, not

an actual traded price. This means illiquid assets appear less volatile than they truly are — an illusion of safety.

- **Illiquidity Premium:** The extra return available from owning illiquid assets. Private credit, private equity, and real estate all offer illiquidity premia — compensation for the fact that you can't easily sell.

MEMORABLE QUOTES

"Liquidity is a coward — it disappears precisely when you need it most."

"The ability to buy when others are desperate to sell, and to sell when others are desperate to buy, is the greatest source of edge in investing."

"Investors routinely treat illiquidity as if it were free. It isn't."

WHY IT MATTERS

Liquidity risk is perhaps the most underrated and misunderstood risk in modern markets. For private credit investors — who are by definition investing in illiquid assets — understanding liquidity dynamics, how to price illiquidity, and what happens when liquidity evaporates is absolutely central to the job.

JUNE 8, 2015

Risk Revisited Again

MARKET CONTEXT

Mid-2015 brought a complex environment. Greece was again in crisis — a third bailout was being negotiated; in July 2015, Greek banks would close for weeks. Chinese stocks had crashed by 30% from their June peak in just weeks. The Fed was signaling its first rate hike since 2006 was coming (delivered December 2015). U.S. high-yield energy spreads were blowing out, and the high-yield market broadly was showing signs of stress.

KEY THESIS

In response to significant feedback from his September 2014 "Risk Revisited" memo, Marks wrote this sequel to clarify, expand, and deepen his analysis of risk. He introduced new nuances: the difference between risk management and risk avoidance, the concept of "second-order" thinking about risk, and the importance of knowing which risks to take.

KEY CONCEPTS EXPLAINED

- **First-Order vs. Second-Order Thinking:** First-order thinking asks "what will happen?" Second-order thinking asks "what will happen as a result of what happens?" and "what will other people do?" Great investors practice second-order thinking.
- **The Risk of Not Taking Enough Risk:** In a zero-rate environment, the greatest risk for many institutions is earning too little — failing to meet their return obligations because they were too conservative. Inaction has a cost.
- **Asymmetric Risk/Return:** The best investments have more upside than downside. Great investors consistently find situations where potential gains significantly exceed potential losses — and they are disciplined about price.
- **Defensive Investing:** Marks' preferred mode — prioritizing avoidance of big losses over maximizing gains. "If you can avoid losing money, the profits will take care of themselves."
- **Portfolio Construction:** How you combine individual investments matters as much as the individual investments themselves. Diversification, correlation, position sizing, and concentration all matter.

MEMORABLE QUOTES

"Risk control is the best route to superior long-term results. The goal is not to maximize return but to maximize return per unit of risk."

"The biggest mistake in risk management is thinking you can eliminate risk. You can't. You can only choose which risks to take."

"The secret to investing is that there is no secret. The hard part is executing a sensible process consistently through market cycles."

WHY IT MATTERS

Risk is not something to be minimized to zero — it's something to be calibrated, priced, and managed. The investor who understands this distinction has a profound edge over those who either avoid all risk or take risk blindly.

SEPTEMBER 9, 2015

It's Not Easy

MARKET CONTEXT

August 2015 was one of the most turbulent months in years. China officially devalued the yuan in early August, triggering fears of a global growth slowdown. The Shanghai Composite fell 40% from its June 2015 peak. Global markets sold off sharply — the S&P 500 fell nearly 10% in August. Oil prices fell below \$45/barrel. The Fed delayed its rate hike due to global instability. High-yield credit spreads widened sharply. "Risk-off" was back with a vengeance.

KEY THESIS

Marks argued that superior investing is genuinely, deeply hard — not because information is unavailable, but because everyone has the same information and the psychological ability to act on it correctly is rare. He examined what makes investing hard and what separates the best investors from the rest.

KEY CONCEPTS EXPLAINED

- **Information Edge:** In a world where every investor has instant access to the same news and data, having an information edge is nearly impossible. The only real edge is analytical — processing the same information better than others.
- **Behavioral Edge:** Many market mispricings arise not from lack of information but from behavioral errors — panic selling, herding, anchoring, loss aversion. An investor who is more psychologically disciplined can exploit these errors.
- **Mean Reversion:** The tendency of extreme values to return to average over time. High prices tend to mean-revert lower; low prices tend to mean-revert higher. This is the fundamental premise of value investing.
- **Patience as a Strategy:** One of the rarest and most valuable investor traits — the ability to wait for genuinely attractive prices rather than constantly transacting. Short-term performance pressure destroys patience.
- **China Devaluation:** China's August 2015 yuan devaluation was modest (~3%) but symbolic — signaling China was willing to let the currency weaken to support exports and growth, raising fears of currency wars and global deflationary pressures.

MEMORABLE QUOTES

"Investing is not a field where the diligent and the analytical will automatically outperform. It's a field where emotional discipline and intellectual honesty are the scarce

resources."

"Being right too early is indistinguishable from being wrong, at least in the short run."

WHY IT MATTERS

This memo is perhaps the best antidote to overconfidence in any investor. Acknowledging the genuine difficulty of what you're trying to do — and what it actually takes to do it well — is the beginning of wisdom.

OCTOBER 22, 2015

Inspiration from the World of Sports

MARKET CONTEXT

October 2015 saw markets stabilizing after the August turmoil. The S&P 500 had recovered from its August lows. The Fed was preparing to raise rates in December. The private credit market was continuing to grow as banks retreated from leveraged lending due to regulatory pressure. Oaktree had been navigating the high-yield energy stress carefully while continuing to build out its specialty lending (including direct lending) business.

KEY THESIS

Marks used lessons from elite sports — coaching philosophy, player development, team dynamics, competitive strategy — to illuminate parallel lessons in investing. Drawing on figures like John Wooden (UCLA basketball), he argued that excellence in any competitive field shares common traits: preparation, discipline, focus on process, and the ability to perform under pressure.

KEY CONCEPTS EXPLAINED

- **Process Over Outcome:** A coach doesn't just try to win the next game — he builds a system and culture that wins consistently. Great investment firms do the same. Focus must be on inputs (process, research, discipline), not just outputs (returns).
- **Deliberate Practice:** Psychologist Anders Ericsson's concept — expertise comes not from mere experience but from focused, intentional practice on weak areas. Investment equivalent: rigorously studying your mistakes, not just your successes.
- **Mental Toughness:** The ability to maintain composure and clear thinking under extreme pressure. In investing, the pressure comes at market crises, when fear is high and good analysis is hardest. The investors who stay rational when others panic create the greatest opportunities.
- **Talent vs. Character:** John Wooden recruited as much for character as for talent. Marks extends this: the most analytically brilliant investor who cannot handle losses, changes strategy under pressure, or takes excessive risks to recover, will ultimately fail.
- **Consistency:** Both in sports and investing, the hallmark of true excellence is not peak performance but consistent, repeated performance across all market conditions.

MEMORABLE QUOTES

"The best investors, like the best athletes, are defined not by how they perform when things go well, but by how they perform when things go badly."

"Consistency is the hallmark of true excellence. Anyone can be good occasionally. The hard part is being good persistently."

"The most important attribute of a great investor is not intelligence. It is emotional discipline."

WHY IT MATTERS

The athletic analogy makes investing psychology accessible and concrete. Both disciplines require performing under uncertainty, competing against skilled opponents, managing failure, and sustaining focus over long time horizons.

IV

Late Cycle, Trump & COVID

2016 – 2020

Markets grind higher into the longest US expansion on record. Marks grows increasingly cautious — spreads are tight, covenant protections minimal, valuations stretched. COVID arrives in March 2020, causing a historic crash. The Fed's response (unlimited QE, ZIRP) is equally historic, fuelling a rapid recovery. Eight memos in 2020 alone document the most dramatic market episode in decades.



JANUARY 12, 2016

On the Couch

MARKET CONTEXT

January 2016 opened with the worst ten-day start to a year in U.S. stock market history, driven by China's currency devaluation, a collapse in oil prices (Brent crude fell below \$30/barrel for the first time since 2004), and cascading fears about global growth. The S&P 500 fell roughly 10% in two weeks, triggering circuit breakers on Chinese equity markets and prompting panic-selling across asset classes. Credit spreads on high-yield bonds widened sharply, with the Bloomberg U.S. High Yield Index spread spiking above 800 basis points, signaling genuine stress in riskier debt markets.

KEY THESIS

Marks argues that understanding investor psychology is as important as understanding finance, accounting, or economics — perhaps more so at turning points. The key insight is that in the real world, conditions oscillate between "pretty good" and "not so hot," but in investing, perception swings violently from "flawless" to "hopeless," creating mispricings that disciplined investors can exploit. Daily price changes are overwhelmingly driven by shifts in psychology and who wants to own or un-own an asset, not by changes in underlying fundamentals, which barely move day-to-day. Investors who misread market psychology as fundamental truth — treating falling prices as evidence of worsening reality — will consistently buy high and sell low.

KEY CONCEPTS EXPLAINED

- **Market Psychology vs. Fundamentals:** The intrinsic value of a bond or loan changes slowly — a company's cash flows, debt coverage ratios, and asset values don't transform overnight. But the price investors are willing to pay swings dramatically based on fear and greed. In private credit, this matters because direct lenders must distinguish between a borrower whose fundamentals have genuinely deteriorated versus one whose public comparables have sold off due to sentiment. Marks is urging investors not to confuse price movement with value movement.
- **Investor Mood Swings (The Pendulum):** Marks describes markets as a pendulum that swings between euphoria and despair, rarely resting at the rational midpoint. In credit markets, this manifests as spreads compressing far below what default risk justifies in good times, then blowing out far beyond rational risk pricing in bad times. Understanding where the pendulum

sits tells you whether to be a buyer or seller of risk — a core skill for any credit portfolio manager.

- **Second-Level Thinking:** First-level thinking says "things look bad, I should sell." Second-level thinking asks "things look bad, but are they as bad as the price implies? And is everyone else already panicking, creating a buying opportunity?" Marks argues that investment success requires thinking differently from the crowd, which demands understanding what the crowd is thinking and why it might be wrong. For NAV financing or direct lending, this means being willing to deploy capital when peers are retrenching.
- **The Volatility-Risk Distinction:** Academic finance defines risk as volatility (standard deviation of returns). Marks rejects this. Real risk is the probability of permanent capital loss. A private credit loan that doesn't mark to market may show no volatility but carry real credit risk. Conversely, a publicly traded bond that falls 20% due to sentiment may be less risky than its price suggests. Understanding this distinction is foundational for any credit investor evaluating whether to hold or sell during periods of spread widening.
- **Cascading Selling and Liquidity Risk:** When sentiment sours, price declines trigger further selling — margin calls force liquidations, risk-limit breaches force portfolio managers to reduce, and fear begets fear. In 2016, structured credit vehicles (CLOs, CDOs) faced mark-to-market pressure that forced selling. For private credit managers, this dynamic creates buying opportunities in secondary markets but also highlights why maintaining dry powder during good times is essential.

MEMORABLE QUOTES

"In the real world, things fluctuate between 'pretty good' and 'not so hot.' But in the world of investing, perception often swings from 'flawless' to 'hopeless.'"

"The market is a voting machine in the short run and a weighing machine in the long run. Most investors act as if it's always a weighing machine — they're wrong about the short run."

WHY IT MATTERS

This memo establishes the psychological foundation for everything Marks teaches about cycles — and for credit investors, understanding that spread movements often reflect sentiment more than credit quality is the difference between panic-selling at the worst moment and deploying capital opportunistically. It directly applies to private credit, where the absence of daily mark-to-market can actually be an advantage if the manager has the discipline not to be influenced by public market noise.

JANUARY 26, 2016

What Does the Market Know?

MARKET CONTEXT

Written as a follow-up during the same January 2016 market rout, Marks addresses the widespread assumption that falling prices reflect deep market wisdom — that "the market knows something we don't." Oil had fallen from \$100/barrel to below \$30, high-yield energy bonds were in freefall, and investors were genuinely uncertain whether China's slowdown would export a global recession. The CBOE VIX index spiked above 25, indicating elevated fear, and professional investors were debating whether to trust the market's apparent signal of impending doom.

KEY THESIS

Marks challenges the notion that market prices always reflect superior collective intelligence. The market is made by its most volatile participants — those willing to buy at large premiums when optimistic and sell at large discounts when fearful — not by the average, rational investor. Because it takes relatively few panicked sellers to drive prices sharply lower, a declining market may signal nothing more than heightened fear among a minority of participants. Therefore, investors should analyze fundamentals independently rather than treating price moves as oracular signals about future economic reality.

KEY CONCEPTS EXPLAINED

- **Price Discovery vs. Price Setting:** In liquid public markets, prices are "discovered" through continuous trading. But in private credit markets — direct loans, NAV financing, trade finance facilities — there is no daily price discovery. Marks' point here is critical: even liquid market prices can be set by a fearful minority, not rational consensus. Private credit managers who mark portfolios to model rather than market may actually produce more accurate valuations during panics.
- **Marginal Buyer/Seller Dynamics:** Prices are set at the margin — by the last buyer and seller to transact, not by all holders. In a bond selloff, if 5% of holders become forced sellers (due to margin calls, redemptions, or risk limits), prices can fall dramatically even though 95% of holders believe the bonds are worth more. This dynamic explains why high-yield spreads can overshoot fair value in crises, creating opportunities for patient private credit investors with committed capital (no redemption risk).
- **Information vs. Wisdom:** Having the same data as everyone else does not generate alpha. The market collectively processes public information rapidly; beating it requires either (a)

superior private information (legal, as in deep fundamental research) or (b) superior interpretation of the same public data. For credit investors, this means building proprietary views on borrower quality, covenant strength, and collateral value rather than following market pricing.

- **Efficient Market Hypothesis (EMH) Critique:** The EMH holds that market prices reflect all available information, making it impossible to consistently outperform. Marks argues the market is "efficient" in normal times but becomes wildly inefficient when fear or greed dominates. Credit markets are less efficient than equities because they are less liquid, less widely followed, and often trade OTC (over-the-counter), creating persistent mispricings that active managers can exploit.

MEMORABLE QUOTES

"It takes relatively few people to drive prices up to bubble levels or down to crash levels. The fact that most investors remain passive doesn't mean prices are set by their collective wisdom."

"Many investors impute intelligence to the market during downdrafts, thinking 'the market must know something.' This is one of the biggest mistakes an investor can make."

WHY IT MATTERS

For a credit risk manager, this memo is a direct argument for independent fundamental analysis over market-implied pricing during stress periods — exactly what distinguishes good private credit managers from those who capitulate at the bottom. It also explains why mark-to-market accounting during crises can distort true economic values in NAV facilities and structured credit portfolios.

MAY 26, 2016

Economic Reality

MARKET CONTEXT

By mid-2016, markets had recovered from the January panic, but a new wave of political-economic anxiety was building: Brexit was scheduled for June 23, the U.S. presidential race was heating up between Hillary Clinton and Donald Trump, and trade populism was emerging as a dominant political force globally. Central banks — the Fed, ECB, Bank of Japan — were experimenting with unconventional policy: the Fed had hiked rates once (December 2015) and was debating further moves, while the ECB had pushed rates negative and was buying corporate bonds. Marks saw politicians making economic promises that defied the constraints of economic reality.

KEY THESIS

Economics establishes inviolable rules that constrain what politicians can promise and what policies can actually deliver — yet political discourse increasingly ignores these constraints. Marks argues that economics is fundamentally the study of trade-offs: every gain in one area requires sacrifice in another, and there are no free lunches. Policies like broad tariffs, unlimited stimulus, or debt forgiveness sound appealing but carry hidden costs that must eventually be paid. For investors, understanding these economic realities is essential for evaluating which political promises will be kept versus which will collide with mathematical inevitability.

KEY CONCEPTS EXPLAINED

- **Trade-offs and Opportunity Cost:** Every economic decision involves giving something up. Imposing tariffs to protect manufacturing jobs raises prices for consumers and risks retaliation by trading partners. For credit investors, this framework applies to structuring decisions: covenant protection for lenders restricts borrower flexibility, and loosening covenants to win a deal means accepting more credit risk. There are no covenant-lite loans without consequences — just different parties bearing the cost.
- **Comparative Advantage and Trade:** Ricardo's principle holds that even if one country (or borrower) is better at everything, both parties gain from specialization and trade. Marks uses this to push back against protectionist rhetoric. In credit markets, the analogy is portfolio diversification — a lender who specializes in one sector may be "better" at it, but spreading risk across sectors improves risk-adjusted returns for the portfolio as a whole.
- **Fiscal Deficit Dynamics:** A government that spends more than it taxes must borrow the difference, adding to the national debt. Persistent deficits raise the debt-to-GDP ratio,

eventually crowding out private investment as government debt supply absorbs available capital. For credit markets, sovereign borrowing affects the "risk-free rate" — the baseline yield on government bonds against which all credit spreads are measured. Rising government deficits can push up the risk-free rate, repricing all debt instruments.

- **Inflation as a Hidden Tax:** Printing money to fund spending debases currency purchasing power — a phenomenon economists call the "inflation tax." For floating-rate credit instruments (like most direct loans, RCFs, and NAV facilities priced at LIBOR/SOFR + spread), inflation matters through its impact on central bank policy rates, which directly determine borrowing costs for private credit borrowers.
- **The Rule of Law and Contract Enforcement:** Marks emphasizes that economic prosperity depends on reliable property rights and contract enforcement. In private credit, this is existential: the entire business model of direct lending rests on the legal enforceability of loan agreements, security interests in collateral, and covenant packages. Jurisdictions with weak rule of law impose a risk premium on lending that must be reflected in pricing.

MEMORABLE QUOTES

"Economics is the study of choice. Because choices range over every imaginable aspect of human experience, so does economics. It provides the rules of the game and the boundaries of the playing field."

"The macro future is largely unknowable. Investors are better off accepting this reality and focusing on what they can know — the quality of individual investments."

WHY IT MATTERS

Understanding economic constraints helps credit investors identify which borrowers are operating sustainably within economic reality and which are dependent on political promises that will eventually prove hollow — a particularly relevant lens for evaluating government-supported sectors, export-finance borrowers in Trade Finance, and venture-backed companies operating in regulated industries.

AUGUST 1, 2016

Political Reality

MARKET CONTEXT

The United Kingdom voted 52%-48% to leave the European Union on June 23, 2016 — a result that shocked financial markets: the pound fell 10% overnight, its sharpest decline since the 1970s, and global equities dropped sharply before recovering. Meanwhile, the U.S. presidential election was intensifying, with Donald Trump running on an explicitly anti-globalization, anti-trade platform while Hillary Clinton struggled with her own populist challenge from Bernie Sanders. FiveThirtyEight gave Clinton an 8-to-1 probability of winning in August, but political uncertainty had become a permanent market backdrop. Populism was simultaneously rising in France (National Front), the Netherlands, and Italy.

KEY THESIS

Political reality operates in a different dimension from economic reality: politicians can promise anything without facing immediate consequences, trade-offs can be ignored, and resentment-driven narratives can gain electoral traction even when they contradict economic logic. Marks identifies populism — defined as a philosophy that champions the common person against the privileged elite — as the defining political force of the era, fueled by genuine economic grievances from globalization's losers but channeled into policies that may worsen the underlying conditions. For investors, political uncertainty is a genuine risk that must be priced, particularly in jurisdictions where rule-of-law and property rights may be challenged.

KEY CONCEPTS EXPLAINED

- **Populism and Its Market Effects:** Populist governments often pursue policies that are economically costly but politically popular: tariffs, capital controls, nationalization, debt restructuring or even repudiation, and currency manipulation. For credit investors with cross-border exposure — particularly Trade Finance, where payment flows cross jurisdictions — sovereign political risk can translate directly into default risk. Credit insurance, export credit agency guarantees, and political risk insurance are tools to mitigate this.
- **Brexit and Contractual Uncertainty:** Brexit created massive legal uncertainty about contract law, regulatory frameworks, and the enforceability of financial agreements across EU/UK borders. For credit markets, it raised questions about the governing law of loan agreements, the enforceability of English-law security in EU jurisdictions, and the legal status of London as a financial center. These concerns drove a surge in Irish and Luxembourg-domiciled structures — directly relevant to private credit fund domiciliation.

- **Political Risk Premium in Spreads:** When political uncertainty rises, credit spreads widen — not because underlying business fundamentals changed but because investors require a higher return for holding risk in an unpredictable environment. After Brexit, UK asset prices fell sharply before recovering as investors reassessed. This is a key insight for private credit: political risk must be factored into loan pricing, especially for borrowers in politically volatile sectors or geographies.
- **Globalization's Discontents:** The 2016 populist wave reflected genuine economic disruption — manufacturing job losses from automation and offshoring, stagnant median wages despite GDP growth, and a perception that elites benefited while workers suffered. Marks takes this seriously as a structural force, not a passing fad. For credit risk assessment, it means evaluating whether a borrower's business model depends on globalized supply chains or trade patterns that may face political disruption.

MEMORABLE QUOTES

"In the world of politics, economic reality often seems not to impinge. No trade-offs need be made: candidates can promise it all. And there are no consequences — at least not immediately."

"Populism plays on resentment. It has been on the rise in Europe, generally associated with the political right, characterized by resentment toward economic, liberal, and urban elites."

WHY IT MATTERS

The 2016 populist wave was the opening act of a decade-long restructuring of the global political economy that would affect trade flows, supply chains, interest rates, and regulatory frameworks — all critical inputs for credit risk. Understanding that political promises routinely exceed economic delivery helps credit analysts build more conservative macro assumptions into their models.

FEBRUARY 13, 2017

Expert Opinion

MARKET CONTEXT

Donald Trump had been inaugurated on January 20, 2017, triggering the "Trump Trade" — equities rallied sharply on expectations of tax cuts, deregulation, and infrastructure spending, with the Dow Jones Industrial Average crossing 20,000 for the first time. Credit spreads tightened further as optimism about U.S. growth spread. But expert consensus was severely damaged: virtually every economist, pollster, and commentator had predicted a Clinton victory, and the failure of expert forecasting was a prominent post-election theme. Marks saw an opportunity to revisit the epistemology of market forecasting.

KEY THESIS

There are no facts about the future — only opinions. Anyone who claims to know what will happen in the macro environment with conviction is overstating their foresight, whether from ignorance, hubris, or the commercial incentive to appear authoritative. Marks distinguishes between "important and knowable" (where research effort pays off), "important but not knowable" (macro forecasts, where effort is largely wasted), and "not important" (irrelevant data). The discipline is investing effort in the first category and maintaining humility about the second, rather than generating false precision through elaborate forecasts that feel scientific but are not.

KEY CONCEPTS EXPLAINED

- **The Knowable vs. Unknowable Matrix:** Marks presents a 2x2 framework: things that are important AND knowable (company fundamentals, covenant analysis, collateral values) deserve rigorous analysis. Things that are important but NOT knowable (future interest rates, GDP growth, election outcomes) should be acknowledged as uncertain rather than forecasted with false precision. For credit risk management, this means spending analytical time on bottom-up credit analysis rather than top-down macro forecasting.
- **Forecaster Incentives:** Professional forecasters — economists, strategists, and analysts — face asymmetric incentives: bold, specific forecasts attract attention and press coverage; hedged, uncertain statements do not. This creates a systematic bias toward overconfident predictions. Marks urges investors to discount precise macro forecasts precisely because the forecasters' incentives push them toward false precision. The lesson for credit committees: demand more than a single base-case scenario.
- **Scenario Analysis over Point Forecasts:** Rather than predicting a single outcome ("rates will be X% in 12 months"), sophisticated investors think in distributions: "there is a 40% chance

rates rise, 40% chance they're flat, 20% chance they fall." This approach, combined with stress testing credit portfolios against each scenario, is far more intellectually honest and risk-aware than point forecasting. This is directly applicable to RCF risk management — drawdown scenarios should reflect a range of outcomes.

- **Macro Uncertainty and Private Credit:** Direct lending benefits from the fact that loans are floating rate — as interest rates rise, coupon income rises automatically. This provides a natural hedge against inflation uncertainty. However, rising rates also increase debt service burden for borrowers, increasing default risk. Understanding this dual effect — higher income but higher default risk in a rising-rate environment — is central to private credit underwriting and requires thinking probabilistically, not deterministically.

MEMORABLE QUOTES

"There are no facts about the future, just opinions. Anyone who asserts with conviction what he thinks will happen in the macro future is overstating his foresight, whether out of ignorance, hubris, or dishonesty."

"The more we know, the more we know what we don't know. It's the people who are certain of their opinions about the future who worry me most."

WHY IT MATTERS

This memo directly challenges the risk management practice of relying on point forecasts for stress testing, making it essential reading for anyone building models for credit portfolios. The discipline of distinguishing what is knowable from what is not prevents the false confidence that led many lenders to be unprepared for the COVID shock in 2020.

APRIL 18, 2017

Lines in the Sand

MARKET CONTEXT

By spring 2017, the private equity and private credit industries were booming: fundraising was at record levels, LBO leverage multiples were rising, and competition for deals was intense. Within this environment, subscription credit facilities (also called capital call facilities or fund finance lines) had become ubiquitous across private equity, real estate, and private credit funds. These were short-term bank loans extended to funds secured by limited partner (LP) capital commitments, allowing managers to make investments without immediately calling LP capital. Marks had received extensive client feedback on his year-end 2016 letter mentioning this topic and decided to address it directly.

KEY THESIS

Subscription credit lines are a financial innovation that can artificially inflate reported IRRs (Internal Rate of Returns) without creating any real economic value, and may be adding risk at multiple levels that LPs and GPs are not fully accounting for. By delaying capital calls, funds show higher IRRs because the investment period (over which returns are measured) is compressed — but the actual money-weighted return to LPs may be unchanged or even lower when the cost of the facility is considered. Marks argues that no single performance metric tells the whole story, and that LPs should demand transparency into how subscription lines affect reported performance.

KEY CONCEPTS EXPLAINED

- **Subscription Credit Facilities (Capital Call Lines):** These are revolving credit facilities extended by banks (this is literally RCF — Revolving Credit Facility) to private equity, private credit, or real estate funds. The security is the fund's right to call capital from its LPs. When a fund wants to make an investment, instead of calling capital from LPs immediately (which takes days and creates administrative burden), it draws on the subscription line and repays it when LP capital is eventually called. The facility is secured by LP commitments, which are treated as extremely high-quality collateral since institutional LPs almost never default on capital calls.
- **IRR Inflation Mechanics:** IRR (Internal Rate of Return) measures the annualized return on invested capital, weighted by timing. If a fund buys an asset at \$100 in Month 1 and sells at \$150 in Month 12, the IRR is approximately 50%. Now, if instead of calling LP capital in Month 1, the fund borrows via subscription line and calls LP capital in Month 6, the LPs only had their

money at work for 6 months to earn the same \$50 gain. The IRR reported to LPs would be roughly 100% — double — even though the actual economic outcome is identical. The subscription line compressed the measurement period.

- **True Economic Return vs. Reported IRR:** Marks argues for looking at money-on-money multiples (MOIC — Multiple on Invested Capital) alongside IRR, since MOIC captures total value created regardless of timing. A 2.0x MOIC means the fund returned twice the invested capital; this doesn't change whether a subscription line was used or not. For RCF risk management at a bank, this is important: the bank earns a spread on the facility, the fund earns a higher reported IRR, but the underlying asset return is unchanged — value is not being created, just timing is being manipulated.
- **Leverage Risk at the Fund Level:** Using subscription lines means funds are levered at the fund level (in addition to any portfolio company leverage). If LP capital calls cannot be made (e.g., LP insolvency or legal disputes), the bank holding the subscription line faces a draw risk. Marks flags this as adding systemic risk that isn't visible in standard leverage metrics. For NAV financing lenders, this matters because NAV loans are often stacked on top of fund-level subscription lines, creating multiple layers of leverage against the same underlying assets.
- **Fee on Drawn vs. Undrawn:** RCFs typically charge a commitment fee on undrawn amounts (say, 0.50% per annum) and a drawn margin on drawn amounts (say, SOFR + 1.50%). For fund finance subscription lines, the cost is usually very low (given the quality of LP collateral), but it is real. Including these costs in the performance calculation may meaningfully reduce the net benefit to LPs — a transparency point Marks insists on.

MEMORABLE QUOTES

"Subscription lines may be adding to risk at a variety of levels. The use of leverage — even cheap, short-term leverage secured by LP commitments — is not without risk."

"No single performance metric tells the whole story. Investors who focus only on IRR without understanding how it is calculated may be misled."

WHY IT MATTERS

This is one of the most practically relevant memos for someone working in private credit and fund finance: it explains exactly how subscription credit facilities (RCFs to private funds) work, their impact on reported performance, and the risks they introduce — making it essential background for understanding NAV financing and the broader fund finance market.

JULY 26, 2017

There They Go Again... Again

MARKET CONTEXT

By mid-2017, synchronized global growth had arrived — the eurozone, U.S., China, Japan, and emerging markets were all expanding simultaneously for the first time since the pre-crisis era. The S&P 500 was up 11% year-to-date with almost no volatility (the VIX spent much of the year below 12). Credit markets were equally exuberant: high-yield spreads had compressed to 350 basis points — near historical tights — and covenant-lite loan issuance was at all-time records. Leveraged buyout (LBO) multiples were pushing above 11x EBITDA, and private credit was competing aggressively with leveraged loan markets, driving terms to their most borrower-friendly levels since before the 2008 crisis. Bitcoin had tripled in value in the first half of the year. This memo generated more response than any Marks had written in 28 years of memo-writing.

KEY THESIS

Many of the classic ingredients for a market bubble were clearly present in 2017: stretched valuations across nearly every asset class, aggressive deal structures, widespread dismissal of risk, "fear of missing out" driving investors into overpriced assets, and the revival of the most dangerous phrase in finance — "this time it's different." Marks is not calling the top (he explicitly says he never says "get out" or "it's time"), but he is raising a yellow flag: the risk/return tradeoff in most markets has shifted unfavorably, and caution is warranted. The specific warning for credit markets is the return of "covenant erosion" — the progressive weakening of lender protections that always precedes credit crises.

KEY CONCEPTS EXPLAINED

- **Covenant-Lite Loans:** Traditional leveraged loans included maintenance covenants — quarterly tests requiring the borrower to maintain certain financial ratios (e.g., Net Debt / EBITDA must stay below 5.0x; Interest Coverage Ratio must stay above 2.0x). If violated, covenants trigger an "event of default," giving lenders the right to accelerate the loan and demand immediate repayment — a powerful early-warning mechanism forcing borrower and lender to renegotiate before problems worsen. Covenant-lite loans strip out these tests, leaving lenders with far less visibility into deteriorating credit quality and fewer options to intervene. By 2017, over 75% of new leveraged loan issuance in the U.S. was covenant-lite. Private credit direct lenders often compete by offering covenant-lite terms — undercutting banks on lender protections to win mandates.

- **PIK (Payment In Kind) Loans:** Standard loans require cash interest payments. PIK loans allow borrowers to "pay" interest by adding it to the principal balance rather than paying cash. This is deeply dangerous: the borrower's debt grows every period, cash interest coverage deteriorates, and lenders receive no cash income — only a paper claim that grows. PIK loans are common in venture debt (where early-stage companies may lack cash for interest) and in highly levered LBOs where cash flow is thin. Their widespread use signals that borrowers cannot afford their debt service — a classic late-cycle indicator.
- **EBITDA Adjustments ("Add-backs"):** EBITDA (Earnings Before Interest, Taxes, Depreciation and Amortization) is the standard measure of a company's cash-generating ability used to size debt (e.g., "5x EBITDA"). In late cycles, borrowers and their sponsors aggressively "adjust" EBITDA by adding back costs they claim are "one-time" or "non-recurring" — restructuring charges, stock-based compensation, synergies not yet achieved, cost savings not yet realized. By 2017, "adjusted EBITDA" was often 20-50% higher than actual EBITDA, meaning true leverage was far higher than headline numbers suggested. This is a critical risk for private credit due diligence.
- **Fear of Missing Out (FOMO) in Credit:** When spreads are tight and deals are oversubscribed, credit investors face pressure to accept worse terms rather than miss deals. A fund that is too selective may underperform peers in the short run as the market rallies, creating career risk for the investment manager. This dynamic systematically drives markets toward excess — every lender individually rational, collectively irrational. Marks identifies this as a structural force that makes credit cycles inevitable.
- **The Cycle of Forgetting:** Each generation of market participants must learn the lessons of credit cycles through painful experience. By 2017, it had been nine years since the 2008 crisis, and many junior credit professionals had never experienced a real credit downturn. This "institutional forgetting" leads to the progressive relaxation of underwriting standards that marks every credit boom.

MEMORABLE QUOTES

"Most people can't think of what might cause trouble anytime soon. But it's precisely when people can't see what could make things turn down that risk is highest, since they tend not to price in risks they can't see."

"The seven words I dread most in investing: 'Everyone knows there's lots of risk.' No — the real danger is when everyone thinks there isn't any."

WHY IT MATTERS

This is arguably the most important memo for a private credit professional to read from this era: it contains the clearest warning about covenant erosion, PIK loans, and EBITDA manipulation that would characterize the 2017-2019 credit cycle, lessons that became viscerally real during COVID when covenant-lite borrowers could defer defaults for much longer — creating zombie companies — before eventually restructuring.

SEPTEMBER 7, 2017

Yet Again?

MARKET CONTEXT

"There They Go Again...Again" had generated an unprecedented volume of reader responses, with many interpreting it as a call to exit markets entirely. Marks felt the memo had been misread as more bearish than intended. Meanwhile, markets had continued their relentless rise: the S&P 500 was up 14% by early September, Bitcoin had broken \$4,000, and credit spreads remained near historic tights. Hurricane Harvey had just devastated Houston, and geopolitical tensions with North Korea were escalating — yet markets seemed impervious to all negative news, another classic late-cycle signal.

KEY THESIS

Marks clarifies that his July memo was not a call to "get out" of markets — he never makes such calls, because he doesn't believe anyone can time markets reliably. Instead, his point is about risk calibration: in a fully-priced market with eroding credit standards and compressed spreads, the appropriate response is to tilt portfolios toward quality, shorten duration where possible, demand better covenant protections, and hold more dry powder — not to exit entirely. The distinction between "being positioned defensively" and "predicting the top" is crucial, and this memo articulates it clearly.

KEY CONCEPTS EXPLAINED

- **Agnosticism About Timing:** No one can reliably call market tops or bottoms. The person who correctly calls a top may be right for the wrong reasons, may be early by months or years (during which they underperform), and may fail to call the next top. Marks' approach is not timing-based but positioning-based: when markets are rich, hold higher-quality assets, accept lower returns, and be patient. For credit portfolio managers, this translates to: in late cycles, favor senior secured over mezzanine, investment-grade over high-yield, and shorter-duration over longer.
- **The Asymmetry of Caution:** Being cautious too early is survivable — you miss some upside but preserve capital. Being reckless costs you principal permanently. This asymmetry argues for erring on the side of caution in late cycles. For a bank's RCF book or a direct lending portfolio, this means tightening underwriting standards, reducing advance rates, and demanding better covenant packages even at the cost of losing some deals to less cautious competitors.

- **Risk-Adjusted Returns vs. Absolute Returns:** A loan yielding SOFR + 600bps in a benign credit environment looks attractive in absolute terms. But if the covenant package is weak, the leverage is high, and the borrower is in a cyclical industry, the risk-adjusted return may be poor. Marks insists that investors focus on what they are being paid per unit of risk, not just what they are being paid. The tightening of spreads in 2017 meant investors were accepting more risk for less compensation — a deteriorating risk/return trade-off.
- **Dry Powder and Optionality:** Holding uninvested capital (dry powder) has an option value: it allows the investor to deploy at better prices when markets dislocate. But maintaining dry powder in a rising market creates short-term underperformance pressure. Marks is explicit: the right time to build dry powder is when markets are expensive, even though this feels uncomfortable. For private credit managers, this means running subscription facilities with capacity, not deploying 100% of commitments at cycle peaks.

MEMORABLE QUOTES

"There are two things I would never say: 'get out' and 'it's time.' The world is too uncertain for those assertions. What I do say is: position yourself appropriately for the level of risk in the market."

"Caution is not the same as pessimism. I can be cautious about markets while still finding individual investments worth making."

WHY IT MATTERS

This memo teaches the critical distinction between market timing (unknowable) and risk positioning (manageable), which is the foundation of credit risk management — you can't know when the cycle turns, but you can ensure your portfolio is constructed to survive it through covenant protections, conservative leverage, and diversification.

JANUARY 4, 2018

Latest Thinking

MARKET CONTEXT

The Tax Cuts and Jobs Act of 2017 had been signed into law on December 22, 2017, cutting the U.S. corporate tax rate from 35% to 21% — the largest corporate tax cut in U.S. history. Markets celebrated: the S&P 500 had returned 21.8% in 2017, its best year since 2013, with almost zero volatility. Credit markets were even more exuberant: U.S. high-yield spreads ended 2017 at 340 basis points, among the tightest levels ever recorded, and leveraged loan issuance had set annual records. Most valuation metrics — Shiller CAPE ratio, market cap to GDP ("Buffett Indicator"), price-to-sales — were at or near all-time highs.

KEY THESIS

Marks presents the most comprehensive late-cycle investment framework of this era: almost every valuation metric is at historical extremes, prospective returns across asset classes are near historical lows, and yet most investors remain fully invested because fear of missing out (FOMO) is dominant. The Tax Cuts and Jobs Act provides near-term earnings support but increases long-term fiscal deficits. Marks' conclusion is explicit: "I would be on the defensive or cautious part of the spectrum" in portfolio construction — not bearish, not exiting, but tilting toward quality and accepting lower yields in exchange for better protection.

KEY CONCEPTS EXPLAINED

- **Valuation Metrics for Equity Markets:** The Shiller CAPE (Cyclically Adjusted Price/Earnings ratio) divides current market price by 10-year average earnings to smooth cycle effects. In January 2018 it stood above 32, a level only exceeded during the 1999-2000 dot-com bubble. The "Buffett Indicator" (total stock market cap divided by GDP) was near 140% — Buffett had previously called it the best single measure of whether stocks are overvalued. For credit investors, expensive equity markets matter because they signal high leverage multiples in LBOs (which create leveraged loans and private credit opportunities) and over-optimistic exit assumptions in private equity.
- **The VIX and Volatility Suppression:** The CBOE VIX Index, measuring expected S&P 500 volatility over the next 30 days, spent much of 2017 below 10 — a historic low. Low VIX signals complacency. Marks notes that periods of suppressed volatility tend to precede sharp volatility spikes, as the "volatility-selling" strategies that profit from low VIX accumulate massive short-volatility positions that unwind explosively. (This foreshadowed "Volmageddon" in February 2018, just weeks after this memo.)

- **Bond Yield at Historical Lows:** The 10-year U.S. Treasury yield was around 2.5% in early 2018 — low by historical standards but rising. For credit markets, the "credit spread" (the additional yield investors earn for taking credit risk) is only part of the total return picture; the base rate (Treasury yield) matters too. When base rates are low, even tight credit spreads can generate acceptable nominal returns, but the total return is highly sensitive to rate increases. Rising rates hurt bond prices, compressing the capital value of fixed-rate credit portfolios.
- **Tax Reform Impact on Corporate Borrowers:** Cutting the corporate tax rate reduced the "tax shield" value of debt: interest expense deductions are worth less at 21% than at 35%. This meant the after-tax cost of debt rose slightly for U.S. corporate borrowers, all else equal. Additionally, the 2017 tax reform introduced a limitation on interest deductibility to 30% of EBITDA — directly relevant to highly leveraged private credit borrowers who had previously benefited from unlimited interest deductibility.
- **Fiscal Sustainability and Crowding Out:** The tax cuts were estimated to add \$1-2 trillion to the national debt over 10 years. Marks worried that as U.S. deficits widen, Treasury supply would increase, potentially pushing up risk-free rates and crowding out private investment. For the private credit market, rising government borrowing costs set a higher floor for all credit pricing.

MEMORABLE QUOTES

"Most valuation parameters are either the richest ever or among the highest in history. Prospective returns in the vast majority of asset classes are some of the lowest ever. I would be on the defensive or cautious part of the spectrum."

"The question isn't whether things are good. They are. The question is whether they're priced as if they're as good as they're going to get — and the answer is yes."

WHY IT MATTERS

Written just weeks before the February 2018 "Volmageddon" event (when volatility-selling strategies imploded and the S&P 500 fell 10% in two weeks), this memo provides the analytical framework for identifying late-cycle conditions and the appropriate portfolio response — essential reading for anyone managing credit portfolios through a full market cycle.

JUNE 18, 2018

Investing Without People

MARKET CONTEXT

By mid-2018, the rise of passive investing and quantitative (algorithmic) trading was reshaping financial markets. ETFs (Exchange-Traded Funds) had grown to over \$5 trillion in assets globally, with passive funds consistently outperforming the majority of active managers over 10-year periods. Quant funds using algorithms and machine learning were attracting capital away from traditional discretionary investors. In private credit, the parallel trend was the growth of direct lending platforms using data-driven underwriting (fintech lenders, automated credit scoring). Marks felt this trend deserved deep engagement rather than dismissal.

KEY THESIS

Passive investing and algorithmic trading work brilliantly in efficient, data-rich, and stationary environments — but create their own systemic risks and opportunities. The wisdom of passive investing depends paradoxically on active investors existing to keep prices roughly correct; if everyone indexes, no one is doing price discovery and markets become unmoored from fundamentals. Computers excel at quantitative, objective, historical-pattern-recognition tasks but struggle with the qualitative judgment, novel-situation reasoning, and behavioral insight that the best active investors deploy. In private credit — a relationship-driven, bespoke, information-asymmetric market — human judgment is not easily replaceable.

KEY CONCEPTS EXPLAINED

- **Passive Investing and the Indexing Paradox:** An index fund simply buys all constituents of an index in proportion to their market cap, performing no security selection. This is cheap and efficient when active managers are doing the price-discovery work. But if everyone indexes, no one analyzes individual securities, prices drift from fundamentals, and opportunities for active managers explode. Marks sees passive investing as self-limiting: the more popular it becomes, the more it undermines its own efficiency case. For private credit, which is inherently active (bespoke loans to non-public borrowers), this is less relevant — but the analogy holds for public credit markets.
- **Factor Investing (Smart Beta):** Between pure passive (buy everything) and pure active (pick individual winners) lies "factor investing" — systematically overweighting securities with attributes shown to predict outperformance (value, momentum, quality, low volatility). These factors are well-documented in academic research. Marks is skeptical: once a factor is widely known and traded, it may be arbitrated away (the "factor crowding" problem). For credit, the

analogous concern is that well-known credit alpha sources (buying fallen angels, for instance) get crowded and disappear.

- **Machine Learning in Credit:** ML algorithms excel at identifying patterns in large historical datasets — predicting default from hundreds of borrower characteristics simultaneously, for example. Fintechs like Kabbage, OnDeck, and Lending Club used ML for small business credit scoring. The limitation: ML models are trained on historical data and may fail catastrophically in genuinely novel situations (like COVID) that have no historical precedent. This is the "regime change" problem in quant models — a critical risk for any algorithmic credit underwriting approach.
- **Qualitative Judgment in Credit:** The best credit analysis involves assessing management quality, competitive dynamics, industry disruption risk, and covenant negotiation — tasks requiring judgment, creativity, and experience that are not easily codified. Direct lending in particular depends on relationship intelligence (knowing a management team over multiple cycles), bespoke structuring, and covenant negotiation that are fundamentally human activities. Marks concludes: "The route to superior performance lies with humans with superior insight."

MEMORABLE QUOTES

"The wisdom of investing passively depends, ironically, on some people investing actively. When active investing is dismissed totally and all active efforts cease, passive investing will become imprudent."

"Computers can deal brilliantly with quantitative and objective things. But many other things — qualitative, subjective things — count for a great deal, and I doubt computers can do what the very best investors do."

WHY IT MATTERS

As private credit grows and fintech lenders use data-driven underwriting to compete with traditional direct lenders, this memo provides the intellectual foundation for why relationship-driven, judgment-intensive credit investing remains valuable — and why algorithmic lenders will struggle in genuine credit cycles where historical patterns break down.

SEPTEMBER 25, 2018

The Seven Worst Words in the World

MARKET CONTEXT

September 2018 marked the 10-year anniversary of the Lehman Brothers bankruptcy (September 15, 2008), which triggered the worst financial crisis since the Great Depression. In the decade since, the global financial system had been rebuilt on unprecedented monetary stimulus: the Fed's balance sheet expanded from \$900 billion to \$4.5 trillion through three rounds of Quantitative Easing, interest rates were held near zero for seven years, and credit markets had been on an essentially uninterrupted bull run since 2009. Direct lending and private credit had grown from a niche to a \$700 billion industry. The question Marks asked: had the lessons of 2008 truly been learned?

KEY THESIS

The seven worst words in investing are "too much money chasing too few deals" — the conditions that erode underwriting standards, compress returns, and set up future credit losses. Marks traces the conditions of the 2018 credit market against historical precedent and finds troubling parallels to pre-crisis environments: leverage ratios in LBOs at or above 2007 peaks, covenant protection at historic lows, direct lending growing faster than the pool of quality borrowers, and risk premiums compressed across the credit spectrum. The memo is a systematic documentation of late-cycle credit excess.

KEY CONCEPTS EXPLAINED

- **"Too Much Money Chasing Too Few Deals":** When the supply of investable capital (money seeking returns) exceeds the supply of quality investment opportunities (deals), competition among lenders drives terms to borrower-friendly extremes: lower spreads, looser covenants, higher leverage, more PIK. This is the fundamental mechanism of credit cycle deterioration. By 2018, private credit AUM had grown from ~\$200 billion in 2008 to over \$700 billion, while the universe of suitable middle-market borrowers had not grown proportionally — a classic oversupply of capital condition.
- **Leverage Multiples in LBOs:** The average leverage multiple (Total Debt / EBITDA) in leveraged buyouts had reached 6.0x-6.5x by 2018, matching or exceeding pre-2008 crisis levels. At these levels, even a modest EBITDA decline — 10-15% — can breach debt covenants or make refinancing impossible. For private credit lenders providing first-lien debt in such transactions, headline first-lien leverage may appear conservative (e.g., 4.5x) while total leverage including junior tranches is dangerously high.

- **Direct Lending Competition Dynamics:** The private credit market by 2018 had over 200 active direct lenders competing for middle-market deals, compared to a handful before 2010. New entrants (BDCs, CLOs, insurance companies, sovereign wealth funds) were willing to accept lower yields and weaker protections to deploy capital. Established managers faced a choice: maintain standards and lose deals to less disciplined competitors, or loosen standards to stay competitive. Marks documents how this competitive pressure systematically drives standards lower through market cycles.
- **Second-Lien and Unitranche Structures:** Traditional LBO financing stacked senior debt (banks) + mezzanine debt (subordinated) + equity. By 2018, "unitranche" structures had become dominant in direct lending — a single loan from one lender (or a club of direct lenders) combining first-lien and second-lien economics into one facility. This is efficient for borrowers and gives lenders more economic interest, but it concentrates risk: a unitranche lender has no senior lender above them to enforce early, and no junior cushion below them to absorb first losses. The lender must be right on credit quality.
- **NAV Financing as Late-Cycle Innovation:** By 2018, NAV (Net Asset Value) financing was emerging as a new product: banks and specialty lenders would lend to private equity funds secured not by LP capital commitments (subscription lines) but by the fund's portfolio company valuations. This allowed PE funds to monetize unrealized gains without selling assets. Like subscription lines, NAV facilities add leverage at the fund level, creating risks that aren't visible in portfolio company metrics. Marks' late-cycle warning directly applies here: innovation in financing structures accelerates in late cycles and carries hidden risks.

MEMORABLE QUOTES

"The seven worst words in investing: too much money chasing too few deals. These words perfectly describe the current environment and explain why I urge caution."

"Ten years after Lehman, the debt markets show many of the same characteristics that got us into trouble in 2007-08. Not identical — but rhyming."

WHY IT MATTERS

This is the definitive document of late-cycle private credit excess in the 2018 era — directly applicable to understanding how the conditions that preceded COVID credit stress were created, and why so many pandemic-era restructurings involved highly levered, covenant-lite borrowers who were the product of exactly the competition Marks describes.

JANUARY 31, 2019

Political Reality Meets Economic Reality

MARKET CONTEXT

The Q4 2018 selloff had been severe: the S&P 500 fell 20% from peak to trough, credit spreads widened sharply, and leveraged loan prices fell to 95 cents on the dollar — the biggest drop since 2008. The Fed had hiked rates four times in 2018, pushing the fed funds rate to 2.5%, and in December 2018 projected two more hikes in 2019. The yield curve had flattened to near-zero (the spread between 2-year and 10-year Treasuries was under 20 basis points), a classic recession warning signal. Meanwhile, the U.S.-China trade war was escalating with tariffs on \$250 billion of goods, and political populism was intensifying globally. The Fed would reverse course in January 2019, pausing hikes and eventually cutting rates in July.

KEY THESIS

Politicians can promise whatever they want, but they cannot repeal the laws of economics — and when political behavior collides with economic reality, reality always wins eventually. Marks focuses on two collision points: tariffs (which both parties endorsed despite near-universal economist opposition) and rising anti-capitalist sentiment (which he sees as a more dangerous long-term threat than near-term market volatility). The memo warns that the most dangerous political developments aren't necessarily the loudest ones — the quiet erosion of confidence in capitalism as a system has more lasting consequences for investment markets than any single policy change.

KEY CONCEPTS EXPLAINED

- **Tariffs and Credit Markets:** Import tariffs raise prices for domestic consumers, reduce competition, and invite retaliation by trading partners. For credit portfolios, the impact is indirect but real: borrowers in industries with imported inputs (manufacturing, retail) face margin compression; exporters face retaliation-driven revenue declines; supply chain disruption increases working capital needs (directly relevant to RCF and trade finance facilities). A U.S. auto parts manufacturer importing steel and aluminum faces both higher input costs from tariffs AND reduced export demand if trading partners retaliate against U.S. goods.
- **Anti-Capitalist Sentiment as Systemic Risk:** Marks expresses deeper concern about rising sentiment that capitalism itself is the problem — manifesting in calls for wealth taxes, corporate nationalization, and radical redistribution. For credit investors, these policies matter because they affect the after-tax returns on capital, the enforceability of creditor rights, and the

willingness of governments to honor financial contracts. Jurisdictions that weaken property rights or creditor protections make private lending inherently riskier.

- **The Fed Pivot and Credit Markets:** The Fed's January 2019 "pause" on rate hikes (followed by three cuts later that year) was a massive positive catalyst for credit markets. Lower rates reduce borrowing costs for leveraged borrowers, refinancing short-term maturities at lower rates. For private credit funds, a rate-cutting cycle compresses floating-rate loan yields (SOFR + spread narrows in absolute terms as SOFR falls) but increases borrower affordability, reducing default risk. Marks had been warning about policy reversal — the 2018 Q4 selloff forced it.
- **Yield Curve Inversion as Credit Warning:** An inverted yield curve (short-term rates higher than long-term rates) has preceded every U.S. recession since 1955. The mechanism: inverted curves make bank lending unprofitable (banks borrow short, lend long), reducing credit availability and slowing economic activity. For private credit managers, yield curve inversion is a signal to tighten underwriting, reduce cyclical sector exposure, and ensure sufficient liquidity in borrower covenant headroom.

MEMORABLE QUOTES

"Politicians can promise it all — no trade-offs need be made. In the real world, politicians must respect economic reality, or economic reality will eventually impose itself on them."

"The growing anti-capitalist sentiment worries me more than near-term market movements. Capitalism's ability to allocate resources efficiently depends on property rights, contract enforcement, and the rule of law."

WHY IT MATTERS

Written at the exact moment the Fed pivoted from tightening to easing, this memo captures the dynamic where political pressure influenced monetary policy — a critical event for credit markets that set up the 2019 credit boom and contributed to the conditions entering COVID-19. Understanding this political-economic interaction is essential for credit risk management in an era of activist central banking.

JUNE 24, 2019

This Time It's Different

MARKET CONTEXT

By mid-2019, the Fed had pivoted fully: after hiking four times in 2018 and triggering the Q4 selloff, it cut rates three times in 2019 (July, September, October) — a total of 75 basis points. Global negative-yielding debt had swelled to \$13 trillion, with Germany's entire yield curve trading below zero for the first time. Bitcoin had rebounded from \$3,000 to \$13,000. Modern Monetary Theory (MMT) — the idea that governments with monetary sovereignty can spend without fiscal constraint — was gaining mainstream attention. Equity markets had fully recovered from the 2018 Q4 selloff and were at new all-time highs. Credit spreads were back near tight, and the leveraged loan market had recovered from its December 2018 disruption.

KEY THESIS

John Templeton's phrase "the four most dangerous words in investing are 'this time it's different'" captures a perennial truth: investors at market peaks always construct narratives about why historical valuation constraints no longer apply. In 2019, the prevailing narratives were: (1) low interest rates justify high equity valuations permanently, (2) massive government debt doesn't matter because Japan proves deficits are sustainable, (3) Modern Monetary Theory makes fiscal constraints obsolete, and (4) global central bank coordination can prevent recessions indefinitely. Marks systematically interrogates each narrative, finding them plausible on the surface but historically dangerous in combination.

KEY CONCEPTS EXPLAINED

- **Modern Monetary Theory (MMT):** MMT argues that governments that issue their own currency (like the U.S.) can never involuntarily default on domestic-currency debt — they can always print money to pay it. Therefore, fiscal deficits are not inherently dangerous; the constraint is inflation, not solvency. Marks is skeptical: while technically correct that dollar-denominated sovereigns cannot be forced to default, unlimited money printing eventually debases the currency and causes inflation, which is itself a form of default (paying back creditors in money worth less than borrowed). For credit investors, MMT's influence on policy means governments may run larger deficits for longer, affecting the risk-free rate and inflation dynamics.
- **The "Low Rates Justify High Valuations" Argument:** The Gordon Growth Model values assets as: $\text{Value} = \text{Cash Flow} / (\text{Discount Rate} - \text{Growth Rate})$. Lower discount rates (interest rates) mathematically justify higher asset prices. The argument: since rates are permanently

lower due to demographics and technology, equity and credit valuations should be permanently higher. Marks' counter: rates are low because growth and inflation are low, and the same forces that hold rates down may also suppress earnings growth — partially offsetting the valuation benefit. The real danger is assuming rates will stay low forever.

- **Covenant Deterioration in 2019:** Despite the 2018 Q4 warning shot, the 2019 credit market saw the most aggressive covenant erosion ever recorded. "Cov-lite" loans represented over 80% of new issuance. EBITDA "add-backs" for anticipated synergies (often labeled "SB EBITDA" — sponsor-adjusted EBITDA) became standard, with average adjustments exceeding 30% of actual EBITDA. For venture debt providers lending to loss-making startups, "EBITDA" as a metric is largely irrelevant — underwriting must focus on cash runway, revenue growth, and next funding round probability instead.
- **Negative Real Yields and the Hunt for Return:** With German Bunds yielding negative, Japanese Government Bonds at zero, and U.S. Treasuries at 2%, institutional investors (pension funds, insurance companies, sovereign wealth funds) faced an impossible math problem: they needed 6-7% returns to meet actuarial obligations, but "safe" assets offered 0-2%. This forced a mass migration into higher-risk assets — private credit, private equity, real estate — dramatically increasing capital supply in those markets. This is the direct mechanism driving the "too much money chasing too few deals" dynamic.

MEMORABLE QUOTES

"History doesn't repeat itself, but it does rhyme. The four most dangerous words in investing are 'this time it's different' — and investors are saying them again today."

"It is possible that the world has changed in ways that make the future different from the past. But it's also possible — much more likely — that investors' desire for returns is leading them to rationalize accepting risk that isn't being adequately compensated."

WHY IT MATTERS

This memo captures the intellectual environment of 2019 — a year when nearly every historical warning signal was flashing but markets marched higher — and the rationalization frameworks investors constructed to explain away those signals. It provides the analytical tools to distinguish genuine structural change from wishful thinking, which is a core credit risk judgment.

OCTOBER 17, 2019

Mysterious

MARKET CONTEXT

Global negative-yielding debt peaked at approximately \$17 trillion in August 2019 — representing roughly 30% of all investment-grade debt worldwide. Germany's 30-year Bund yield turned negative for the first time in history. Switzerland's entire yield curve was in negative territory. The ECB cut its deposit rate to -0.50% and restarted its asset purchase program. Denmark's Jyske Bank became the first bank in history to offer a negative interest rate mortgage (-0.5%), meaning the bank paid borrowers to take mortgages. Japan had been navigating negative rates since 2016. The U.S. Fed had cut rates three times since July. Marks found this environment genuinely mysterious — a word he uses deliberately.

KEY THESIS

Negative interest rates violate fundamental principles of finance and economics that have held for centuries — specifically, that money today is worth more than money tomorrow (time value of money), and that lending money involves risk that must be compensated with positive return. Marks argues that the causes of negative rates are debated and uncertain (low growth? demographics? excess savings? central bank policy error?), the consequences are unknown (do they stimulate or suppress economic activity?), and the duration is unknowable. The appropriate investor response is to understand what negative rates do to asset valuations and investment decisions, rather than pretending to know why they exist or when they will end.

KEY CONCEPTS EXPLAINED

- **Negative Interest Rate Policy (NIRP):** Central banks set policy rates negative to discourage banks from holding excess reserves (charging them for deposits), incentivize lending, weaken currency, and stimulate inflation. The ECB deposit facility rate went to -0.10% in 2014, -0.20% in 2014, and eventually -0.50% by 2019. For banks, negative rates compress net interest margins (the spread between lending and deposit rates) because they cannot easily pass negative rates to retail depositors. This squeezes bank profitability and reduces their capacity to extend credit — potentially the opposite of the intended stimulus effect.
- **Time Value of Money Inverted:** The foundational equation of finance is: $\text{Present Value} = \text{Future Cash Flow} / (1 + \text{Discount Rate})$. When discount rates go negative, a future cash flow is worth MORE than its present value — you pay more today than you expect to receive. This means investors are knowingly accepting a guaranteed nominal loss. Rationales include: capital preservation (a known -0.5% is better than uncertain equity loss), regulatory

requirements (pension funds must hold fixed income regardless of yield), or expectation of further capital gain (if rates go more negative, existing bonds rise in price).

- **Impact on Private Credit Pricing:** Private credit loans are typically priced at LIBOR (now SOFR) + spread. When base rates go negative (as in Europe), the question becomes: does the loan yield the full spread, or just the spread minus the negative base rate? Most loan agreements include a "LIBOR floor" (now "SOFR floor") — a minimum base rate, typically 0.00% or 0.50% — so that even if SOFR goes negative, the borrower still pays at least the floor rate + spread. This floor protects lender income and is a standard feature of direct lending agreements.
- **Pension Fund Liability Matching:** Pension funds must match the present value of their liabilities (future benefit payments) with assets. The present value of those liabilities is calculated using discount rates derived from bond yields. When bond yields fall (or go negative), the present value of liabilities rises, creating a funding gap. This is why pension funds under NIRP are forced to take more risk — moving into private credit, real estate, and equities to maintain return targets, directly fueling demand for alternative assets like direct loans and NAV facilities.
- **Negative Rates and Bank Business Models:** In a negative rate environment, banks face an impossible squeeze: they cannot easily charge depositors negative rates (risk of bank run), but their asset yields compress. This is particularly damaging for banks in the eurozone and Japan. It also has implications for Trade Finance: banks are the dominant providers of letters of credit, documentary collections, and supply chain finance — if bank profitability is squeezed, capacity to provide trade finance may decline, creating opportunities for non-bank trade finance funds.

MEMORABLE QUOTES

"We don't know for sure why negative rates are prevalent today, how long they'll continue in force, what might cause them to turn positive, what their consequences are, or whether they'll reach the U.S. That's what makes them so mysterious."

"The first direct experience I had with negative interest rates was in 2014 when I discovered I could borrow money in Switzerland and literally be paid to do so. It felt like science fiction."

WHY IT MATTERS

NIRP fundamentally restructured global capital allocation in ways that are still playing out: by forcing institutional investors out of safe fixed income and into alternatives, it directly caused the private credit boom the reader is now working in — understanding its mechanics is essential context for why private credit grew from a niche to a mainstream asset class in the 2010s.

JANUARY 13, 2020

You Bet!

MARKET CONTEXT

January 2020 opened with the U.S.-China Phase One trade deal signed on January 15 (ending the 2018-2019 tariff war's most acute phase), the S&P 500 at new all-time highs above 3,300, and credit markets at historic tightness once more. Negative-yielding debt remained at \$11 trillion globally. The Fed had cut rates three times in late 2019 and signaled it was on hold. Meanwhile, a novel coronavirus in Wuhan, China, was being reported on January 9-10, but received minimal market attention. The U.S. economy was expanding for its 128th consecutive month — the longest expansion in recorded history. Marks chose this moment to write about the relationship between investing and probabilistic thinking.

KEY THESIS

Investing is fundamentally an exercise in "thinking in bets" — making decisions under uncertainty where the best outcome cannot be guaranteed and where a good decision can still lead to a bad outcome (and vice versa). The greatest investors think probabilistically: they don't ask "will this work?" but "what is the distribution of possible outcomes, what are the probabilities, what are the payoffs, and does the expected value justify the risk?" This framework prevents the twin errors of outcome-bias (judging decisions by results rather than process) and false certainty (pretending uncertain situations can be predicted).

KEY CONCEPTS EXPLAINED

- **Expected Value (EV) in Credit:** Expected Value = sum of (probability of outcome × payoff of that outcome). A loan with a 90% probability of returning 7% and a 10% probability of losing 40% has an EV of: $(0.90 \times 7\%) + (0.10 \times -40\%) = 6.3\% - 4.0\% = 2.3\%$. The loan yields 7%, but the expected return is only 2.3% once default risk is priced. If a lender requires 3% expected return, this loan is not attractive despite its nominal 7% yield. This is the foundational calculation behind credit risk pricing.
- **Process vs. Outcome:** A good decision process leads to good outcomes on average but not in every individual case. A loan that passes every underwriting test may still default due to unforeseen events (pandemic, fraud, regulatory change). Judging a credit team's performance based on individual loan outcomes (rather than portfolio-level results over a full cycle) misattributes luck and skill. Good credit risk management evaluates process: was the analysis thorough? Were risks identified? Were structures appropriately protective?

- **Base Rate vs. Inside View:** The "inside view" focuses on the specific loan: this company, this management team, this industry. The "base rate" asks: historically, what percentage of loans with these characteristics (leverage multiple, industry, borrower size) defaulted? Sophisticated credit analysis combines both — detailed bottom-up analysis tempered by historical base rates. Ignoring base rates leads to the "planning fallacy" (excessive optimism based on case-specific reasoning) that has characterized every credit cycle peak.
- **Asymmetric Payoffs in Credit:** Credit has inherently asymmetric payoffs: the maximum upside is receiving back par value plus interest (you can't earn more than the coupon), while the downside is losing the entire principal. This asymmetry means credit investors must be far more focused on downside protection than upside capture. Unlike equity investors who can benefit from unlimited upside to compensate for defaults, credit investors have capped upside — making diversification and covenant protection paramount.

MEMORABLE QUOTES

"The best investors don't think 'will this work?' They think 'what are the odds, what are the payoffs, and does the expected value justify the bet?' Investing IS betting — just on a more complex game."

"A good decision can have a bad outcome, and a bad decision can have a good outcome. Judging decisions by outcomes alone is one of the most common and destructive mistakes in investing."

WHY IT MATTERS

Written just two months before COVID would prove that "unknown unknowns" can materialize catastrophically regardless of how good a decision process seemed, this memo provides the intellectual framework for distinguishing good credit decisions from lucky ones — essential for building and evaluating credit risk teams whose track records may reflect market conditions as much as skill.

MARCH 3, 2020

Nobody Knows II

MARKET CONTEXT

The COVID-19 pandemic had begun spreading beyond China in late February 2020, and markets had their worst week since the 2008 crisis: the S&P 500 fell 12% in a single week (February 24-28), wiping out \$3.4 trillion in market value. On February 27, it officially entered correction territory (down 10% from peak). Italy had locked down its northern provinces. The WHO was debating whether to declare a pandemic (it did so on March 11). The U.S. Federal Reserve would make an emergency 50-basis-point rate cut on March 3 — the same day Marks published this memo. Marks deliberately reused the title of his famous September 2008 memo (written after Lehman's bankruptcy), signaling the gravity of the moment.

KEY THESIS

In genuinely novel situations — and COVID-19 was unprecedented in living financial memory — the usual tools of investment analysis fail because they rely on extrapolating from historical data that doesn't exist. Harvard epidemiologist Marc Lipsitch had categorized COVID knowledge into: (a) facts (limited), (b) informed extrapolations from analogous experiences (imperfect), and (c) pure speculation. Marks argues that for investors, the same framework applies: facts about COVID's economic impact were nearly absent, analogies to previous pandemics (1918 flu, SARS) were imperfect, and most "analysis" was speculation dressed as analysis. Yet investors must still act — and the right response was to acknowledge uncertainty explicitly rather than pretend to know the future.

KEY CONCEPTS EXPLAINED

- **Unknown Unknowns in Credit Risk:** Donald Rumsfeld's famous taxonomy: "known knows" (facts we know we know), "known unknowns" (risks we know we don't know), and "unknown unknowns" (risks we don't even know to look for). COVID was the ultimate unknown unknown for credit: no model had explicitly stressed for a scenario where global economic activity fell 30-40% in 6 weeks due to a pandemic. For credit risk management, this argues for stress tests that explore extreme scenarios even when they seem implausible — because history is more creative than our models.
- **Credit Market Mechanics in the March 2020 Crash:** The March 2020 crash was unique in its speed and breadth. High-yield credit spreads exploded from 350bps to over 1,100bps in three weeks — the fastest credit spread widening ever. Investment-grade spreads tripled. Even the usually-liquid Treasury market briefly seized up. Money market funds faced massive

redemption pressure. Commercial paper markets froze. Repo markets stressed. The speed reflected the forced-selling dynamic: hedge funds facing margin calls, ETFs facing redemptions, risk-parity funds de-leveraging simultaneously.

- **"Fallen Angels" — Investment Grade to High Yield:** COVID triggered the largest wave of "fallen angel" downgrades in history. Fallen angels are companies whose bonds are downgraded from investment grade (BBB- and above) to high yield (BB+ and below). This matters because many institutional investors (pension funds, insurance companies) are prohibited by mandate from holding sub-investment-grade bonds. When a company falls to high yield, these investors must sell — creating forced supply that crushes prices below fair value. COVID fallen angels included Ford, Macy's, Kraft Heinz, and dozens of others, creating extraordinary buying opportunities for unconstrained credit investors.
- **SOFR Transition Acceleration:** COVID accelerated the transition from LIBOR (London Interbank Offered Rate) to SOFR (Secured Overnight Financing Rate). LIBOR was based on bank-to-bank unsecured lending rates; during the 2020 market stress, bank credit risk spiked, which would normally push LIBOR up even when the Fed was cutting rates. SOFR, based on overnight repo transactions backed by Treasuries, was more directly tied to Fed policy and less subject to credit risk distortion. For private credit loans originally documented on LIBOR, the transition to SOFR required renegotiating fallback provisions — a significant operational challenge completed over 2021-2023.
- **Central Bank Intervention Scale:** The Fed's March 2020 response was unprecedented: on March 15-16, it cut rates to zero (the Zero Interest Rate Policy, ZIRP), announced \$700 billion in QE, and subsequently launched 13 emergency lending facilities including: the Primary Market Corporate Credit Facility (buying newly issued investment-grade bonds), the Secondary Market Corporate Credit Facility (buying existing bonds and ETFs), the Term Asset-Backed Securities Loan Facility (TALF, supporting ABS markets), and the Main Street Lending Program (supporting small-medium businesses). This direct intervention in credit markets was far beyond 2008's scope.

MEMORABLE QUOTES

"If I say anything about COVID's impact on the economy, it would be nothing but a guess. There are no facts, just speculation. But we must invest anyway — and invest we should, at prices that compensate for the uncertainty."

"We should assume the spiral can be arrested and thus should invest money into financial assets at their highly discounted prices — not necessarily all at once, and not regardless of price, but we should be investing."

WHY IT MATTERS

This memo, written at the exact moment of maximum fear in the COVID crash, demonstrates that acting on deep uncertainty with intellectual humility and a probabilistic framework is more

valuable than waiting for certainty that never arrives — the most important lesson for private credit investors managing through credit cycles.

MARCH 31, 2020

Which Way Now?

MARKET CONTEXT

March 2020 was the most volatile month in financial market history. From February 19 to March 23, the S&P 500 fell 33.9% in 33 days — the fastest bear market ever recorded. Then, from March 24-26, it surged 17.6% in three days — the biggest three-day gain since the 1930s. The Fed had cut rates to zero, launched unlimited QE, and the U.S. Congress was finalizing the \$2.2 trillion CARES Act (signed March 27). The virus was still spreading: 850,000 global cases, 42,000 deaths. Markets were swinging 3-5% daily on news flow. Marks had now written four memos in six weeks — an extraordinary pace reflecting the pace of events.

KEY THESIS

After the fastest bear market in history and then the fastest partial recovery, investors face an agonizing dilemma: has the crash created a buying opportunity, or is the worst yet to come? Marks argues this question cannot be answered with confidence — the outcome depends on the pandemic's trajectory (unknowable), policy responses (partially knowable), and market sentiment (highly volatile). The appropriate response is neither panic nor euphoria but disciplined deployment: investing selectively in the most attractive securities without trying to time the bottom. He lays out the analytical framework for calibrating between these extremes.

KEY CONCEPTS EXPLAINED

- **Bear Market Anatomy:** Bear markets typically unfold in stages: (1) denial — initial selloff dismissed as overdone; (2) capitulation — forced selling as margin calls and redemptions accelerate; (3) despair — pervasive pessimism, no buyers; (4) recovery — usually beginning when news is still terrible but less bad than feared. March 2020 compressed all four stages into five weeks, a pace enabled by algorithmic trading, ETF-driven correlations, and global connectivity. For credit markets, this compression meant loans priced to default scenarios before any defaults had occurred.
- **CARES Act and Credit Market Implications:** The \$2.2 trillion CARES Act included: \$500 billion for corporate and municipal lending (backstopping Fed facilities), \$349 billion for Paycheck Protection Program (PPP) small business loans (fully government-guaranteed), direct checks to households (\$1,200 per adult), and enhanced unemployment benefits (+\$600/week). For private credit portfolios, PPP loans directly supported middle-market borrowers' ability to maintain operations; enhanced unemployment sustained consumer spending; and corporate

backstops prevented mass layoffs in larger companies. Government intervention on this scale was unprecedented and directly reduced credit losses in the subsequent quarters.

- **Credit Default Swaps (CDS) and Market Stress:** CDS are insurance contracts against bond defaults: the protection buyer pays a periodic premium; the seller pays the notional amount if default occurs. CDS spreads on high-yield indices (CDX HY) spiked to 900+ basis points in March 2020, signaling the market was pricing near-depression default rates. For private credit funds, CDS indices provide a liquid proxy for credit market conditions and can be used to hedge portfolio credit risk, though most direct lenders do not actively use CDS.
- **Distressed Debt Opportunities:** Oaktree, as a distressed debt specialist, was positioned to benefit from March 2020's dislocations. "Distressed debt" refers to bonds or loans trading below 80 cents on the dollar (a common threshold indicating the market prices meaningful default risk). At distressed prices, the potential return from recovery in a restructuring or fundamental improvement can be substantial. For private credit managers with "opportunistic credit" mandates, March 2020 created the best entry point since 2009 — if they had dry powder and the analytical capacity to act quickly.

MEMORABLE QUOTES

"The stock market saw its quickest meltdown in history followed by its best three-day gain since the 1930s. What does it all mean? Honestly, I don't know — and I doubt anyone does."

"The question isn't 'is the bottom in?' The question is 'are assets cheap enough relative to the range of outcomes to justify investment?' And for many assets, the answer is yes."

WHY IT MATTERS

This memo models the exact analytical process that good credit risk managers should use during market dislocations — not predicting outcomes but assessing whether prices adequately compensate for uncertainty, and deploying capital selectively when they do. It directly applied to the NAV financing opportunity that emerged as private equity funds faced liquidity needs in April-May 2020.

APRIL 8, 2020

Calibrating

MARKET CONTEXT

By early April 2020, the S&P 500 had partially recovered from its March 23 low (up 25% in two weeks), though still 20% below February peaks. High-yield credit spreads remained elevated at 800-900 basis points but had narrowed from the 1,100bps March peak. The Fed had committed to unlimited QE and was backstopping investment-grade corporate bonds directly — an intervention that had never happened before. The CARES Act was being implemented. Italy was past its first COVID peak. But the U.S. case count was still growing rapidly, 6 million Americans had filed for unemployment in one week, and Q2 GDP was projected to fall 30% annualized. Marks wrote this to tell clients it was time to shift from defense to offense.

KEY THESIS

The time for playing pure defense has passed. While conditions remain terrible and uncertainty is extreme, asset prices have fallen far enough that the risk/return tradeoff has shifted favorably for disciplined buyers. "Calibrating" means continuously adjusting portfolio positioning between defensive and offensive based on the evolving ratio of risk to reward — not sitting at either extreme. Marks distinguishes between three phases: the prior period (early 2020) when risk was excessive and extreme defense was correct; the acute crisis period (March) when prices fell far enough to justify selective buying; and the current period (April) when investors should move from "mostly defense" toward a more balanced posture. He explicitly says he is NOT calling a bottom.

KEY CONCEPTS EXPLAINED

- **The Defense-Offense Spectrum in Credit:** Credit managers calibrate portfolio risk along a spectrum: at the "defense" end, they hold short-maturity, high-quality, senior secured loans with strong covenants and low leverage; at the "offense" end, they hold long-maturity, subordinated, covenant-lite, high-leverage debt in cyclical industries. In late 2019 (expensive market), defense was appropriate. In March 2020 (panic-priced assets), shifting toward offense created the potential for exceptional returns. By April 2020, the optimal position was moving from max-defense toward the center of the spectrum.
- **Credit vs. Equity Recovery Dynamics:** Credit recoveries tend to precede equity recoveries. When a distressed company has both distressed bonds and plummeting equity, the bonds often recover first as the market prices in a restructuring where bondholders recover par while equity is wiped out. For NAV financing lenders who have secured claims on portfolio company

valuations, understanding that credit often recovers before equity is important for collateral valuation timing during market stress.

- **The Role of Government as Credit Backstop:** In 2020, government guarantees fundamentally altered the credit landscape. PPP loans were 100% government-guaranteed — zero credit risk for lenders. The Fed's corporate bond purchase programs created a buyer of last resort that compressed spreads below where pure market pricing would have landed. TALF supported ABS markets. For private credit investors, government intervention reduced systemic risk but also potentially reduced the opportunity set: by compressing spreads, the Fed reduced the extreme dislocation pricing that would have generated the best returns.
- **Liquidity vs. Solvency in COVID Borrowers:** In April 2020, a critical distinction for credit managers was: is this borrower illiquid (temporarily unable to service debt due to COVID revenue disruption) or insolvent (fundamentally unviable even in a normal environment)? An illiquid borrower can survive with a payment holiday or covenant waiver — and the lender should grant it, since forcing a default on a temporarily illiquid viable business destroys value for all parties. An insolvent borrower will need restructuring regardless of forbearance. Private credit managers who could make this distinction quickly (through deep knowledge of their borrowers) added significant value in 2020.
- **Fallen Angels and the CLO Market:** COVID triggered \$200 billion in fallen angel downgrades in Q1-Q2 2020. This created a specific problem for CLOs (Collateralized Loan Obligations) — structured vehicles that pool leveraged loans and issue tranching notes. CLO indentures typically include "CCC bucket" limits (the percentage of CCC-rated loans in the portfolio cannot exceed 7.5%). When fallen angels flooded the BB/B market, they pushed borrowers down the rating scale, increasing CCC exposure in CLO portfolios and potentially triggering reinvestment restrictions or mandatory liquidation of positions at distressed prices.

MEMORABLE QUOTES

"Previously cautious investors can reduce their overemphasis on defense and begin to move toward a more neutral position — or even toward offense — depending on how sure they want to be of grasping early opportunities."

"This isn't a bottom call. It's a calibration call. The environment has changed enough — from 'expensive and risky' to 'uncertain but potentially attractive' — that investment behavior should change accordingly."

WHY IT MATTERS

The "defense-to-offense calibration" framework is one of the most actionable tools in Marks' entire canon — it translates abstract risk-management philosophy into concrete portfolio positioning guidance, directly applicable to managing private credit portfolios through the volatility of COVID and its aftermath.

APRIL 20, 2020

Knowledge of the Future

MARKET CONTEXT

By late April 2020, the S&P 500 had recovered to 2,800 (from a low of 2,237 on March 23) despite the worst U.S. economic data since the Great Depression: 22 million jobs lost in April, Q1 GDP -4.8%, April manufacturing PMI at 36.9 (depression territory). WTI crude oil futures briefly went negative (-\$37/barrel) on April 20 — the first time in history — as storage capacity filled up amid collapsed demand. The disconnect between improving stock market and collapsing economic fundamentals was jarring and generated intense debate about whether markets were "right" or dangerously disconnected from reality.

KEY THESIS

The title of this memo is an oxymoron: there is no such thing as reliable knowledge of the future. Investors who claim to know the future trajectory of COVID, the economy, or asset prices are engaging in overconfident speculation — and acting on such false knowledge is dangerous. Yet investors cannot simply wait: they must make positioning decisions under extreme uncertainty. The resolution is to think in scenarios and probabilities, rely on historical patterns where applicable, and acknowledge explicitly the limits of what can be known. Marks applies this framework to the specific question investors were debating in April 2020: is the market recovery justified?

KEY CONCEPTS EXPLAINED

- **The Recovery Paradox of 2020:** In April 2020, the stock market was recovering rapidly despite collapsing fundamentals. How? Several factors: (1) markets price the future, not the present — investors were pricing recovery, not the current trough; (2) Fed intervention provided a "Fed put" (implicit guarantee that extreme downside would be prevented); (3) fiscal stimulus was enormous relative to economic damage; (4) the crisis was visible and its causes (virus) had potential solutions (vaccines), making it different from structural crises where the path forward is less clear. Marks presents these as possibilities, not certainties.
- **Extrapolation and Its Limits:** Investment analysis relies on extrapolating from the past. Historical default rates, recovery rates, spread levels, and economic relationships provide the foundation for projections. But extrapolation fails when regimes change fundamentally. COVID was the regime change event that made 2019 historical data largely irrelevant for 2020 projections — default models calibrated to 2008 underestimated government's willingness to

provide unlimited support, while models excluding government support overestimated defaults.

- **The Vaccine/Treatment Option Value:** By April 2020, vaccine development was underway (Operation Warp Speed announced May 15). For credit investors, the existence of plausible solutions to COVID (vaccines, antivirals, natural immunity) meant the economic disruption had an expected end date — unlike structural credit crises (financial system insolvency in 2008) where the recovery path was far less clear. This "option value" on resolution meant lending to COVID-impacted but otherwise viable businesses at crisis prices offered asymmetric upside.
- **Working Capital Facilities in COVID:** During COVID, revolving credit facilities (RCFs) became critical lifelines. Companies drew them down preemptively to build cash buffers, drawing behavior that had never been seen at such scale or speed. For banks with large RCF books, drawdown rates in March 2020 exceeded all stress scenario assumptions: Boeing drew \$13.8 billion, Marriott drew \$4.3 billion, dozens of others drew simultaneously. This tested bank liquidity in ways that had not been fully stress-tested. For private credit managers with RCF-like facilities, understanding drawdown risk in systemic shocks is critical to liquidity management.

MEMORABLE QUOTES

"Knowledge of the future is an oxymoron. Investing consists of positioning for a future that is unknowable. We use extrapolation from the past as the best available substitute."

"The market is recovering amid the worst economic news in generations. Is it right? It might be pricing a faster recovery than will occur. Or it might be pricing the massive policy support correctly. We don't know — but we should invest accordingly."

WHY IT MATTERS

This memo provides the intellectual framework for navigating the specific paradox of 2020 — improving asset prices amid deteriorating economics — which tested the judgment of every credit manager and revealed the crucial importance of understanding how policy backstops alter the default/recovery calculus in credit markets.

MAY 11, 2020

Uncertainty

MARKET CONTEXT

May 2020 brought the first signs of economic reopening as several U.S. states relaxed lockdowns, even as the death toll exceeded 80,000. The S&P 500 had recovered approximately half its losses but remained well below February peaks. The Fed's balance sheet had expanded from \$4 trillion to over \$7 trillion in eight weeks — the fastest expansion in its history. U.S. unemployment had hit 14.7% in April, the highest since the Great Depression, but high-frequency data (credit card spending, mobility data, electricity consumption) suggested activity was starting to recover in some sectors. Marks found the proliferation of confident predictions — about COVID's trajectory, economic recovery speed, and market direction — increasingly alarming.

KEY THESIS

Genuine uncertainty — not mere risk (which can be quantified from historical data) — pervades nearly every important decision in 2020, and the intellectually honest response is to acknowledge it explicitly rather than paper over it with false precision. Marks draws on philosophers and scientists from Voltaire to Albert Einstein to argue that intellectual humility — "I don't know," "I might be wrong," "the other person could be right" — is not a weakness but a prerequisite for clear thinking. The investors who will perform best in this environment are those who maintain intellectual humility about what they don't know while remaining decisive about deploying capital at attractive prices.

KEY CONCEPTS EXPLAINED

- **Risk vs. Uncertainty (Knight's Distinction):** Economist Frank Knight distinguished between "risk" (quantifiable probabilities from historical data — like rolling a die) and "uncertainty" (situations where probabilities themselves cannot be reliably estimated — like predicting a pandemic's course). Standard financial models treat everything as "risk" (plug in volatility and correlations from historical data), but genuinely uncertain environments require qualitative judgment rather than quantitative models. COVID-19 was uncertainty in Knight's sense: no historical data could reliably estimate outcomes.
- **Confirmation Bias in Credit Analysis:** Once an analyst has formed a view on a credit (bullish or bearish), they unconsciously seek information that confirms that view and discount contradicting evidence. This is confirmation bias — one of the most pervasive and destructive cognitive errors in investing. During COVID, confirmation bias led bullish analysts to overweight

positive signals (vaccine progress, stimulus) and bearish analysts to overweight negative signals (death tolls, unemployment). The antidote: actively seeking out the strongest arguments against your position before committing capital.

- **Intellectual Humility and Portfolio Construction:** Marks argues that intellectual humility should manifest in portfolio construction: hold more positions (diversify against your inevitable errors), size positions smaller when uncertainty is highest, and maintain dry powder to deploy as uncertainty resolves. For private credit, high uncertainty during COVID argued for: smaller individual commitments per deal, preference for senior secured over subordinated debt, shorter maturities, and maintaining undrawn facility capacity for opportunistic deployment.
- **Ergodicity and Survival:** An investment strategy that exposes the portfolio to ruin risk (permanent capital loss) is disqualified even if its expected return is positive. The famous Kelly Criterion formalizes this: the optimal bet size accounts for both expected return AND the risk of ruin, leading to smaller bets than a pure expected-value maximizer would take. For credit portfolios, this argues for position limits, concentration limits, and sector diversification — protecting against scenarios where being wrong destroys the portfolio before the inevitable mean reversion occurs.

MEMORABLE QUOTES

"Intellectual humility means saying 'I'm not sure,' 'the other person could be right,' or even 'I might be wrong.' It doesn't mean refusing to act — it means acting while acknowledging what you don't know."

"The proliferation of confident predictions about COVID, the economy, and markets is alarming. Very little is knowable about outcomes here. Extreme intellectual humility is warranted."

WHY IT MATTERS

Intellectual humility is the meta-skill that makes all other credit risk skills more effective: analysts who know what they don't know build more resilient models, managers who acknowledge uncertainty make better contingency plans, and credit committees that invite dissenting views avoid the groupthink that has characterized every credit cycle blow-up.

JUNE 18, 2020

The Anatomy of a Rally

MARKET CONTEXT

From the March 23 low to June 8, the S&P 500 had rallied 44% — its best 11-week performance in over 80 years — while the U.S. economy was experiencing its sharpest contraction since the 1930s, unemployment was at 13%, and COVID cases were rising again in reopened states. The NASDAQ had made new all-time highs, led by mega-cap technology companies (Amazon, Apple, Microsoft, Netflix, Google) that benefited from the shift to digital. Meanwhile, airlines, hotels, energy companies, and retail chains were filing for bankruptcy. High-yield spreads had narrowed from 1,100bps to 550bps, credit markets staging their own remarkable rally. Marks wanted to explain what was happening and whether it made sense.

KEY THESIS

The 2020 market rally makes partial sense and partial nonsense, depending on which companies and which assumptions you analyze. Technology companies genuinely benefited from COVID (accelerated digital adoption, record earnings), justifying new highs. But the broad market recovery rested on assumptions about vaccine timelines, economic recovery speed, and policy continuation that could easily prove too optimistic. More importantly, the speed of the rally — both the crash and the recovery — reflects new structural features of modern markets: algorithm-driven selling and buying, ETF-related correlations, and the dampening effect of Fed intervention. This has implications for how credit investors should think about spread volatility going forward.

KEY CONCEPTS EXPLAINED

- **ETF-Driven Correlation and Speed:** When investors sell equity ETFs during a panic, the ETF must sell all its constituent stocks proportionally — selling the good with the bad, the strong with the weak. This creates mechanical, indiscriminate selling that is uncorrelated with individual company fundamentals. The same dynamic applies to high-yield bond ETFs (like HYG and JNK): when investors redeemed these ETFs in March 2020, they created forced selling across the entire high-yield universe, widening spreads far beyond what company-specific default risk justified. This is simultaneously a distortion AND an opportunity for fundamental credit investors.
- **The "Fed Put" and Its Moral Hazard:** Markets have always priced in some probability that the Fed will intervene to prevent extreme outcomes (the "Fed put"). But in 2020, the Fed went further than ever, buying corporate bonds directly. This created "moral hazard" — if investors

believe the Fed will always rescue markets, they take more risk than they otherwise would, knowing downside is limited. For credit markets, this may mean permanently compressed spreads in investment-grade credit (where the Fed might intervene) versus less-protected high-yield or private credit markets.

- **K-Shaped Recovery and Credit Implications:** The 2020 economic recovery was "K-shaped": technology, healthcare, e-commerce, and financial services recovered rapidly (upper arm of K), while aviation, hospitality, retail, energy, and brick-and-mortar services remained deeply impaired (lower arm of K). For private credit managers, this meant radically different outcomes across industry exposures: a portfolio of technology-sector direct loans performed excellently, while a portfolio of retail or restaurant direct loans faced widespread defaults and restructurings. Sector selection in 2018-2019 underwriting decisions determined 2020 portfolio outcomes.
- **Convertible Bonds and Equity-Linked Credit:** Many companies that needed emergency capital in 2020 issued convertible bonds — debt that can convert to equity if the stock price exceeds a predetermined level. Convertibles provide downside protection (bond floor) with upside participation (conversion feature). For venture debt providers and growth-stage lenders, convertible instruments (warrants, equity kickers) became more common in COVID-era deals as companies sought to preserve cash while giving lenders equity upside as compensation for risk.

MEMORABLE QUOTES

"The market's 44% rally in 11 weeks may reflect genuine optimism about recovery, or it may reflect the irrationality that has characterized the fastest crash and fastest rally in history. Probably some of both."

"The advance was incredibly swift and powerful — just like the decline that preceded it. This speed itself should give pause to those who think markets are efficient processors of information."

WHY IT MATTERS

Understanding why the 2020 market recovered so fast — and which sectors recovered vs. which didn't — is directly applicable to credit portfolio management: the K-shaped recovery rewarded sector-selective lenders and punished those with broad cyclical exposure, a lesson that permanently shaped private credit portfolio construction toward defensive, recurring-revenue business models.

AUGUST 26, 2020

Time for Thinking

MARKET CONTEXT

By late August 2020, the S&P 500 had made new all-time highs, with the NASDAQ up 75% from its March low. But COVID cases in the U.S. remained above 50,000 per day, unemployment was still at 8.4% (twice pre-COVID levels), and thousands of small businesses had permanently closed. The Federal Reserve, at its August 27 Jackson Hole symposium, announced a historic shift in policy framework: it would now target "average inflation" of 2% over time rather than reacting to any individual reading above 2% — meaning it would allow inflation to run above target without raising rates. This "Average Inflation Targeting" (AIT) was widely interpreted as a commitment to keep rates near zero for years. Meanwhile, Phase 3 vaccine trials were underway at unprecedented speed.

KEY THESIS

Marks takes a step back from the rapid-fire memo pace of March-April to engage in deeper structural thinking: what has COVID actually changed, and what remains the same? His conclusion is that COVID represents a fundamental structural discontinuity — a "regime change," not merely a cyclical disruption — in several areas: accelerated technology adoption, remote work normalization, deglobalization of supply chains, government debt levels, and the Fed's policy framework. For investors, the key is distinguishing changes that are temporary (commercial real estate distress) from those that are permanent (e-commerce penetration), because these have very different implications for credit underwriting assumptions.

KEY CONCEPTS EXPLAINED

- **Average Inflation Targeting and Its Credit Implications:** The Fed's shift to AIT meant it committed to keep rates near zero even as inflation rose above 2%, until average inflation had exceeded 2% for a sustained period. For floating-rate private credit lenders (whose income is SOFR + spread), this meant the "SOFR" component would remain near zero for 2-3 years — compressing total loan yields. For borrowers, it meant ultra-cheap financing for an extended period. For NAV facility lenders, it meant borrowing costs stayed low, but so did yields on the loans they were financing. The Fed's AIT framework directly compressed private credit returns through 2021-2022.
- **COVID-Driven Structural Changes Affecting Credit Sectors:** Permanent commercial real estate demand decline (remote work) threatened office sector credit; accelerated e-commerce growth threatened retail sector credit; healthcare digitization increased demand for medtech

lending; increased defense spending and supply chain reshoring created infrastructure lending opportunities. For a private credit manager, these structural shifts require updating industry credit models — historical default rates and recovery rates for these sectors may no longer be predictive of future performance.

- **Government Debt Sustainability Post-COVID:** COVID fiscal stimulus (CARES, subsequent packages) pushed U.S. government debt to 130% of GDP — above WWII levels. At near-zero interest rates, debt service was manageable. But the sustainability of this debt burden depends critically on growth rates and interest rates remaining favorable for decades. If rates normalize toward 4-5% (as they did in 2022-2023), interest expense becomes a major fiscal burden. For credit markets, this creates long-term upward pressure on the risk-free rate, which should widen required credit spreads over time.
- **Supply Chain Disruption and Trade Finance:** COVID exposed the fragility of "just-in-time" global supply chains concentrated in China. Auto manufacturers couldn't get semiconductors; pharmaceuticals couldn't get API ingredients from India; medical supplies couldn't get PPE from Asia. The post-COVID strategic response was supply chain diversification (reshoring, nearshoring, dual-sourcing). For trade finance lenders, this creates both risk (disruption to existing supply chain financing relationships) and opportunity (new financing needs for diversified, regional supply chains that need working capital support).

MEMORABLE QUOTES

"Most disruptions are cyclical — things return to where they were. COVID may represent a structural discontinuity in several important areas. The skill is knowing which is which."

"Ten memos in 18 weeks. The pace has slowed — not because markets have quieted, but because the questions are now harder. Deep thinking requires time, and the fast-moving nature of the past months left little of it."

WHY IT MATTERS

This memo provides the framework for distinguishing COVID's temporary vs. permanent economic effects — a judgment that proved essential for credit underwriting in the recovery, as lenders had to decide whether disrupted borrowers were navigating a temporary headwind or facing permanent structural impairment.

OCTOBER 13, 2020

Coming Into Focus

MARKET CONTEXT

October 2020 brought rising COVID case counts across Europe (triggering new lockdowns in France and the UK), ongoing U.S. political uncertainty with the November 3 presidential election three weeks away, and negotiations over additional U.S. fiscal stimulus stalled in Congress. Yet markets remained resilient: the S&P 500 was roughly where it had been in early August, high-yield spreads had narrowed further to 430 basis points, and investment-grade spreads were near pre-COVID levels. The Fed had committed to near-zero rates through at least 2023. Vaccine trials were in final stages. Marks found the big picture "coming into focus" despite ongoing uncertainty on multiple dimensions.

KEY THESIS

The broad outlines of the post-COVID economic environment are becoming clearer, even if the details remain uncertain. The key clarity: interest rates will be near zero for a very long time; government debt is at extraordinary levels; the Fed will allow inflation to run above target; technology companies have emerged as structural winners; and the fiscal and monetary response has been so large that a 1930s-style depression was prevented. The unclear elements: vaccine timing, pandemic trajectory, election outcomes, and the long-term consequences of unprecedented monetary and fiscal stimulus. Marks now advocates moving from "calibration" toward a more structured assessment of what this environment means for long-term investment strategy.

KEY CONCEPTS EXPLAINED

- **Low Rates "For Long" and the Hunt for Yield:** If rates are near zero for 2-5 years (as the Fed signaled), institutional investors with return targets of 6-8% face an impossible math problem. A 60/40 portfolio (equities + investment-grade bonds) might return 3-4% in this environment — far below what pension funds, endowments, and insurers need. The structural solution: allocate more to alternatives — private credit, private equity, real estate, infrastructure. This is the fundamental demand driver for private credit growth in the 2020s, and Marks identifies it clearly in this memo. NAV financing, direct lending, and trade finance all benefit from this structural demand shift.
- **Credit Spread Compression and its Limits:** By October 2020, high-yield spreads had narrowed from 1,100bps (March peak) to 430bps — barely 80bps wider than pre-COVID levels, despite an economy still significantly impaired. Investment-grade spreads were almost fully

normalized. Why? The Fed's corporate bond purchasing, record fiscal stimulus, and the "hunt for yield" by investors desperate for income. The risk: spreads could have compressed too quickly, pricing in a recovery that may take longer than expected. If economic recovery disappoints, spreads could re-widen, generating losses in credit portfolios.

- **Political Risk and Policy Continuity:** The November 2020 U.S. election introduced uncertainty about policy continuity: would stimulus continue under a change in administration? Would tax policy change (threatening corporate earnings)? Would regulatory environment shift? For credit investors, election outcomes affect sector-specific credit risk: a Biden administration's climate policies would threaten fossil fuel lenders; healthcare reform proposals would affect healthcare sector credit; infrastructure spending would benefit project finance lenders. Marks notes these uncertainties without predicting outcomes.
- **Private Credit as Structural Beneficiary:** Marks implicitly identifies private credit as one of the structural winners in the low-rate environment: institutional investors need the yield premium (typically 100-400bps above public credit) and the illiquidity premium (an additional 50-150bps for accepting that the loan cannot be easily sold) that private credit offers. Direct lending to middle-market companies — the core of private credit — offers floating-rate income, stronger covenant protection than public bonds, and returns that are genuinely additive to public market allocations.

MEMORABLE QUOTES

"The not-much-has-changed period continues. The toll from COVID-19 continues to rise. But the picture is coming into focus: low rates for long, unprecedented government support, and technology as a structural winner."

"Low rates for years means every investor with a return target above 3% must take more risk than they'd prefer. This structural dynamic will define investment decisions for the next decade."

WHY IT MATTERS

This memo marks the transition from crisis management to strategic repositioning for the post-COVID era — and its core insight that low rates force investors into alternatives directly explains the explosive growth of private credit that the reader now works within at HSBC Asset Management.

DECEMBER 29, 2020

2020 in Review

MARKET CONTEXT

As 2020 closed, financial markets had staged one of the most remarkable recoveries in history: the S&P 500 ended the year up 16.3% despite the worst global pandemic in 100 years, the deepest U.S. recession since the 1930s, and historic unemployment. The Pfizer and Moderna vaccines had received emergency use authorization in December. The Fed's balance sheet had expanded from \$4.2 trillion to \$7.4 trillion. U.S. government debt had risen by \$4 trillion in a single year. Bitcoin, after a decade of volatility, ended the year at \$29,000 — having doubled from its pre-COVID levels. The year had generated more extreme statistical events — fastest bear market, fastest recovery, most Fed interventions, largest fiscal stimulus as % of GDP — than any year in modern financial history.

KEY THESIS

Marks frames 2020 through Dickens' "Tale of Two Cities" opening: "It was the best of times, it was the worst of times." The worst: a pandemic that killed hundreds of thousands, destroyed millions of livelihoods, and required the most extreme policy intervention in history. The best: an investment environment that rewarded those who acted on opportunity during the March 2020 panic, generated spectacular returns for technology and healthcare investors, and proved that the global financial system — unlike 2008 — retained sufficient credibility and policy tools to prevent a financial system collapse alongside the health crisis. The year's ultimate lesson: preparation, not prediction, is what enables investors to capitalize on crises.

KEY CONCEPTS EXPLAINED

- **The 2020 Private Credit Landscape in Review:** For direct lenders, 2020 produced: (1) a wave of covenant waivers and amendments in March-May as borrowers sought breathing room; (2) new money opportunities for lenders willing to provide emergency capital to distressed but viable businesses at very high yields; (3) a surge in sponsor-backed M&A in Q4 as deals that stalled in March resumed; (4) record fundraising for private credit funds as institutional investors sought yield alternatives to compressed public markets. Net credit losses in well-diversified private credit portfolios were lower than many feared — government support programs (PPP, CARES) prevented the default cascade that models had projected.
- **The Quantitative Easing Lesson:** The 2008-2009 period taught that QE could prevent financial system collapse. 2020 proved QE could prevent economic collapse as well, when combined with fiscal stimulus of sufficient scale. For the future, this creates a new paradigm:

central banks and governments have demonstrated willingness and ability to intervene decisively in credit markets, creating an implicit floor under market prices. This changes the risk profile of credit investing: tail risks are dampened, but expected returns are also compressed, and moral hazard (excessive risk-taking relying on government backstops) increases.

- **Vaccine Speed and Biotech Credit:** The development of effective COVID vaccines in under 12 months (versus the typical 10-15 year timeline) validated the investment case for biotech and life sciences credit. mRNA technology (Moderna, BioNTech) proved that transformative platform technologies can scale rapidly. For venture debt providers to biotech and life sciences companies, the COVID vaccine success story strengthened the investment thesis for the sector: breakthrough innovations with platform applicability command a risk premium that venture lenders can capture while accepting lower equity upside than VC investors.
- **SOFR Transition and Loan Documentation:** 2020 accelerated the LIBOR-to-SOFR transition: the FCA announced LIBOR would cease publication after December 2021 (later extended to June 2023 for most tenors). For private credit loans originated before 2020 on LIBOR, this required amending loan agreements to include SOFR fallback language. The key technical issue: LIBOR is a forward-looking rate (you know the rate at the beginning of the interest period), while SOFR is backward-looking (calculated from overnight transactions). Compounded SOFR in arrears (the reference rate on most loans) requires calculating interest based on daily overnight rates over the interest period — a different cash flow timing than LIBOR borrowers were used to.

MEMORABLE QUOTES

"2020 featured a jaw-dropping list of extremes. It was the best of times and the worst of times — and for investors, the key was whether you were prepared to act when opportunity presented itself in March."

"The year's greatest lesson: preparation, not prediction. No one predicted COVID. But those who had maintained quality portfolios, dry powder, and intellectual frameworks for navigating uncertainty were positioned to act decisively."

WHY IT MATTERS

This retrospective crystallizes the complete arc of 2020 — from complacency to crisis to recovery — and the investment lessons that will define the next decade: government backstops are larger than previously understood, private credit benefits structurally from low rates, and preparation (through sound underwriting and adequate dry powder) matters more than prediction in generating superior long-term returns.



The Sea Change: Rate Reset & Private Credit Boom

2021 – 2026

Inflation returns after four decades. The Fed hikes rates at the fastest pace since 1981. Marks declares a 'Sea Change' — the 40-year tailwind of falling rates is over. Private credit explodes in size as banks retrench and investors seek floating-rate yield. This era is directly relevant to your work in private credit, NAV financing, and alternatives risk.



JANUARY 11, 2021

Something of Value

MARKET CONTEXT

January 2021 sat at the peak of pandemic-era euphoria: the S&P 500 had roared back from its March 2020 lows, vaccines were rolling out, and the Fed held rates at 0-0.25% with \$120bn of monthly bond purchases still running. Retail investor speculation was exploding — GameStop's meme-stock squeeze came just weeks after this memo, SPACs raised a record \$83bn in 2020, and unprofitable tech companies traded at triple-digit revenue multiples. Growth stocks had crushed value stocks for a decade, leaving traditional value investors questioning whether their craft still applied.

KEY THESIS

Written with his son Andrew, Marks argues that the false dichotomy between "value" and "growth" investing has become harmful — true value investing simply means buying anything at a meaningful discount to intrinsic worth, whether that asset is a steel mill or a SaaS company. The memo challenges the idea that low P/E ratios equal safety, noting that a structurally declining business trading at 8x earnings can be far more dangerous than a compounding franchise at 40x. Marks also reflects on his own bias toward mean-reversion and cautions against selling great compounders too early, calling it one of the most costly mistakes in investing.

KEY CONCEPTS EXPLAINED

- **Intrinsic Value vs. Price:** Intrinsic value is what a business is genuinely worth — estimated by discounting all future cash flows back to today. Price is what the market charges you right now. The gap between the two is your margin of safety. In private credit, this concept applies to collateral: a NAV lender must independently value the portfolio assets securing a loan, not just rely on the sponsor's marks.
- **Value Trap:** A stock (or loan) that looks cheap on current metrics but is cheap for a good reason — because the underlying business is structurally deteriorating. In credit, a value trap might be a covenant-lite loan to a struggling retailer offering a wide spread; the spread is wide because the market correctly senses impending distress. Cheap is not the same as underpriced.
- **The Compounding Machine:** A business whose returns on equity reinvested back into itself keep growing, year after year, without the growth rate fading. Munger's rule: "Never interrupt compounding unnecessarily." In direct lending, the analog is a revolving credit facility to a high-

quality borrower that keeps drawing, repaying, and redrawing — generating fee income each cycle without principal risk.

- **Discounted Cash Flow (DCF):** The universal valuation method: every asset is worth the present value of all cash it will ever generate. The discount rate reflects risk. When the Fed cuts rates to zero, the discount rate falls, and the present value of all future cash flows rises — explaining why long-duration assets (tech stocks, long bonds, real estate) surged in 2020-21. This is the same math that later destroyed them when rates rose.
- **Growth vs. Value Distinction:** Marks and his son argue this is a false dichotomy. Both high-multiple growth stocks and low-multiple cyclical stocks can be either overpriced or underpriced — what matters is the relationship between price and intrinsic value, not the label. For a private credit professional: a venture debt facility to a high-growth SaaS company can be excellent credit — the growth itself creates the future cash flow that repays the loan.
- **ZIRP-Era Distortions:** Zero Interest Rate Policy (2009-2021) made every future dollar of earnings worth more in present value terms, inflating multiples across all asset classes. It also starved savers of yield, forcing institutional capital into riskier instruments — a dynamic that would abruptly reverse in 2022, repricing everything.

MEMORABLE QUOTES

"Value is where you find it."

"The first rule of compounding: never interrupt it unnecessarily." — Charlie Munger, cited by Marks

WHY IT MATTERS

For a private credit professional, this memo reframes credit analysis: the question is never "is this borrower cheap?" but "is this borrower mispriced relative to true risk?" Venture debt, NAV loans, and direct lending all require intrinsic-value thinking, not just spread-chasing.

MARCH 4, 2021

2020 in Review

MARKET CONTEXT

By March 2021, the economy was in a remarkable V-shaped recovery: GDP had collapsed -31.4% annualized in Q2 2020 but rebounded sharply, and Congress was debating a \$1.9 trillion American Rescue Plan on top of the \$900bn stimulus already passed in December 2020. The Fed remained at zero with QE running. The S&P 500 had already recovered all its pandemic losses and was making new highs. Yet beneath the surface, signs of excess were multiplying: retail traders on Reddit, crypto surging, and long-term Treasury yields beginning to rise as inflation fears crept in.

KEY THESIS

Marks describes 2020 as "the best of times and the worst of times" — a Dickensian paradox where a devastating pandemic somehow produced exceptional investment returns. His central argument is that the heroic monetary and fiscal response saved the economy but also created dangerous conditions: \$1.8 trillion of extra consumer savings were waiting to flood into markets, stimulus spending was three times larger than the actual output gap, and asset valuations were "fair relative to low rates" but dangerously exposed if rates ever rose. He urges investors to "move forward, but with caution."

KEY CONCEPTS EXPLAINED

- **Output Gap:** The difference between what an economy actually produces and what it could produce at full capacity. A negative output gap (during a recession) means idle workers and factories. The concern Marks flags: fiscal stimulus in 2020-21 was three times the size of the output gap — injecting far more money than the economy needed to close the slack, creating inflationary pressure.
- **Accommodative Monetary Policy:** When the Fed deliberately keeps interest rates low and expands its balance sheet (QE) to stimulate borrowing and spending. For private credit markets, accommodative policy is paradoxically bad for returns — it tightens spreads because every investor is competing desperately for yield, and terms weaken as borrowers hold the power.
- **Valuation Relativity:** The concept that asset prices cannot be judged "expensive" or "cheap" in isolation — they must be compared to the risk-free rate. A stock yielding 4% earnings seems pricey versus history, but looks reasonable when 10-year Treasuries yield only 1%. This relativity collapses when rates rise, repricing all assets simultaneously.

- **The Asymmetric Risk of Low Rates:** Marks warns in this memo that from zero, rates can only rise — creating a one-directional risk for bond holders and rate-sensitive assets. Duration risk (how much a bond's price falls per 1% rise in rates) becomes purely a threat when starting at historic lows. This was the prescient warning that played out catastrophically in 2022.
- **Meme Stocks and Retail Speculation:** Early signals of market excess Marks identifies: retail investors coordinating on Reddit to squeeze short sellers (GameStop, AMC), margin buying at record levels, and weak covenant protections in new bond issuance. In credit markets, these signals matter — irrational equity speculation often precedes deteriorating credit standards, as lenders compete to finance frothy deals.

MEMORABLE QUOTES

"It was the best of times, it was the worst of times." — Dickens epigraph capturing 2020's investment paradox

"The biggest risk of all is the possibility of rising interest rates."

WHY IT MATTERS

This memo serves as the pre-mortem for 2022's bond market crash — Marks identified duration risk and over-stimulus as the key threats eighteen months before they materialized, demonstrating how careful macro awareness informs credit risk positioning even when you cannot predict exact timing.

JULY 29, 2021

Thinking About Macro

MARKET CONTEXT

Mid-2021 saw inflation beginning to emerge as a real concern: CPI had risen to 5.4% in June, the highest since 2008, driven by used car prices, lumber, and supply chain bottlenecks from the pandemic. The Fed under Powell insisted the inflation was "transitory" — caused by temporary supply disruptions that would self-correct. Simultaneously, the Delta variant of COVID-19 was spreading rapidly, creating uncertainty about the recovery. Financial markets were strong but investors were debating the most consequential macro question of the era: would inflation prove temporary or structural?

KEY THESIS

Marks argues that macro forecasting is fundamentally unknowable — for any piece of information to be useful, it must be both important AND knowable, and macro predictions fail the second test. He outlines two schools of investing thought: the "I Know" school (which builds portfolios around confident macro forecasts) and the "I Don't Know" school (which focuses on company-level fundamentals and builds portfolios resilient across multiple macro scenarios). Marks firmly belongs to the latter, advising modest tilts toward inflation hedges rather than large macro bets.

KEY CONCEPTS EXPLAINED

- **The "Transitory" Inflation Debate:** The Fed's position was that 2021 inflation was caused by temporary supply chain disruptions (semiconductor shortages, port congestion) that would self-correct. The opposing view: massive fiscal stimulus had injected too much money into the economy, creating demand-pull inflation that was structural. The Fed turned out to be wrong — inflation peaked at 9.1% in June 2022, forcing the most aggressive rate-hiking cycle since 1980. For private credit: floating-rate loans (SOFR + spread) benefit from rising rates, while fixed-rate bond portfolios are devastated.
- **Floating Rate vs. Fixed Rate Instruments:** Most private credit (direct loans) is floating rate — the interest payment adjusts as benchmark rates (formerly LIBOR, now SOFR) move. When rates rise, floating-rate loan coupons rise too, protecting lenders. Fixed-rate bonds have set coupons; when rates rise, their market value falls. SVB's catastrophic failure in 2023 was partly because it owned fixed-rate bonds in a rising rate environment.
- **SOFR (Secured Overnight Financing Rate):** The replacement for LIBOR as the benchmark floating rate in US credit markets. A typical direct lending deal might price at SOFR + 550 basis points. If SOFR rises from 0.05% to 5.30% (as it did 2022-2023), the borrower's total interest

cost rises from ~5.6% to ~10.8% — a near-doubling that significantly stresses leveraged borrowers.

- **Supply-Push vs. Demand-Pull Inflation:** Supply-push inflation (transitory) comes from temporary bottlenecks — once ports unblock, prices normalize. Demand-pull inflation (structural) comes from too much money chasing too few goods — cured only by raising rates to reduce spending. The Fed's misdiagnosis of 2021 inflation as supply-push when it was increasingly demand-pull led to the delayed rate hike that made 2022's response so severe.
- **"You Can't Predict, You Can Prepare":** Marks' operating philosophy from a 2001 memo, repeated here. Investors cannot know what macro will do, but they can construct portfolios that perform reasonably across multiple scenarios. For a credit risk manager: this means stress-testing your loan book for both a 0% rate environment and a 6% rate environment, rather than assuming rates stay constant.

MEMORABLE QUOTES

"For a piece of information to be desirable, it has to satisfy two criteria: it has to be important, and it has to be knowable." — Warren Buffett, cited by Marks

"It ain't what you don't know that gets you into trouble. It's what you know for sure that just ain't so." — Mark Twain

WHY IT MATTERS

This memo defines the intellectual posture every credit risk manager should adopt: form macro views for awareness, but don't bet the portfolio on them; instead build resilience through floating-rate instruments, diversification, and conservative underwriting that survives multiple rate scenarios.

NOVEMBER 23, 2021

The Winds of Change

MARKET CONTEXT

By late 2021, CPI inflation was running at 6.8% — a 39-year high — yet the Fed had only just announced it would begin tapering its bond purchases, with rate hikes still months away. The "Great Resignation" was reshaping labor markets as 4.5 million Americans quit their jobs in a single month. China's Evergrande, the massive property developer, was defaulting on dollar-denominated bonds, rattling emerging market credit. National debt had surpassed \$29 trillion. Marks sensed something deeper than a business cycle turn — structural forces were reshaping the investment landscape.

KEY THESIS

Marks identifies a set of long-term structural shifts that go beyond normal cyclical analysis: the "Groundhog Day" effect of daily sameness masking profound underlying change. These shifts include technology's deflationary-yet-disruptive impact, the labor market transformation via remote work, growing democratic dysfunction, generational inequity from deficit spending, Fed overreach in supporting asset prices, and China's complex transition from export-led to consumption-led growth. Unlike cyclical predictions, these "winds" are directional and long-duration — they reshape the investment environment for years.

KEY CONCEPTS EXPLAINED

- **Structural vs. Cyclical Change:** Cyclical changes are the normal ups and downs of the business cycle (recession, recovery, expansion). Structural changes are secular shifts in how the economy works — like globalization, demographic aging, or the rise of information-based businesses. Private credit professionals must distinguish: a borrower struggling cyclically (demand temporarily down) may be fine; one facing structural headwinds (like a print media company) may never recover regardless of the cycle.
- **Technology's Dual Economic Impact:** Information-based businesses have near-zero marginal cost (one more software user costs almost nothing), enabling extraordinary profitability and scalability. Simultaneously, technology destroys traditional jobs faster than new ones are created, increasing productivity per worker while potentially raising structural unemployment. Both dynamics matter for credit: tech-enabled borrowers can scale revenues rapidly (good for debt repayment), but disruption risk to legacy industries creates sudden credit cliff risks.
- **Fed Overreach and Asset Price Support:** Post-2008, the Fed expanded its mandate informally to include supporting financial markets — buying Treasuries and mortgage-backed

securities to keep rates low and asset prices elevated. This "crowded out private-sector price discovery" for over a decade. For private credit: artificially suppressed rates meant direct lending spreads narrowed as every investor chased yield, weakening risk-adjusted returns industry-wide until 2022 changed everything.

- **National Debt Trajectory:** US national debt rose from \$274bn in 1955 to \$28.4 trillion by 2021 — a hundred-fold increase. Marks frames this as generational inequity: Baby Boomers consumed more than their share, leaving future generations with both the debt and depleted natural resources. The investment implication: eventually, deficits create inflation or crowd out private investment; long-duration government bonds carry embedded fiscal risk.
- **Supply Chain and Reshoring Risk:** The pandemic exposed how globalization had optimized for cost but not resilience — semiconductor production concentrated in Taiwan, rare earths in China, pharmaceuticals in India. The reshoring push (bringing production back domestically) is inflationary (domestic labor costs more) but creates credit opportunities in industrial real estate, domestic manufacturing capex, and infrastructure lending.

MEMORABLE QUOTES

"A trillion dollars equals \$10 a second for more than 3,000 years — the incomprehensible scale of modern debt."

"Anyone who believes all the firms on today's list of leading growth companies will still be there in five or ten years has a good chance of being proved wrong."

WHY IT MATTERS

For credit risk management, identifying structural rather than cyclical change is mission-critical — a direct lender to a business being disrupted by technology is not facing a temporary storm but a permanent secular decline, requiring covenant protections, shorter tenors, and collateral rather than cash-flow lending.

JANUARY 13, 2022

Selling Out

MARKET CONTEXT

January 2022 marked the inflection point: the Fed signaled it would raise rates at its March meeting, ending the ZIRP era. 10-year Treasury yields surged from 1.5% to 1.9% in just three weeks. Russia had amassed 130,000 troops on the Ukrainian border. The S&P 500 fell 5.3% in January — its worst January since 2009 — as rate expectations repriced growth stocks violently. The Nasdaq was down 8.5% in the same month. Crypto began a sharp multi-month decline. The question on every portfolio manager's mind: when do you sell?

KEY THESIS

Marks argues that most investors sell for entirely the wrong reasons — either to "lock in gains" (profit-taking) or to stop the pain of losses (panic selling). Both behaviors are driven by psychology, not analysis. The right reason to sell is when the investment thesis has weakened, when a fundamentally superior alternative exists, or when a position has grown disproportionately large relative to risk tolerance. "Time, not timing, is the key to building wealth" — premature selling of great compounders is one of the most common and costly investment errors.

KEY CONCEPTS EXPLAINED

- **The "Relative Selection" Discipline:** Selling a position isn't a standalone decision — the proceeds must go somewhere. The question is never just "should I sell X?" but "is X better or worse than what I'd buy with the proceeds?" For a private credit portfolio manager: exiting a direct loan requires finding a reinvestment with better risk-adjusted returns after accounting for transaction costs, origination fees, and relationship impact. The bar for selling should be high.
- **Profit-Taking as Behavioral Error:** The impulse to "lock in gains" is psychologically compelling but economically irrational. If your thesis remains intact, selling because the price rose simply exchanges a good asset for cash (or a worse asset) at an arbitrary price point. In private credit, the analog is refusing to renew or extend a performing loan to a great borrower because the original tenor ended — you give up a quality relationship without good reason.
- **Hold-to-Maturity vs. Mark-to-Market:** Private credit loans are typically held to maturity and not marked to market daily. This insulates private credit investors from the panic-selling pressure that plagues liquid market participants. When public high-yield spreads spiked 600bps in 2022, private credit investors who couldn't see daily prices were paradoxically advantaged — they held their loans to maturity and collected the contracted yield.

- **Portfolio Concentration Dilemma:** Great investment opportunities are rare — when you find one, over-diversifying away from it costs returns. But concentrated positions can cause catastrophic losses. In direct lending: concentrating a fund in one sector (say, software) or one sponsor generates relationships and expertise but creates correlated risk; the 2025-26 software credit stress showed how concentration in AI-disrupted software could devastate a portfolio.
- **Investment Thesis Integrity:** The disciplined way to decide whether to hold or sell is to constantly re-ask: "Would I buy this today, at the current price, knowing what I know now?" If yes, hold. If not, sell — but only if you have a better use of capital. For credit: "Would I originate this loan today at current spread and terms to this borrower?" If not, consider accelerating an exit or pushing for amendment of terms.

MEMORABLE QUOTES

"Time, not timing, is the key to building wealth." — Bill Miller, cited by Marks

"The discipline of relative selection: you can't decide to sell without deciding what to buy with the proceeds."

WHY IT MATTERS

The frameworks here apply directly to private credit portfolio management — knowing when to demand repayment, accelerate enforcement, or grant a waiver requires distinguishing between a borrower facing cyclical stress versus permanent impairment, exactly the "thesis intact vs. thesis broken" framework Marks describes.

MARCH 23, 2022

The Pendulum in International Affairs

MARKET CONTEXT

Russia invaded Ukraine on February 24, 2022 — the largest ground war in Europe since World War II. Oil prices surged past \$130 per barrel. Europe faced a severe energy crisis as Russian gas supplied 40% of its needs. The Fed had just hiked rates 25 basis points (its first hike since 2018) and signaled six more hikes in 2022. Global supply chains, already strained by COVID, suffered fresh disruptions. The geopolitical consensus built since 1989 — that economic integration would prevent major-power conflict — was shattered.

KEY THESIS

Marks applies his famous "pendulum" metaphor to international affairs: the post-Cold War globalization consensus — optimize for lowest cost, deepest interdependence, greatest efficiency — had swung far in one direction, creating hidden vulnerabilities that only became visible when the tide went out. Europe's deliberate dismantling of domestic energy production (for environmental reasons) left it strategically exposed to Russia. The US's offshoring of semiconductor production to Taiwan and South Korea (for cost reasons) created a critical defense vulnerability. The pendulum is now swinging back toward security, resilience, and domestic sourcing — at significant economic cost.

KEY CONCEPTS EXPLAINED

- **The Pendulum Metaphor:** Marks' signature framework for understanding markets and geopolitics — systems swing between extremes rather than resting at equilibrium. Globalization swung toward maximum interdependence; now it swings toward reshoring and self-reliance. In credit markets: the pendulum swings between lender-friendly terms (tight covenants, low leverage, high spreads) and borrower-friendly markets (covenant-lite, high leverage, tight spreads). The post-2022 environment began swinging back toward lenders.
- **Comparative Advantage and Its Limits:** David Ricardo's 19th-century insight that countries should specialize in what they produce most efficiently and trade for the rest — maximizing global output. This logic drove offshoring of manufacturing to Asia. But comparative advantage assumes stable geopolitics and supply chain reliability. When a country's semiconductor supply can be cut off by a Taiwan Strait crisis, comparative advantage must be balanced against strategic independence.
- **Supply Chain Risk in Credit:** For trade finance professionals, this memo is directly relevant. Trade finance facilitates the movement of goods between importers and exporters — Letters of

Credit, supply chain finance, receivables discounting. When geopolitical risk disrupts established trade routes (as with Russia sanctions and potential Taiwan scenarios), entire trade finance portfolios face concentration risk if too exposed to affected corridors.

- **Hidden Costs of Optimization:** Every tradeoff in business or policy involves benefits that are immediate and visible, and costs that are deferred and hidden — they only appear when something goes wrong. In credit: covenant-lite loans "optimize" for speed and borrower flexibility but hide costs (reduced lender protection) that materialize only in default. Marks connects geopolitical naivety to credit naivety: both ignore tail risks during benign periods.
- **Reshoring and Infrastructure Credit Opportunity:** The reversal of globalization creates investment opportunities in domestic industrial capacity: semiconductor fabs (CHIPS Act), battery manufacturing, pharmaceutical production, port infrastructure, rail. Direct lenders and infrastructure debt funds that understood this transition early found excellent risk-adjusted returns in IG-adjacent industrial credits — long-duration assets with government backing.

MEMORABLE QUOTES

"Most choices entail tradeoffs. However, the negatives often become apparent only when the tide goes out."

"Security doesn't seem to have received much consideration" — on Europe's deliberate dismantling of its energy independence.

WHY IT MATTERS

Geopolitical risk is now a first-order input for credit risk management — trade finance, supply chain finance, and cross-border lending all require scenario analysis for supply chain disruption and sanctions regimes that would have seemed excessive to model in 2019 but are baseline requirements post-2022.

MAY 26, 2022

Bull Market Rhymes

MARKET CONTEXT

By May 2022, the Fed had hiked rates by 75bps cumulatively and the market expected another 250bps by year-end. The Nasdaq had fallen 28% from its November 2021 peak. The S&P 500 entered bear market territory (down 20%). Crypto was in freefall — Bitcoin fell from \$69,000 to \$30,000. The SPAC boom had busted — over 80% of 2020-2021 SPACs were trading below their \$10 IPO price. The market was littered with the wreckage of the prior euphoric era, and Marks diagnosed the pattern.

KEY THESIS

Mark Twain's adage — "History doesn't repeat, but it rhymes" — frames this memo. Bull markets follow recurring psychological patterns even when the specific narrative is new: initial skepticism by contrarians, mainstream acceptance as returns compound, then universal conviction that gains will continue forever and any price is justified. The "new thing" of each era (railroads, dot-coms, SPACs, crypto) provides justification for ignoring historical valuation norms. The dangerous final stage always sounds like: "This time it's different."

KEY CONCEPTS EXPLAINED

- **The Three Stages of Bull Markets:** Stage 1: A few perceptive investors see improvement coming when pessimism is overwhelming. Stage 2: Most investors recognize the improvement is real and prices rise to fair value. Stage 3: Everyone is convinced that improvement will continue indefinitely, and any price is justifiable. The danger zone is Stage 3 — when "this time it's different" thinking dominates. In credit: Stage 3 manifests as covenant-lite loans, PIK-heavy structures, and 7x+ leverage multiples accepted without risk concern.
- **The Race to the Bottom in Credit Standards:** During bull markets, cautious lenders who demand tight covenants and low leverage lose deals to competitors who accept weaker terms. Step by step, the entire market ratchets down standards. The "best loans are made in the worst times" — when borrowers are scarce, lenders have pricing power. The worst loans are made in the best times — when capital is abundant and borrowers have all the leverage. This dynamic produced the covenant-lite boom of 2017-2021.
- **Covenant-Lite Loans:** Traditional leveraged loans had maintenance covenants — quarterly financial tests (debt/EBITDA, interest coverage) where the borrower must meet minimum thresholds or trigger a technical default, giving lenders early warning and renegotiation rights. Covenant-lite loans (cov-lite) eliminate these maintenance tests, leaving lenders with only

incurrence covenants (triggered only when the borrower takes an action like issuing more debt). By 2021, over 85% of US leveraged loans were cov-lite — a historic high that left lenders with almost no early warning system.

- **PIK (Payment in Kind) Interest:** Instead of paying cash interest, PIK allows a borrower to pay interest by issuing more debt — the interest compounds into the principal. PIK is a sign of credit stress: it means the borrower cannot or will not pay cash interest. Lenders accept PIK in exchange for higher face-value returns, but they are effectively lending more to a borrower who cannot service existing debt. When companies in private credit portfolios toggle to PIK (called "PIK toggle" loans), it is a bright red flag for credit risk managers.
- **SPAC Boom and Bust:** Special Purpose Acquisition Companies raised \$83bn in 2020 and \$162bn in 2021. They were blank-check companies that IPO'd, then hunted for private companies to take public through a "merger." The frenzy allowed many poor-quality companies to access public capital without rigorous scrutiny. By 2022, most SPACs traded at massive discounts — illustrating how bull market euphoria funds businesses that the rational capital markets would never fund.

MEMORABLE QUOTES

"What the wise man does in the beginning, the fool does in the end."

"The air goes out of the balloon much faster than it goes in."

WHY IT MATTERS

The credit cycle dynamics Marks describes — the race to the bottom on standards during booms — directly explain why 2017-2021 direct lending vintages had dangerously thin covenant protection; understanding this cycle is essential for structuring new deals with sufficient protection at every stage.

JUNE 23, 2022

Conversation at Panmure House

MARKET CONTEXT

By late June 2022, the Fed had raised rates by 150 basis points — with a shocking 75bp single-month hike in June (the largest since 1994). CPI had just printed at 8.6%, a 40-year high. The S&P 500 was down 21% for the year. The Nasdaq had crashed 30%. The US 10-year Treasury yield had shot from 1.5% to 3.5% in six months — the fastest rise since the early 1980s. In the UK (where Panmure House in Edinburgh — Adam Smith's former home — is located), the pound was weakening and UK inflation was running above 9%.

KEY THESIS

This memo is a transcript of a conversation at Adam Smith's historic Edinburgh home, exploring the philosophical foundations of markets, price discovery, and investing — invoking Smith's "invisible hand" and contrasting free-market mechanisms with both behavioral psychology and the modern reality of central bank intervention. Marks argues that markets are driven by human psychology (emotions, sentiment swings) rather than mechanical efficiency, and that the best investors sense mood rather than calculate formulas. He revisits the efficiency debate: markets are "as right as people can get them" — but people are imperfect.

KEY CONCEPTS EXPLAINED

- **The Efficient Market Hypothesis (EMH):** The academic theory that market prices fully reflect all available information, making it impossible to consistently outperform on a risk-adjusted basis. The weak form says prices reflect historical data; the semi-strong form adds public information; the strong form adds private information. Marks' position: markets are highly efficient at processing information but not perfectly rational — human emotion creates temporary mispricings that skilled investors can exploit. In credit: private information asymmetry in direct lending (lenders with data room access know far more than public market participants) is a structural source of alpha.
- **The Passive Investing Paradox:** As more capital flows to index funds (which don't do fundamental analysis), the remaining active investors must do all the price discovery. Marks notes the irony: "Active investing is no good; passive investing works better — but only if people keep doing active investing." If everyone indexed, prices would never converge to fair value. For private credit: the market is inherently active — there are no passive credit indices to buy; every loan requires fundamental underwriting, preserving the value of credit skill.

- **Market Psychology vs. Fundamentals:** GDP annual change has a standard deviation of 1.8%; corporate profits, 9.4%; but S&P 500 prices, 13.1%. The market is far more volatile than the underlying economy because it reflects human emotion amplified. "Things fluctuate between pretty good and not so hot, but in markets they go from flawless to hopeless." In credit: spread volatility far exceeds actual default rate volatility — meaning credit markets systematically overreact, creating buying opportunities at spread peaks and danger signals at tights.
- **Adam Smith's Invisible Hand in Credit:** Smith's insight — that self-interested economic actors collectively produce socially optimal outcomes through price signals — applies to credit markets: lenders competing for quality borrowers drive spreads tighter; the absence of lenders (credit crunch) signals systemic risk. But the invisible hand fails when central bank intervention distorts price signals — as a decade of QE kept spreads artificially tight, hiding real risk.

MEMORABLE QUOTES

"In theory there's no difference between theory and practice, but in practice there is."

"Things fluctuate between pretty good and not so hot. But in the markets, they go from flawless to hopeless."

WHY IT MATTERS

Understanding when to trust market price signals and when they reflect distortion (from Fed intervention, from momentum, from sentiment extremes) is the central skill of credit risk management — this memo provides the philosophical scaffolding for that judgment.

JULY 26, 2022

I Beg to Differ

MARKET CONTEXT

By late July 2022, the Fed had raised rates by 225 basis points in four months. The S&P 500 had fallen 20% from its January peak — officially a bear market. High-yield credit spreads had blown out from ~300bps to over 600bps. The housing market was beginning to freeze as 30-year mortgage rates surged past 5%. Many leveraged buyout loans were "hung" on bank balance sheets — banks had committed to lend at pre-hike terms but now couldn't sell the loans to investors without taking losses. This was the environment in which contrarian courage was most needed — and most scarce.

KEY THESIS

Superior investment returns require diverging from consensus behavior — if you take the same actions as everyone else, you get average returns at best. Marks frames this through a 2x2 matrix: conventional behavior can produce conventional (average) results in favorable markets, but never superior results; unconventional behavior is required for both the best and worst outcomes. The crucial insight: being contrarian doesn't mean mechanically doing the opposite — it means understanding what the crowd is doing, why it's wrong, and what reality dictates instead. Most great investments "begin in discomfort."

KEY CONCEPTS EXPLAINED

- **Second-Level Thinking:** First-level thinkers ask "Is this a good company?" and buy if yes. Second-level thinkers ask "Is this a good company, do most people know it, is that already reflected in the price, and what happens if I'm right versus wrong?" In credit: first-level thinking says "This borrower has investment-grade financials, lend at IG spreads." Second-level: "IG financials today, but what does the trajectory look like? Is the sector facing structural headwinds? Has the market already priced in the risk?" Fallen angel risk (IG-rated companies that migrate to high yield) has destroyed many credit portfolios built on first-level analysis.
- **The Contrarian's Dilemma:** The crowd is usually right — most of the time, consensus reflects genuine collective wisdom. Contrarianism only pays at extremes, when crowd behavior has pushed prices far from intrinsic value. The amateur contrarian opposes consensus reflexively and loses money most of the time. The professional contrarian identifies the specific moments when consensus has become self-reinforcing and detached from reality — like mid-2022 when high-yield spreads were pricing in recession scenarios that proved too pessimistic.

- **The "Pedestal of Popularity" Risk:** The most popular assets — stocks everyone loves, sectors that have performed best — are the most dangerous. The crowd bids them up, reducing future returns and concentrating risk. In direct lending: the most sought-after sectors (software, healthcare, technology) attracted the most capital, the most competition, and consequently the weakest lending terms. Unpopular sectors — specialty finance, logistics, commodity-adjacent industries — sometimes offered superior risk-adjusted returns precisely because fewer lenders competed for them.
- **Hung Bridge Loans:** When banks commit to provide acquisition financing (bridge loans) at pre-agreed terms, then market conditions worsen before they can syndicate the loans to investors, the loans become "hung" on their balance sheets at below-market terms. In 2022, banks were stuck with hundreds of billions in hung leveraged buyout debt — this forced them to withdraw from new lending, creating a vacuum that private credit funds (not subject to the same syndication constraints) filled at excellent economics.
- **Active Bets as Zero-Sum:** In a market where all prices aggregate to an index return, every overweight position that beats the index requires someone else to underperform. This zero-sum nature means active management is a competitive game where winners and losers are mathematically predetermined in aggregate. Marks' implication for credit: the edge in private credit comes from information advantage (private data rooms, relationship-based origination, sector expertise) that is simply not available to passive or undifferentiated lenders.

MEMORABLE QUOTES

"This just in: You can't take the same actions as everyone else and expect to outperform."

"Most great investments begin in discomfort."

WHY IT MATTERS

The bear market of 2022 created exactly the uncomfortable entry points Marks describes — high-yield at 600bps, direct lending at 11-13%, investment-grade at historically wide spreads — and investors who understood that discomfort signals opportunity (not danger) compounded extraordinary returns from those 2022 vintages.

SEPTEMBER 8, 2022

The Illusion of Knowledge

MARKET CONTEXT

September 2022 was one of the worst months in modern bond market history. The Fed raised rates 75bps for the third consecutive meeting — the pace not seen since Paul Volcker in 1980. The 10-year Treasury yield crossed 3.5% for the first time since 2011. The S&P 500 fell 9.3% in September alone. The UK's new government announced unfunded tax cuts that triggered a gilt market crisis, forcing the Bank of England to emergency-intervene. Everywhere, forecasters were being proven catastrophically wrong — inflation, which they had called transitory, was still accelerating.

KEY THESIS

Macro forecasting is fundamentally unreliable because economies are too complex, involve too many variables, and are affected by fundamentally unpredictable human behavior and random events. The "illusion of knowledge" — false confidence in predictions — is more dangerous than acknowledged ignorance. Marks builds on Galbraith's observation: there are two kinds of forecasters — "those who don't know, and those who don't know they don't know." The chain-of-forecast problem means that even if each individual prediction has a 70% chance of being right, a sequence of five linked predictions has only a 17% chance of all being correct simultaneously.

KEY CONCEPTS EXPLAINED

- **The Complexity Problem:** The US economy involves 330+ million participants making billions of daily decisions. Any macroeconomic model must simplify this by making assumptions — but those assumptions are precisely what fails at critical moments (recessions, crises, inflection points). The butterfly effect captures it: tiny initial differences cascade into massive outcome differences. Economic forecasts face the same sensitivity to initial conditions that makes weather forecasts unreliable beyond a week. For credit underwriting: the same complexity applies to projecting EBITDA three years out — small revenue assumption errors compound into large free-cash-flow errors, determining whether a loan gets repaid.
- **The Chain-of-Forecast Problem:** Macro investment decisions typically require a sequence of forecasts: (1) Fed policy, (2) inflation path, (3) GDP growth, (4) corporate earnings, (5) credit spreads. If each individual forecast is 70% accurate, the probability all five are correct is only $0.7^5 = 17\%$. In private credit underwriting: lending decisions that depend on a chain of macro assumptions (rates stay low, refinancing remains available in 3 years, sponsor can exit via IPO)

embed compounding forecast risk that often isn't explicitly modeled — sensitivity analysis across assumption chains is essential.

- **Stationarity Assumption Failure:** Most economic models assume "stationarity" — historical relationships between variables remain constant. But structural breaks violate stationarity entirely. The decade of near-zero rates created statistical relationships (high leverage is sustainable; covenant-lite is safe; liquid and private credit move together) that broke in 2022 when the structural regime changed. For credit risk: stress tests calibrated to 2010-2021 loss rates systematically underestimated the risks of 2022-vintage portfolios because the rate regime had fundamentally shifted.
- **Recency Bias in Credit Underwriting:** Lenders who originated loans in 2015-2021 anchored to a world of near-zero rates. Their models assumed 2-3% interest rates forever, making 6x leverage ratios look sustainable. When rates moved to 5%+, those same leverage levels created acute cash flow stress. A company with \$100mn EBITDA, \$600mn of debt (6x), and 5% average interest rate paid \$30mn in interest — leaving \$70mn free. With rates at 10%, it paid \$60mn — leaving only \$40mn, slashing debt service coverage from 3.3x to 1.7x, a critical threshold for covenant compliance.
- **The "I Know" vs. "I Don't Know" Investment Frameworks:** "I Know" investors build concentrated portfolios on macro views — if right, they vastly outperform; if wrong, they catastrophically underperform. "I Don't Know" investors focus on company-level analysis, build portfolios resilient across multiple macro scenarios, use bottom-up credit underwriting rather than macro bets. Oaktree and most serious credit investors are firmly in the "I Don't Know" camp — not because macro doesn't matter, but because the reliability of macro forecasts is too low to bet portfolios on.

MEMORABLE QUOTES

"There are two kinds of forecasters: those who don't know, and those who don't know they don't know." — John Kenneth Galbraith

"The greatest enemy of knowledge is not ignorance, it is the illusion of knowledge." — Daniel Boorstin

WHY IT MATTERS

Every credit underwriting model embeds macro assumptions that belong to the "I Don't Know" category — prudent credit risk management requires stress-testing against multiple rate, spread, and GDP scenarios rather than anchoring to a single base case that feels certain but almost certainly isn't.

NOVEMBER 22, 2022

What Really Matters?

MARKET CONTEXT

By late November 2022, the Fed had raised rates to 3.75-4.00% — 375 basis points in nine months, the fastest tightening since Volcker. The US bond market was on track for its worst year in recorded history. The S&P 500 was down 18% year-to-date. Crypto had imploded — FTX, the third-largest crypto exchange, filed for bankruptcy on November 11 in one of the largest financial frauds in history, with \$8bn of customer funds missing. Inflation was showing early signs of peaking at 7.7% in October. Against this cacophony of noise, Marks asked: what actually matters for long-term investment success?

KEY THESIS

Most of what investors obsess over — daily price moves, quarterly performance, macro forecasts, trading activity — doesn't materially affect long-term investment outcomes. What does matter is: understanding the business you own or lend to over a multi-year horizon, managing risk so bad years don't permanently destroy capital, and achieving asymmetric returns — making more in good markets than you lose in bad ones. The memo's defining concept is "asymmetry" — the mark of genuinely skilled investors — and its corollary: that consistency and loss avoidance compound far more powerfully over time than occasional brilliance.

KEY CONCEPTS EXPLAINED

- **Asymmetry — The Core of Investment Excellence:** An asymmetric investor participates disproportionately in market gains and disproportionately avoids losses. If the market rises 20%, they gain 25%; if it falls 20%, they only lose 15%. Over a full cycle, this asymmetry compounds dramatically. For credit: an asymmetric credit manager earns strong returns in good credit environments through excellent underwriting and avoids the defaults that destroy others in bad environments. The asymmetry comes from superior analysis, better covenant structures, and disciplined pricing — not from taking more risk.
- **Volatility Is Not Risk:** Academic finance defines risk as volatility — the standard deviation of returns. Marks argues this is wrong for most real-world investors. True risks are: permanent loss of capital, insufficient returns to meet obligations, and being forced to sell at the wrong time. For private credit specifically: the low mark-to-market volatility of private loan portfolios is not the same as low risk — it reflects the illiquid, hold-to-maturity nature of the asset class, not an absence of credit risk. A direct loan that isn't marked for 18 months can still default; the absence of price volatility does not equal safety.

- **Alpha in Credit Markets:** Alpha is return earned above a risk-adjusted benchmark — attributable to skill, not market exposure (beta). In credit, alpha comes from: avoiding defaults others suffer (negative art), better deal structuring (covenants, security, pricing), and access to proprietary origination that public markets can't access. A private credit manager whose portfolio suffers 0.5% annual default rates vs. the market's 2.5% is generating enormous alpha — the difference compounds to dramatically superior net returns over a credit cycle.
- **Long-Term vs. Short-Term Performance Assessment:** A single year's return reveals almost nothing about investment skill — random variation dominates over 12 months. Full market cycles (5-10 years, including bull and bear phases) are the minimum assessment window. Credit funds that look excellent in 2010-2021 (when default rates were historically suppressed at 1-2% vs. the 3.5% historical average) may simply have ridden benign conditions. The 2022-2026 period, with more normalized default rates, reveals which managers actually had credit skill versus those who just avoided the few defaults in an historically benign cycle.
- **The Compounding Math of Loss Avoidance:** Mathematical reality: a 50% loss requires a 100% gain just to break even. A manager who avoids a 30% drawdown while the market falls 40% needs only a 43% gain to recover (vs. 67% for the index). Over time, loss avoidance is asymmetrically more valuable than equivalent gains. This is the mathematical case for credit investing: capped upside (the bond pays par at maturity) but careful underwriting sharply reduces the downside (avoiding permanent loss via default). The credit investor's goal is to optimize the asymmetry in their favor.

MEMORABLE QUOTES

"In the short run, the market is a voting machine, but in the long run, it is a weighing machine." — Benjamin Graham, cited by Marks

"If we avoid the losers, the winners will take care of themselves." — Oaktree's founding philosophy

WHY IT MATTERS

For private credit risk managers evaluating fund performance or conducting manager selection, this memo provides the right framework: judge credit managers on full-cycle asymmetry (how much did they lose in 2008, 2020, and through 2022-26 stress?), not on recent spread-tightening gains that any passive credit exposure would have generated.

DECEMBER 13, 2022

Sea Change

MARKET CONTEXT

December 2022: the Fed funds rate had just reached 4.25-4.50% after hiking 425 basis points in nine months — the fastest monetary tightening since Paul Volcker in 1980. The US bond market had just suffered its worst annual performance in recorded history, with the Bloomberg US Aggregate Bond Index down 13%. High-yield spreads had widened from 300bps to over 550bps. The 10-year Treasury yield had surged from 1.5% in January to 3.9% by December. Private equity deal volumes had collapsed 35% as leveraged buyout financing became prohibitively expensive. The 40-year era of falling interest rates was definitively over, and no memo captured this moment as powerfully as this one.

KEY THESIS

This is Howard Marks' most important memo in over a decade — arguably the most consequential investment memo of the 2020s. Marks declares that the 40-year tailwind of declining interest rates (from 22% in 1980 to effectively 0% in 2021) has permanently ended, and we have entered a structurally different investment world where risk-free rates of approximately 4-5% mean every risky asset must now compete against that real alternative. The strategies that worked for 40 years — borrow heavily, buy long-duration assets, assume refinancing is always available — face structural headwinds. Credit-oriented, value-focused strategies that struggled in ZIRP now have the most favorable environment in decades. Marks calls this only the third "sea change" of his 53-year career — and explains why it matters more than any rate cycle.

KEY CONCEPTS EXPLAINED

- **The "Moving Walkway" Analogy — The Hidden Rate Tailwind:** Imagine walking on an airport moving walkway while thinking you're walking at normal speed — you're actually moving much faster because the walkway carries you. Declining rates were the moving walkway for 40 years: every investor made investments (picked stocks, made loans, bought real estate) but a silent 2-4% annual tailwind from falling discount rates was invisibly added to all returns. When the walkway stopped in 2022, investors who thought they were skilled discovered some of their performance was the rate tailwind. For private credit: private equity firms boasting 20%+ IRRs during ZIRP were partly riding this tailwind — declining interest rates reduced their portfolio companies' interest burdens AND increased the exit multiples when they sold. Neither benefit persists in a higher-rate world.

- **The Three Sea Changes of Marks' Career:** First (1970s-1980s): Recognition that high-yield bonds could be held prudently if adequately compensated for credit risk — creating the entire leveraged finance industry, enabling LBOs and private equity. Second (1980-2020): Paul Volcker conquered inflation by raising rates to 22%, then began a 40-year decline to 0% — an invisible tailwind for every long-duration asset class. S&P 500 went from 102 to 4,796. Third (2022+): The structural reversal of that 40-year decline. For private credit: the third sea change transformed economics overnight — floating-rate direct loans moved from 6-7% total yield to 11-13%, making credit the most attractive risk-adjusted asset class in decades.
- **What 5% Risk-Free Rates Mean for Every Asset Class:** When T-bills yield 0%, investors accept almost any risk premium because the alternative (holding cash) yields nothing. When T-bills yield 5%, every risky asset must compete against that benchmark. A private equity fund promising 15% gross returns must justify itself against 5% risk-free + the equity risk premium. A direct lending fund offering 11% must justify itself against 5% T-bills plus a meaningful credit risk premium. The hurdle rate for risk-taking rose by 400-500 basis points in 2022 — repricing every asset class globally. In concrete terms: a NAV loan previously priced at L+400bps (total 4.5%) now priced at SOFR+400bps (total 9.3%) — providing roughly the same spread to the lender but now actually compensating for the risk.
- **The ZIRP "Wilderness" for Credit Investors (2009-2021):** Zero Interest Rate Policy after the 2008 financial crisis made credit unattractive for over a decade. High-yield bonds yielded only 3-5%. Leveraged loans yielded 4-6%. These returns were insufficient for pension funds needing 7% to meet obligations — forcing them into private equity, hedge funds, and real assets at any terms. Oaktree described 2009-2021 as their "wilderness" — they maintained credit discipline, refused to deploy capital at inadequate risk-adjusted returns, and watched AUM shrink as investors chased higher-returning (but riskier) strategies. The sea change ended the wilderness and began what Oaktree viewed as potentially their best deployment opportunity since the financial crisis.
- **Duration Risk — The Mechanism Behind the 2022 Crash:** Duration measures price sensitivity to rate changes. A 10-year bond with ~9 years of duration falls ~9% for every 1% rate rise. In 2022, rates rose ~4.5% — meaning long-duration bonds fell roughly 35-40% in price. Technology stocks, priced on distant future earnings (very long duration), fell 60-80%. Real estate, priced on 30-year cash flow streams (long duration), fell 20-30%. Meanwhile, floating-rate private credit loans (near-zero duration, since rates reset quarterly) were essentially unchanged in value. The sea change revealed that private credit's floating-rate structure was a profound risk management advantage, not just a pricing convention.
- **The Leverage Death Spiral in Rising Rates:** A private equity firm buys a company for 12x EBITDA, funding 75% with debt at 5% interest. With \$600mn of debt at 5% on \$100mn EBITDA, annual interest is \$30mn (30% of EBITDA) — easily serviceable, leaving 70% free for growth, capex, and debt paydown. When rates rise to 10% (SOFR + spread), interest costs double to \$60mn — consuming 60% of EBITDA, leaving almost nothing for capex or debt paydown. When EBITDA also falls modestly in a slowdown, the company may be unable to service debt at all. Refinancing at 10% would be unaffordable; the private equity firm is trapped. This is the core credit risk created by the sea change for 2018-2022 vintage LBO loans.

- **Globalization Reversal as Structural Inflationary Force:** From 1995-2020, the integration of China and Eastern Europe into global manufacturing suppressed consumer goods inflation by approximately 0.6% per year — a persistent deflationary tailwind. Marks argues this tailwind has reversed: reshoring, geopolitical fragmentation, and supply chain localization all increase production costs. Combined with the demographic deficit in developed economies (aging labor force), structural inflation is more persistent than in the pre-2020 world. This makes a return to near-zero interest rates structurally unlikely — the sea change is durable, not just a rate cycle.

MEMORABLE QUOTES

"That's the sea change I'm talking about." — The memo's defining conclusion

"Interest rates aren't about to decline by another 2,000 basis points from here."

"We never know where we're going, but we ought to know where we are."

"It was an asset owner's market and a borrower's market. With the risk-free rate at zero... it was a frustrating period for lenders and bargain hunters."

WHY IT MATTERS

This is the single most important memo for any private credit professional to master: it explains precisely why direct lending AUM doubled from \$800bn to over \$2 trillion between 2022 and 2026, why 11-13% floating-rate yields represented genuinely superior economics (not just higher risk), and why the sea change made credit the most attractive risk-adjusted asset class for the first time in four decades — understanding the structural case for "higher for longer" rates determines whether private credit's excellent economics are durable or fleeting.

JANUARY 9, 2024

Easy Money

MARKET CONTEXT

January 2024: the Fed held rates at 5.25-5.50% — the highest level in 22 years. Inflation had fallen from 9.1% to approximately 3.4%, but the "last mile" from 3% to 2% proved stubborn. The US economy had defied recession predictions — real GDP grew 2.5% in 2023, unemployment remained at 3.7%, and the S&P 500 returned 26% in 2023. Markets were pricing in six Fed rate cuts in 2024. Private credit AUM had crossed \$1.5 trillion globally. This memo revisited the "easy money" era to catalogue how thirteen years of near-zero rates had systematically warped financial behavior and credit standards.

KEY THESIS

The 2009-2021 period of ultra-low interest rates was not just a monetary policy choice — it was a fundamental distortion of economic incentives that encouraged malinvestment, excessive leverage, financial mismatches, and false expectations that will take years to fully unwind. Marks catalogues ten specific effects of easy money on markets and behavior, arguing that the sea change of 2022 is not just a rate adjustment but a reckoning with a decade of distorted decision-making. He predicts rates will average 2-4% over coming years — structurally higher than ZIRP but not at 2022 peak levels — making private credit economics durably superior to the pre-2022 era.

KEY CONCEPTS EXPLAINED

- **Malinvestment (Hayek's Concept Applied to Private Credit):** Economic projects that appear viable only because of artificially cheap capital — they would never be built in a normal rate environment. During ZIRP: zombie companies (generating insufficient cash flow to service debt at market rates) survived because lenders refinanced at 2-3%; WeWork raised \$47bn despite never being profitable; crypto projects raised billions with no business models; direct lenders originated deals at 5-6% total yield to borrowers needing 10% to generate adequate returns. When rates normalized, malinvestment was revealed. Private credit loans originated 2017-2021 to companies that could service debt at 5% but not at 11% are malinvestments — the credit was available but the economics only worked in an artificial environment.
- **"Handcuff Volunteers" — The Forced Risk-Taking Dynamic:** When Treasury bills yield 0% and investment-grade bonds yield 1.5%, pension funds with 7% return actuarial targets have no choice but to move capital into high-yield bonds, private equity, leveraged loans, and private credit — even at spreads that don't adequately compensate for risk. Marks calls them

"handcuff volunteers" — they know the yields are insufficient but have no alternative. This dynamic drove: (1) covenant-lite proliferation (lenders competed away protections to win deals), (2) leverage multiple expansion (to 7x, 8x EBITDA from historical 4-5x), (3) PIK interest acceptance (deferring cash interest to boost apparent returns). The sea change freed these investors — 5% T-bills suddenly met many minimum return thresholds.

- **The Carry Trade and Its Duration Mismatch Danger:** Easy money encourages "carry trades" — borrowing short-term at low rates and investing in longer-term, higher-yielding assets to capture the spread. Banks did this institutionally (SVB's disaster). Private credit funds also can create carry risk: subscription line credit facilities (typically 1-year revolvers that bridge capital calls) are short-term obligations used to finance long-term illiquid positions. If a fund uses too much subscription line leverage against illiquid loans, a liquidity crunch can force asset sales at distressed prices. Structuring subscription lines prudently — limiting their use to genuinely short-term bridging — is essential credit risk management in private funds.
- **False Expectations as Embedded Portfolio Risk:** Participants in the ZIRP era assumed low rates would persist indefinitely — not as a conscious decision but as an unexamined assumption baked into underwriting models, valuation multiples, and refinancing assumptions. Commercial real estate loans written in 2019 assumed office building values would remain stable and refinancing at 3-4% would always be available in 2024. Both assumptions proved catastrophically wrong. In private credit: any loan with a refinancing assumption at the base rate of 2021 carries embedded "false expectation" risk that must now be stress-tested at 5-7% refinancing costs.
- **Charlie Munger's Warning and Its Application:** "Easy money corrupts, really easy money corrupts absolutely" — thirteen years of near-zero rates systematically degraded underwriting standards, covenant quality, capital discipline, and risk management across the entire financial industry. The private credit industry that grew from \$500bn to \$2tn during ZIRP must now demonstrate which of that growth was genuine credit skill and which was simply riding the easy money wave. The 2024-2026 vintage quality will reveal the answer — managers who maintained discipline through ZIRP should show dramatically lower default rates than those who chased volume at any terms.

MEMORABLE QUOTES

"Easy money corrupts, really easy money corrupts absolutely." — Charlie Munger, cited by Marks

"Never confuse brains with a bull market."

WHY IT MATTERS

Private credit professionals inherited portfolios built during the easy money era — understanding which loans reflect sound underwriting and which reflect ZIRP-era malinvestment is the central risk management challenge of 2024-2026, as refinancing stress,

PIK toggles, and covenant waivers reveal the quality (or lack thereof) of pre-sea-change vintage underwriting.

APRIL 17, 2023

Lessons from Silicon Valley Bank

MARKET CONTEXT

Silicon Valley Bank failed on March 10, 2023 — the second-largest bank failure in US history at the time. Its collapse was triggered by a classic bank run accelerated by social media: within 24 hours of announcing a \$1.8bn loss on bond sales, \$42bn in deposits fled. Two days later Signature Bank also failed. Credit Suisse — the 167-year-old Swiss institution — was forced into an emergency merger with UBS on March 19 after a separate confidence crisis. Regional bank stocks collapsed industry-wide. The Federal Reserve created an emergency Bank Term Funding Program to backstop deposits. For private credit: banks withdrawing from middle-market lending in response to SVB stress created an immediate and significant origination opportunity.

KEY THESIS

SVB's failure was not random but predictable from a specific, identifiable structural error: borrowing short (deposits withdrawable anytime) and investing long (10-year fixed-rate Treasuries and agency MBS), creating fatal duration mismatch when rates rose 4.5% in twelve months. The bank had \$91bn in long-duration fixed-rate securities that lost ~\$21bn in market value as rates rose — but classified as "held to maturity," these losses didn't appear on the income statement until forced sales crystallized them. Marks argues this reveals a broader lesson about hidden risk, accounting opacity, and the velocity of modern bank runs in the digital age.

KEY CONCEPTS EXPLAINED

- **Duration Risk — Explained From First Principles:** Duration is the sensitivity of a bond's price to interest rate changes — roughly, the percentage price change per 1% move in rates. A bond with 7-year duration falls approximately 7% in price for every 1% rise in rates. SVB owned long-dated Treasuries and agency mortgage-backed securities with average duration of roughly 6-7 years. When the Fed raised rates by 4.5%, these bonds lost approximately $4.5 \times 6.5 = \sim 29\%$ of their market value. On an \$80bn portfolio, that's approximately a \$23bn loss — exceeding SVB's entire \$16bn equity capital. Floating-rate private credit loans have near-zero duration: their interest rate resets every 30-90 days when SOFR moves, so rising rates increase the loan's income rather than reducing its value. This is why the private credit industry was structurally insulated from the 2022-23 rate shock that devastated fixed-rate bond portfolios.
- **Asset-Liability Mismatch (ALM) — The Banking Fundamental:** All banks borrow short (deposits, withdrawable on demand) and lend or invest long (mortgages, bonds, business

loans maturing in years). The profit comes from borrowing at low short-term rates and earning higher long-term rates — the "carry." But ALM mismatch creates fundamental fragility: if short-term funding costs rise faster than long-term asset yields, the carry inverts and the bank loses money on every dollar of deposits it holds. SVB's version was extreme: its assets were mostly fixed-rate government bonds, not floating-rate loans — meaning rising rates compressed its net interest margin catastrophically while simultaneously destroying the market value of its bond portfolio. For private credit fund managers: NAV financing facilities and capital call subscription lines must be carefully sized against the fund's liquidity profile to avoid creating SVB-style ALM mismatches at the fund level.

- **HTM (Held-to-Maturity) vs. AFS (Available-for-Sale) Accounting:** Banks classify bond holdings as either AFS (marked to market quarterly, with unrealized losses flowing through equity capital) or HTM (carried at historical cost, no market value adjustment until sold). SVB moved large portions of its bond portfolio to HTM specifically to avoid the visual impact of rising-rate losses on its equity. But HTM doesn't eliminate economic losses — it hides them until bonds must be sold. When SVB needed cash to meet deposit outflows, it sold HTM bonds and recognized \$1.8bn of losses immediately — triggering the panic. Post-SVB, US regulators required larger banks to include HTM unrealized losses in regulatory capital calculations, closing this accounting loophole. For credit risk professionals: "hidden" losses are a core risk in any portfolio — the absence of mark-to-market doesn't mean the absence of impairment.
- **The Digital Bank Run — Speed Has Changed Everything:** Pre-internet bank runs took days: customers had to physically queue (Northern Rock, UK 2007). SVB's run happened in hours: news of bond losses spread instantly on Twitter and LinkedIn; venture capital firms simultaneously advised all portfolio companies to withdraw; \$42bn exited in a single day via digital wire transfers. The speed of modern financial information and digital transactions means that no bank can maintain sufficient liquidity for a coordinated same-day withdrawal from its sophisticated depositor base. SVB's depositors were overwhelmingly VC firms and tech startups — a hyper-connected, financially sophisticated group that could coordinate rapidly. The implicit government deposit guarantee (formalized by the FDIC's emergency decision to fully cover SVB deposits above the \$250K limit) is now understood to be essential to preventing digital-era bank runs.
- **Commercial Real Estate as the Next Stress Point:** Marks identified CRE as the next major credit risk post-SVB: US banks held approximately \$1.8 trillion in CRE mortgages, with community and regional banks' CRE exposure equaling 167% of risk-based capital. Office real estate was particularly vulnerable: remote work had left many city-center buildings 30-50% occupied, making debt service from rental income increasingly difficult. Office values in major US cities fell 40-60% from 2019 peaks by 2024. This CRE stress became a significant private credit theme: direct lenders providing refinancing and rescue capital as regional banks declined to renew CRE loans at maturity, often at dramatically better spreads and tighter terms than the pre-SVB market offered.
- **Private Credit's Competitive Opportunity from Bank Stress:** Every time banks contract lending (due to SVB contagion, CRE losses, regulatory tightening post-crisis), they create a vacuum that private credit fills at better economics. The post-SVB bank pullback from middle-

market lending, sponsor finance, and construction lending was a direct driver of private credit deal flow in 2023-24. Banks that previously competed aggressively at SOFR+350bps withdrew; private credit lenders stepped in at SOFR+550bps or wider, with better covenants and security packages. For a Senior Risk Manager at HSBC AM: bank stress events are simultaneously risk events (for bank credit portfolios to manage) and opportunity events (for private credit deployment to capitalize on).

MEMORABLE QUOTES

"Banks are, essentially, highly levered fixed income investors" facing inherent tension between short-term deposits and long-term assets.

"The only thing we have to fear is fear itself" — bank runs are self-fulfilling; fear of insolvency causes the withdrawals that cause the insolvency.

WHY IT MATTERS

SVB's failure is the defining case study in duration risk, ALM mismatch, and the speed of modern financial contagion — private credit professionals who master these mechanics can both avoid analogous pitfalls in their own fund structures and capitalize on the bank lending vacuum that bank failures consistently create, exactly as the best private credit managers did in 2023.

OCTOBER 11, 2023

Further Thoughts on Sea Change

MARKET CONTEXT

By October 2023, the 10-year Treasury yield had just reached 5% — a 16-year high — as the "higher for longer" narrative solidified. The Fed had paused its hiking cycle but signaled rates would remain elevated well into 2024. The US economy continued to surprise with resilience: unemployment at 3.8%, GDP growing above trend. Private credit had become mainstream — blue-chip borrowers like AT&T were tapping direct lenders for multi-billion-dollar deals previously reserved for syndicated markets. High-yield bond yields of 8-9% were making credit broadly competitive with equities for the first time since 2007.

KEY THESIS

Marks returns to his December 2022 "Sea Change" thesis with sharper elaboration: the 40-year decline in rates was so gradual (the "boiling frog" effect) that most investors never consciously registered how much of their returns were attributable to this tailwind rather than skill. The era of ultra-low rates distorted everything — private equity returns, leveraged buyout economics, credit spreads, real estate capitalization rates — and the unwinding of these distortions will reshape competitive advantage across asset classes for years. Crucially, investors must not merely reallocate capital modestly — they need substantial repositioning toward credit and away from leveraged ownership strategies.

KEY CONCEPTS EXPLAINED

- **The Boiling Frog Effect in Rate Markets:** A frog placed in boiling water jumps out; a frog in cold water heated gradually doesn't notice the danger until it's too late. The 40-year decline in interest rates (from 22% in 1980 to 0% in 2021) happened so gradually — a fraction of a percent per year — that most investors never noticed they were in slowly warming water. They attributed their returns to skill, strategy, and manager selection — not to the massive structural tailwind operating invisibly beneath every investment. When the water suddenly boiled in 2022, the frog couldn't escape. For credit: borrowers who assumed they could always refinance at low rates didn't recognize the danger until the cold water of 2017-2021 vintage deals met the boiling rate environment of 2022-23.
- **The "Double Bonanza" for Leveraged Investors (Now Reversed):** During the 40-year rate decline, leveraged investors enjoyed a double benefit: (1) low borrowing costs reduced interest expenses, improving asset cash flows and equity returns; (2) falling discount rates increased the present value of all future cash flows, inflating exit multiples. A private equity firm that

bought a company in 2010 at 8x EBITDA could sell it in 2020 at 14x EBITDA — not because the business improved dramatically, but because lower discount rates mechanically inflated comparable valuation multiples. In a higher-rate world, both benefits reverse: borrowing costs are high (compressing cash flows) and exit multiples are lower (higher discount rates = lower present values). This is the core headwind facing private equity vintage 2018-2022 fund portfolios.

- **Credit's Competitive Resurgence vs. Equities:** Pre-sea-change: high-yield bonds yielded 4-5%, far below historical equity returns of 10%+. Why take credit risk for 4% when equities might return 10%? Post-sea-change: high-yield bonds at 8-9%, investment-grade credit at 5-6%, and direct lending at 11-13% total yield. These contractual, senior-secured returns are now genuinely competitive with equity expected returns — and superior on a risk-adjusted basis since creditors have seniority in the capital structure, covenants providing early warning, and legal recourse to collateral. Marks argues institutional investors need to substantially reallocate — not just tweak at the margins — toward credit instruments.
- **"Never Confuse Brains and a Bull Market":** One of Marks' most memorable aphorisms — and the core risk for private credit managers reviewing their own track records. A fund that earned 12% net returns from 2012-2021 may have achieved 6% from genuine credit skill and 6% from the rate tailwind (falling discount rates inflating secondary credit valuations, improving refinancing conditions, etc.). Accurately attributing returns to skill vs. tailwind requires examining performance during stress periods — 2015-16 energy credit stress, COVID March 2020 — to see whether the manager demonstrated genuine selection and workout skill.
- **Revolving Credit Facilities (RCFs) in the New Rate Environment:** A Revolving Credit Facility is the corporate equivalent of a credit card: a committed borrowing limit that companies draw down and repay repeatedly as needed for working capital or short-term funding. RCFs are typically floating-rate (SOFR + spread) and usually senior secured. In the ZIRP era, RCFs were priced at SOFR+150-200bps — too cheap to generate meaningful returns for direct lenders. Post-sea-change, even RCF pricing improved, and the overall package economics for providing committed facilities to quality borrowers improved substantially. For HSBC AM's Alternatives team: RCF lending is now a meaningful return contributor rather than merely a relationship product.

MEMORABLE QUOTES

"Never confuse brains and a bull market" — the most important self-assessment question for every credit manager reviewing their pre-sea-change track record.

"Things can take longer to happen than you thought they would, but then they happen faster than you thought they could."

WHY IT MATTERS

For private credit risk management, "Further Thoughts" crystallizes the asset allocation case: when senior secured direct lending at 11-13% competes favorably with equity on a risk-

adjusted basis, the rational institutional response is a substantial reallocation to credit — and the memo provides the intellectual framework to make that case to investment committees.

JULY 10, 2023

Taking the Temperature

MARKET CONTEXT

Mid-2023 was characterized by a remarkable tension: the Fed had raised rates to 5.00-5.25% (the highest since 2007) yet a widely expected recession had failed to materialize. The "soft landing" narrative was gaining credibility. The S&P 500 had rallied 16% from its October 2022 lows. AI enthusiasm was exploding — Nvidia's stock had tripled year-to-date. Credit markets had recovered substantially: high-yield spreads had tightened from 600bps to below 400bps. Private credit deal volumes were setting records as banks remained cautious post-SVB. Investors faced a genuinely uncertain environment: was the recovery durable or a bear market rally?

KEY THESIS

Successful market calls require identifying extreme conditions through what Marks calls "taking the temperature" — reading the level of investor sentiment, valuation extremes, and behavioral patterns — rather than predicting macro outcomes. Marks reveals that he has made only approximately five truly compelling macro calls in fifty years of investing — and each required market conditions so extreme that the risk/reward was overwhelmingly one-sided. The memo provides a framework for distinguishing between genuine market extremes (warranting strong action) and mere discomfort (warranting normal defensive positioning).

KEY CONCEPTS EXPLAINED

- **The Five Calls in Fifty Years Framework:** Marks' son Andrew identified that his father's successful market calls happened only "five times in 50 years" — not because Marks wasn't watching, but because truly compelling risk/reward only exists at extremes: the 2000 tech bubble (warned of overvaluation; NASDAQ fell 80%), 2004-07 (flagged housing bubble), 2008 (deployed \$6bn aggressively at the bottom), 2012 (recommended buying equities when pessimism was maximal), and 2020 (deployed capital during COVID panic). The lesson for credit risk: most of the time, credit markets are priced roughly fairly — extraordinary defensive action or aggressive buying is only warranted at genuine extremes of pessimism or euphoria.
- **The Temperature Framework for Credit Markets:** "Taking the temperature" means reading qualitative and quantitative signals simultaneously. Qualitative: Are new deal memos using language like "never before seen quality" or "once in a generation opportunity"? Are junior associates quitting to start their own funds? Is CNBC running daily segments on the boom? Quantitative: Are spreads in the top or bottom decile historically? Is leverage above 7x? Are

covenant terms at all-time weakest? When both qualitative and quantitative signals align at extremes, the temperature reading is reliable and action is warranted. Mid-2023 showed moderately elevated but not extreme readings — "move forward but with caution" rather than aggressive deployment or defensive retreat.

- **Contrarianism vs. Anti-Contrarianism:** True contrarianism requires: (a) understanding what the crowd believes, (b) diagnosing specifically why the crowd is wrong, (c) knowing what should happen instead. Reflexive contrarianism — doing the opposite of whatever consensus says — loses money because consensus is usually right. For credit: when everyone in the market is saying "direct lending spreads are too tight, deals are too aggressive," the contrarian doesn't automatically start originating — they ask "why might the crowd be right here? What am I seeing that consensus is missing?" The discomfort of being contrarian is necessary but not sufficient.
- **Credit Cycle Location Assessment:** Private credit professionals need to constantly assess where they are in the credit cycle. Early cycle: spreads are wide, covenants are tight, leverage is low — deploy aggressively. Mid-cycle: spreads are moderate, terms are reasonable — deploy selectively with discipline. Late cycle: spreads are tight, deals are covenant-lite, leverage is 7x+ — become highly selective, favor senior-secured floating-rate instruments, avoid junior debt. The post-SVB environment of mid-2023 was a late-cycle private credit market in terms of deal competition and leverage, but an early-cycle market in terms of absolute yield levels (11-13% was genuinely attractive). This tension — late-cycle quality but early-cycle pricing — required nuanced navigation.
- **Pattern Recognition vs. Prediction:** Marks distinguishes between pattern recognition (identifying when the current environment resembles historical extremes) and prediction (forecasting what will happen next). Pattern recognition is learnable and somewhat reliable. Prediction requires forecasting the future, which is not reliably possible. A credit risk professional who recognizes that 2007 Q3 leveraged loan market patterns (record new issue volume, tight spreads, 8x leverage, covenant-lite) resemble historical pre-crisis patterns can position defensively without needing to predict exactly when or how the correction occurs.

MEMORABLE QUOTES

"Yeah, Dad, that's because you did it five times in 50 years." — Andrew Marks, on his father's market-timing accuracy

"Skepticism and pessimism aren't synonymous. Recognize when optimism is warranted." — Marks' correction to pure defensive thinking

WHY IT MATTERS

The temperature-taking framework is directly applicable to private credit portfolio management: it provides a rigorous, qualitative-plus-quantitative approach for deciding when to accelerate deployment, when to tighten underwriting standards, and when to hold back — the core timing decisions that determine vintage-level returns in any private credit fund.

SEPTEMBER 12, 2023

Fewer Losers, or More Winners?

MARKET CONTEXT

September 2023: the Fed had completed its hiking cycle (5.25-5.50% was the peak), and markets debated how long rates would stay elevated. The "Magnificent Seven" tech stocks — Apple, Microsoft, Alphabet, Amazon, Nvidia, Tesla, Meta — had driven the S&P 500's 15% year-to-date return almost single-handedly; the equal-weighted S&P 500 was up only 1%. In private credit, AUM had crossed \$1.5 trillion and direct lending was issuing deals at record pace. For credit investors, the binary choice was crystallizing: build portfolios by avoiding defaults (negative art) or by finding the exceptional credits that compound?

KEY THESIS

Marks poses the fundamental strategic question in investing: should you optimize for fewer losers (defensive approach — superior loss avoidance) or more winners (offensive approach — superior credit selection)? The answer depends on the type of alpha a manager possesses. For bond investors, success is predominantly a "negative art" — non-defaulting bonds deliver identical promised returns, so the only way to differentiate is by avoiding the ones that default. For equity and distressed debt investors, winners must be actively found. Most investors mistakenly try to do both simultaneously, achieving neither.

KEY CONCEPTS EXPLAINED

- **The Negative Art of Bond Investing:** Graham and Dodd's 1940 "Security Analysis" established the key insight for credit: in a well-diversified bond portfolio, all non-defaulting bonds deliver roughly the same promised yield. The only way to generate alpha is by avoiding the bonds that default. This makes credit investing fundamentally different from equity investing — you don't need to find great credits, you need to avoid bad ones. For direct lending: the difference between a manager who suffers 3% annual default rates and one who suffers 0.5% is not "finding better winners" — it's having better processes for avoiding losers. The 2.5% annual default avoidance, compounded over a 5-year fund life, creates dramatically different net returns.
- **Covenant Quality as a Loss-Avoidance Tool:** Maintenance covenants (requiring quarterly financial tests) give lenders early warning of borrower deterioration — typically 12-18 months before an actual default. This early warning allows lenders to: (1) engage management to fix problems, (2) demand additional collateral or equity from sponsors, (3) accelerate repayment before deterioration worsens, or (4) sell positions in secondary markets before impairment

becomes apparent. Covenant-lite loans eliminate this early warning system, meaning lenders discover problems only when the borrower misses a cash interest payment — much later and with less ability to recover value. Choosing cov-heavy over cov-lite is the single most important loss-avoidance tool in direct lending.

- **The Magnificent Seven Problem for Credit Managers:** In 2023, seven technology stocks drove essentially all equity market returns. An equity manager underweight these stocks massively underperformed even if their remaining portfolio was excellent. A similar concentration risk exists in credit: certain sectors (software, healthcare services, business services) dominate private credit deal flow. A credit manager who avoids software lending (concerned about AI disruption risk) may underperform peers in 2022-24 but outperform dramatically in 2025-26 as AI-disrupted software companies face refinancing stress. Concentration risk and tracking error are necessary features of skill-based credit management, not bugs.
- **Alpha in Direct Lending — The Two Types:** Alpha in credit comes in two flavors: (1) "Fewer losers" alpha: superior credit selection that avoids defaults, requires excellent fundamental underwriting, credit documentation expertise, and workout experience; (2) "More winners" alpha: finding borrowers that not only don't default but grow their businesses, pay down debt ahead of schedule, and generate additional fee income through add-on acquisitions. In private credit, "fewer losers" alpha is by far the dominant source of long-run differentiation — the economics are mathematically more powerful because credit losses are permanent while credit gains are capped at par.
- **The VanBenschoten Principle of Consistent Mid-Quartile Returns:** Marks describes learning from General Mills' pension fund manager David VanBenschoten: by being consistently in the 27th-47th percentile annually (never brilliant, never disastrous), he achieved 4th-percentile 14-year results. The math: avoiding disastrous years compresses while allowing modest annual out-performance compounds dramatically. For credit managers: a fund that earns 8% net in good years and -2% in bad years catastrophically underperforms a fund that earns 9% in good years and +4% in bad years (because loss avoidance protects the compounding base). Consistency and downside protection beat occasional brilliance.

MEMORABLE QUOTES

"If we avoid the losers, the winners will take care of themselves." — Oaktree's foundational credit philosophy

"In theory, there is no difference between theory and practice. In practice, there is."

WHY IT MATTERS

This memo provides the philosophical foundation for all private credit risk management: the primary goal is loss avoidance through superior underwriting and documentation, not yield maximization; the credit professional's alpha comes from saying "no" more intelligently than peers, not from finding more deals at better spreads.